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BEFORE THE
FEDERAL MARITIME COMMISSION

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TRANS-NET, INC.

Complainant,

v.

FESCO OCEAN MANAGEMENT LIMITED

Respondent.

CLERK OF THE COURT
FEDERAL MARITIME COMM

Docket No. 04-07

Fesco Ocean Management Limited
Motion to Dismiss and Motion for Summary Judgment

Respondent, Fesco Ocean Management Limited ("FOML"), pursuant to 46 CFR §502.73, respectfully submits this Motion to Dismiss the Complaint served July 1, 2004 ("Complaint") and further submits in this same document a Motion for Summary Judgment which disposes of any portions of the Complaint that the Presiding Administrative Law Judge believes are not subject to a Motion to Dismiss.¹

Complainant, Trans-Net, Inc. ("Trans-Net") having had its complaint in Docket 03-08 dismissed for the reasons stated in Judge Kline's decision dated May 13, 2004, (30 SRR.299 (ALJ, 2004) (hereinafter "Docket 03-08") which became administratively final by notice from the Commission on June 15, 2004, has filed a new Complaint. As FOML will show, the new Complaint is as deficient as the original complaint and should also be dismissed.

The Complaint is based on allegations which do not state a cause of action for which the Commission may grant relief and the Complaint therefore should be dismissed.

I. STATEMENT OF THE FACTS

FOML is an ocean common carrier under Section 3(16) of the Shipping Act of 1984, as amended, by virtue of the fact that it operates vessels that call at U.S. ports in the trade between the U.S. and Australia and New Zealand. The three vessels operated in the ANZ trade are all on time charter to FOML. See Declaration of Aspi Rostami at ¶ 4 ("Rostami

¹ Submission of this Motion is timely pursuant to the July 19, 2004 Order of the Administrative Law Judge establishing the procedural schedule for this Motion.

Declaration”)². The FMC has reviewed FOML’s ocean common carrier status and apparently has concluded that FOML is an ocean common carrier or it would not have allowed it to be a party to the Pacific Coast Oceania Vessel Sharing Agreement, FMC Agreement No. 011741, the FOML/PONL Space Charter Agreement, FMC Agreement No. 011873, and the rate and discussion agreements between or among ocean common carriers to which it is or has been a party. (Rostami Declaration at ¶¶ 3, 6 and 7). The Commission’s review and acceptance of agreements that are filed and effective under section 4-6 of the Shipping Act and to which FOML is a party as an “ocean common carrier” creates a strong presumption, if not binding evidence, that FOML is an “ocean common carrier,” a presumption or evidence that cannot be overcome simply by an averment, on information and belief, that FOML is not an ocean common carrier.

As relevant to this Complaint, FOML, or its predecessors, has served the U.S. West Coast/Russia trade over approximately 12 years in several ways: (a) FOML originally operated a liner service between the Pacific Northwest and the Russian Far East using time chartered vessels; this service became economically untenable when the ruble collapsed in 1998 and was discontinued (Rostami Declaration at ¶ 5; (b) FOML operated in the trade from the Pacific Coast of the U.S to the Russian Far East through non-exclusive transshipment agreements that it entered into with P& O Nedlloyd. A copy of the non-exclusive transshipment agreement with P&O Nedlloyd is in the confidential record in Docket 03-08. Under the transshipment agreement, FOML, as the Publishing Carrier, obtained space from P&O Nedlloyd which was the Originating Carrier, for the transportation from the U.S. West Coast to the transshipment point, Busan, South Korea, and FOML, as the Destination Carrier, transported the cargo on space chartered to FOML from Busan to Russia. Rostami Declaration at ¶ 5; (c) FOML also has a non-exclusive transshipment agreement with Westwood Shipping Corp., which pre-dated the P&O Nedlloyd non-exclusive transshipment agreement and which operated in a manner identical to that with P&O Nedlloyd (Rostami Declaration at ¶ 5)³; (d) FOML has entered into a space charter agreement with P&O Nedlloyd, FMC Agreement No. 011873, which became effective on April 26, 2004 under which FOML moves shipments pursuant to its published tariffs and under its bills of lading from the Pacific Coast to Busan and then arranges for the container’s further carriage to destinations in the Russian Far East, and (e) FOML has been providing service directly to the Russian Far East on vessels that it voyage charters from its parent, FESCO; these voyages are not on a fixed schedule; they operate about every 45 days and are the return voyages of vessels which FESCO, not FOML, utilizes to carry full shiploads of aluminum from Russia to the Pacific Northwest or California, and then are voyage chartered to FOML for use in ocean common carrier service for carriage to Russia of containerized, breakbulk and other cargoes at published tariff rates. (Rostami Declaration at ¶ 5).

² References to the Rostami Declaration mean the Declaration of Aspi Rostami, attached hereto, as Exhibit 1. References to the Rostami Affidavit mean the Affidavit of Aspi Rostami which is part of the record in Docket 03-08.

³ The transshipment agreement with Westwood is currently not being utilized.

II. TRANS-NET'S LATEST COMPLAINT

The latest complaint filed by Trans-Net alleges that FOML has violated sections 5, 10(a)(1), 10(a)(2), 10(a)(3), 10(b)(1), 10(b)(2), 10(b)(3), 10(d)(1), 19(a) and 19(b)⁴ of the Shipping Act of 1984, as amended (the "Act"). As we shall show below, Trans-Net should be given an "A" for its imagination, but the Complaint should be dismissed because it fails to state facts and law sufficient to constitute claims against FOML under the Act.

As best as we can determine, the allegations by Trans-Net, as set forth in some 45 separate paragraphs in Section IV of the Complaint, can be grouped into several factual and legal allegations:

1. FOML is not an ocean common carrier and, therefore, is an unlicensed, untariffed, unbonded NVOCC. (This appears to be part of the basis for allegations of violations of sections 10(a)(1), 10(a)(2), 10(a)(3), 10(b)(1), 19(a) and 19(b)).
2. FOML's transshipment agreement with P&O Nedlloyd was unlawful because (a) the non-exclusive transshipment agreement did not meet the FMC's exemption language; (b) P&O Nedlloyd did not have the consent of the Grand Alliance Agreement members to allow FOML to transship cargo; and (b) FOML was not an ocean common carrier. (This appears to be part of the basis of the allegations of violations of Sections 5, 10(a)(1), 10(a)(2), 10(a)(3), 19(a) and 19(b)).
3. FOML's space charter agreement with P&O Nedlloyd is unlawful because (a) FOML is not an ocean common carrier and (b) P&O Nedlloyd did not have the unanimous consent of the Grand Alliance parties to charter space to FOML. (This appears to be the basis of the allegations under Sections 5, 10(a)(2) and 10(a)(3), 19(a) and 19(b)).
4. FOML has (a) failed to publish tariff rates for shipments at some unknown time in some unknown trade; (b) in one case FOML allegedly charged different rates to move the same commodity from the same origin to the same destination, time and place unknown; and (b) FOML has allegedly moved cargo to Magadan at other than rates in its tariff. (This appears to be the basis of allegations of violations of Section 10(b)(1) and 10(b)(2)(A)).
5. FOML has retaliated against Trans-Net by hiring Trans-Net employees and "seeking to obtain Trans-Net's legally protected, confidential business information." (This appears to be the basis of alleged violation of section 10(b)(3)).
6. FOML, its agent, Fesco Agencies North America ("FANA") and its parent Far Eastern Shipping Company ("FESCO") have websites that contain allegedly erroneous, incomplete or misleading information related to the vessels used by FOML and the operation of such vessels and that FOML has misrepresented to

⁴ Judge Kline noted in his Order dated July 19, 2004: "The new complaint in this proceeding considerably enlarges the issues from those framed in the complaint in No. 03-08, invoking some 10 sections of the Shipping Act of 1984." In FOML's view it is not the quantity of alleged violations that is important, it is the quality of the allegations. As we shall show, there is no basis in law or fact for Trans-Net's contentions.

the shipping public that it is a member of the Grand Alliance. (This appears to be the basis for the alleged violation of Section 10(d)(1)).

In making these claims, Trans-Net makes a number of allegations relating to the fact that it is in competition with FOML. As with its complaint in Docket 03-08, when discussing “competition” the current complaint suffers from the same infirmity: there are no factual allegation, but only generalized and conclusory assertions that Trans-Net has some number of customers (as if it has the exclusive franchise to all shippers), that but for FOML’s alleged unlawful actions, Trans-Net would have allegedly carried all of the cargo carried by FOML. As we shall show, Trans-Net is hardly the only carrier in the market.

As FOML will show, the Complaint should be dismissed.

III. STANDARDS FOR MOTIONS TO DISMISS/MOTIONS FOR SUMMARY JUDGMENT

The standards for a motion to dismiss a complaint have been most recently stated in *Trans-Net, Inc. v. Fesco Ocean Management Limited*, 30 SRR 299 (ALJ, 2004) and we need not repeat to the Administrative Law Judge the standards that he so thoroughly enunciated in that and other decisions.

Viewed under these standards, the Trans-Net Complaint must be dismissed because it is clear that the Trans-Net has once again filed a complaint upon which relief cannot be granted.

IV. THE ALLEGATIONS CANNOT WITHSTAND DISMISSAL AND/OR SUMMARY JUDGMENT

A . FOML is an ocean common carrier and is not an untariffed, unbonded NVOCC.

Trans-Net alleges that FOML is not an ocean common carrier and, therefore, is an unlicensed, untariffed, unbonded NVOCC. (Complaint at 12, paragraphs NN and OO; 14, paragraph RR; and 15, paragraph V (B))

The Administrative Law Judge can take official notice of the fact that FOML is a party to a number of agreements that have been filed and become effective under Sections 4-6 of the Shipping Act of 1984, as amended. A number of these agreements have been listed in the Rostami Declaration at ¶ 6. Since only “ocean common carriers” are permitted to be parties to such agreements, it appears that as far as the Commission is concerned FOML is an “ocean common carrier.” See, *Agreement No. 203-010633*, 23 SRR 581, 584 (I.D. 1985), proceeding discontinued (If an agreement is to receive antitrust immunity under the Shipping Act of 1984, it must be between persons who are ocean common carriers).

In fact, as demonstrated in the Motion to Dismiss and other FOML filings in Docket 03-08, which FOML adopts, as relevant, in this proceeding, as if fully set forth herein, the Commission staff has looked very closely at FOML's status as a vessel operating common carrier; the Commission was provided copies of time charters and financial documents pursuant to an information request pursuant to Section 6(d) of the Shipping Act in relation to the FOML/Eastern Car Liners Space Charter Agreement, FMC Agreement No. 011804. The Commission would not have allowed that agreement to become effective if it believed that FOML was not an ocean common carrier.

Moreover, the Commission, at the direction of the Conference Committee on Appropriations to report to the Senate and House Committees on Appropriations regarding the participation of FESCO in the Grand Alliance Agreement in providing service in the United States-Russian Far East trade and to also report on whether FESCO should be reclassified as a controlled carrier under section 9 of the Shipping Act of 1984. The Commission's Report, dated May 30, 2003, was requested by FOML under the Freedom of Information Act by letter dated July 1, 2003. Because the Commission relied on some information from the Department of State for part of its response, the Commission's Secretary forwarded the request to the Department of State. Once the Department of State cleared the document, the matter went back to the Commission and FOML finally received a copy of the report on August 11, 2004. The Report, which is the form of four identical letters from FMC Chairman Steven R. Blust to members of the Senate and House Appropriations Committees, a copy of which is attached hereto as Exhibit 2, (hereinafter the "Report"), is of significance to this proceeding and the issues present here.

Chairman Blust reported to the Committees on Appropriations that:

"FOML, on the other hand, does operate regular services in the U.S. trades. This company, a wholly-owned subsidiary of FESCO incorporated in Cyprus, operates three vessels in the United States – Australia trade. Based on FOML's operation of these three vessels, it has the ability to enter into agreements with other ocean common carriers in the U.S. trades and to offer service contracts to shippers. 46 U.S.C. app. §§ 1703, 1704, 1707(c). Through operational agreements, FOML has the ability to utilize space on vessels of other ocean common carriers and, consequently, to advertise those vessels on which it is taking space." Report at p.2.

Finally, as recently as this spring, the Commission had the opportunity to look at the issue of FOML's status as an ocean common carrier when the FOML/PONL Space Charter Agreement, FMC No. 011873 was filed and became effective. We understand that Trans-Net filed comments opposing this agreement and while we have not yet seen the comments because we only recently requested them under FOIA, we believe that Trans-Net likely challenged FOML's status as an ocean common carrier. If the Commission had any question about FOML's status as an ocean common carrier, some action would have been taken with respect to its agreements that have been filed and are effective under the Shipping Act.

As an ocean common carrier in one trade, FOML, like every other ocean common carrier, is permitted to operate as an ocean common carrier in other U.S. trades where it does not operate its own vessels. In Ocean Common Carriers Subject To The Shipping Act Of 1984, 28 SRR 1414, 1418 (FMC 2000), the Commission stated:

“[T]he term "ocean common carrier" will include only those common carriers who actually operate a vessel in at least one United States trade. In addition, if a common carrier is an ocean common carrier in one U.S. trade, it can act as an ocean common carrier in all U.S. trades.” (Emphasis added.)

Thus, FOML’s ocean common carrier status in the U.S./Oceania trades means that FOML can lawfully act as an ocean common carrier in all U.S. trades. It is not clear from the complaint what aspect of this Commission ruling Trans-Net does not understand.

The presiding Administrative Law Judge in his May 13, 2004 decision in *Trans-Net, Inc. v. Fesco Ocean Management Limited*, 30 SRR 299 (ALJ 2004) (“Docket 03-08”) stated

The question whether FOML can be considered to be an ocean common carrier as regards the subject through service arrangement is one of law, not of fact. Therefore, the principles of law regarding summary judgment, which require judges to construe allegations of fact in the light most favorable to nonmovants, i.e., complainant, do not apply when the question is a pure question of law. Such a question is resolved not by resolving facts but by following case law involving principles relating to statutory construction and interpretation. Furthermore, those principles regarding summary judgment which sometimes require a better evidentiary record on which to issue summary judgment in complex or novel cases, such as the instant one, do not necessarily apply when the threshold question is one of statutory interpretation or interpretation of a Commission regulation. If Trans-Net files an amended complaint that adequately describes the current situation as well as the previous one under the superseded FOML/PONL agreement, it will be necessary for this judge to decide the purely legal issue. . . . 30 SRR at 307.

It is clear from the foregoing that the issue of whether FOML is an ocean common carrier is an issue of law which Judge Kline has determined will be necessary for him to decide where as here, Trans-Net filed an amended complaint that alleged that both the space charter agreement with P&O Nedlloyd and the previously effective non-exclusive transshipment agreement are unlawful because Trans-Net has alleged that FOML is not an ocean common carrier.

The issue of FOML’s status as an ocean common carrier also goes to allegations that it has not met the requirements of law and regulation to be a NVOCC. In short, a good portion of the Trans-Net complaint rises or falls on whether FOML is, as a matter of law, an ocean common carrier. Trans-Net’s allegations on this issue are just conclusory allegations bereft of any detail or basis for the contention.

A ruling that FOML is an ocean common carrier would dispose of all or part of Trans-Net's allegations of violations by FOML of Sections 5, 10(a)(1), 10(a)(2), 10(a)(3), 19(a) and 19(b).

The Complaint, to the extent that it alleges that FOML is not an ocean common carrier, and by implication that FOML is a NVOCC, should be dismissed because as a matter of law, FOML is and always has been an ocean common carrier.

B. FOML's non-exclusive transshipment agreement with P&O Nedlloyd was lawful.

Trans-Net in Docket 03-08, and again in this proceeding, continues to assert that FOML's non-exclusive transshipment agreement with P&O Nedlloyd is or was unlawful. Complaint at 6, paragraphs P-S, 11-12 at paragraphs LL-OO.

Attachment A to the Rostami Affidavit in the Confidential Record of Docket 03-08, is a copy of the Non-Exclusive Transshipment Agreement; it shows that the P&O Nedlloyd-FOML non-exclusive transshipment agreement was in form and substance fully consistent with and governed by the FMC regulations exempting non-exclusive transshipment agreements from filing under the Shipping Act of 1984, as amended. See 46 CFR §535.306 relating to exemption of non-exclusive transshipment agreements. The transshipment agreement clearly states that neither party is prohibited from entering into other non-exclusive transshipment or similar agreements, that there is no guarantee any particular volume of traffic or available capacity, and the transshipment agreement does not provide for the discussion or fixing of rates for the account of cargo interests, conditions of service or other tariff matters. FOML has complied with all aspects of the requirements of the Commission's regulations with respect to their non-exclusive transshipment agreement. Rostami Affidavit at ¶ 4, and Exhibit A thereto. FOML was the Publishing Carrier under the transshipment agreement, and the existence of the transshipment agreement was published in FOML's Far East Freight Tariff No. 4 in Rule 13. Rostami Affidavit at ¶ 5.

In the FMC Report (Exhibit 2), Chairman Blust, after noting that "FOML is not now, nor has it ever been, a member of the Grand Alliance" and that "P&O Nedlloyd is offering space to FOML on its own vessels and the vessels of its alliance partners through a non-exclusive transshipment agreement, not through a space charter agreement" reported:

"Pursuant to the non-exclusive transshipment agreement between P&O Nedlloyd and FOML, FOML takes space from P&O Nedlloyd from the U.S. West Coast to Pusan, Korea. At Pusan, FOML's cargo is transshipped to vessels operated by FESCO and Hyundai Merchant Marine. FOML has a slot charter agreement with its parent company, FESCO, in the Korea/Russia trade. By these arrangements, FOML provides service between the U.S. West Coast and the Russian Far East."

"In December 2002, the Commission received a copy of the non-exclusive transshipment agreement between P&O Nedlloyd and FOML. Analysis of the agreement indicates that

it complies in all respects with current Commission regulations. FOML has asserted in the past that the Commission does not have jurisdiction over FESCO, that it is not an ocean common carrier, nor does it have jurisdiction over that portion of FOML's service between Pusan and Vladivostok, as that service does not include a U.S. – foreign trade. Nevertheless, FOML did provide a copy of the slot charter agreement between FESCO and FOML for the Korea and Russia portion of FOML's service. There appears to be nothing unusual about that agreement." Report at pp. 3 - 4. (Emphasis added.)

The portion of the above paragraph that is underlined is unequivocal that the non-exclusive transshipment agreement "complies in all respects with current Commission regulations."⁵ One might argue that such a conclusion is obvious given the fact that the FMC has not taken any action against the non-exclusive transshipment agreement between P&O Nedlloyd and FOML.

It appears that the continuing allegations by Trans-Net relating to this terminated non-exclusive transshipment agreement (Rostami Declaration at ¶ 7) are based on Trans-Net's interpretation of the regulation provisions that says that each of the participant's services at the transshipment port will be "by direct vessel call." In Docket 03-08, the parties exhaustively briefed this issue and FOML adopts its arguments from that proceeding as if fully set forth herein. In addition, on December 2, 2003, prior to the dismissal of the complaint in Docket 03-08, (and one of the reasons it was dismissed⁶) the Commission initiated Docket 03-15, a rulemaking that, *inter alia*, has made it clear that the transshipment rule is being reviewed because it needs clarification. As the Commission noted, one of the reasons it was proposing to clarify the rule was that

[T]he Commission also recognizes that the ocean transportation industry has substantially evolved since the Commission's current agreement rules were drafted. One notable change is the increased use of vessel sharing or space charter agreements by ocean common carriers to replace or augment their direct services. This change may have led to the development of what the Commission considers to be nontraditional transshipment arrangements, such as those in which a publishing carrier provides a transshipment service solely by taking space on vessels operated by other ocean common carriers. (68 *Fed. Reg.* at 67520-21)

It is noteworthy that in making this statement in Docket 03-15, the Commission did not state that the so-called "nontraditional transshipment arrangements" were unlawful.

In light of the Commission's rulemaking to clarify the provisions of the non-exclusive transshipment agreement rule, any claim that FOML's non-exclusive transshipment

⁵ The statements in the Report by Chairman Blust on behalf of the Commission to Congress, in response to a specific requirement to make such a report in the 2003-2004 appropriations for the FMC, must be given significant weight. One must presume that the Chairman would not make erroneous statements on matters of fact and law to the Congress.

⁶ "As explained below, the case has become somewhat complicated by changes in events as well as by reason of the Commission's rulemaking proceeding considering amendment or clarification of relevant regulations." 30 SRR at 299.

agreement was in violation of the Commission's regulations must be dismissed. Assuming, *arguendo*, that the rule is interpreted by the Commission as Trans-Net would have it interpreted, it still would be unjust and unfair to penalize FOML for a violation when the rule was unclear and needed clarification by the Commission. See, *Marine Terminal Services Agreements*, 23 SRR 1172 (FMC 1986) (Waiver of penalties appropriate for, among other reasons, the FMC's need to clarify its filing requirements), *Sea-Land Service, Inc.-Possible Violations of Sections 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984*, 29 SRR 1109 (I.D. 2003) (Where carrier did not have fair notice of standards to which it would be held, penalties are precluded). FOML believes that these precedents relation to penalties for violations of the Act are applicable as well as claims for reparations under similar circumstances.

In fact, however, the words "by direct vessel call" are not accompanied by the words "of a vessel owned or operated by the parties" which is what one would have to read into the current rule to reach the interpretation urged by Trans-Net. FOML has attached as Exhibit 3 hereto, its comments submitted to the Commission concerning the non-exclusive transshipment agreement regulation.

We note that the interpretation of the non-exclusive transshipment agreement regulation, like the issue of "ocean common carrier" is an issue of law, not fact, and can be resolved by the Presiding Administrative Law Judge through this Motion. We understand there may be reluctance to make such a ruling while the rulemaking proceeding is pending, but that should not be grounds for denying this Motion. Given Chairman Blust's Report to the Appropriations Committees, it appears that whatever the future of the rulemaking, the non-exclusive transshipment agreement between FOML and P&O Nedlloyd complied "in all respects with current Commission rules."

In addition, we think it is relevant to note that as the Administrative Law Judge has noted several times in Docket 03-08, even if one concluded that the FOML/P&O Nedlloyd non-exclusive transshipment agreement was not consistent with FMC regulations, it is virtually impossible for Trans-Net to show that but for the transshipment agreement it would have carried the cargo carried by FOML and therefore suffered damages:

In *Notice of Special Conference to be Held to Discuss Pending Motion and to Clarify Certain Matters* (November 26, 2003), Judge Kline stated:

"Finally, there is the question as to how to litigate Trans-Net's claim for monetary reparation. To prevail on this issue, of course, a complainant has to put on a persuasive case showing proximate cause and actual monetary losses caused by a competitor operating under an illegal arrangement, assuming that complainant can prove that the arrangement is illegal. In previous cases complainants have not been able to prove the necessary causal relationship even if respondents have been found to operate under unfilled or unapproved agreements."

And in *Notice of Discussion and Tentative Observations Based on Informal Conference*, December 1, 2003, Judge Kline pointed out:

“However, proving money damages is recognized as being difficult and I have cited in my previous rulings several cases in which complainants were unable to show the necessary proximate cause between the type of violation and the alleged monetary injury.”

And again in the *Supplemental Notice* (December 18, 2003, Judge Kline noted

“ I have already cited several cases illustrating the legal difficulty with Trans-Net’s claim for reparations, namely the question of proximate cause.”

And again in the *Notice of Location of Special Conference and Additional Matters to Discuss* (December 30, 2003), Judge Kline said

“Also, if, as a matter of law, there is no proximate causal relationship between failure to file an agreement and damages, what would be the relevance of any facts that Trans-Net might uncover in discovery?”

In fact, establishing proof that the alleged violations in the Complaint led to alleged damages to Trans-Net is a significant problem with the entire Complaint as we discuss below at pp.16 - 18.

C. FOML’s space charter agreement with P&O Nedlloyd is lawful.

As previously noted, we understand that Trans-Net filed comments opposing the space charter agreement between FOML and P&O Nedlloyd, FMC Agreement No. 011873, which comments we believe raised the same issues as raised in this Complaint.⁷ Trans-Net apparently alleged in comments filed with respect to the agreement filing and alleges here that the agreement is not lawful because (a) FOML is alleged to not be an ocean common carrier and (b) P&O Nedlloyd, as a member of the Grand Alliance, did not have the unanimous consent of the other Grand Alliance members to enter into the space charter. As to the former allegations, we have already shown that FOML is an ocean common carrier. As to the latter allegations (see clauses IV.U. and IV.JJ. of the Complaint), we note that FOML is not a member of the Grand Alliance; it has never been a member of the Grand Alliance; it has no knowledge as to the workings of the Grand Alliance; and FOML must rely on its belief that P&O Nedlloyd legally and properly agreed to charter its space in accordance with the provisions of the Grand Alliance Agreement. See Rostami Declaration at ¶ 7. See also Report at p. 2 in which the Commission stated: “According to our records, FOML is not now, nor has it ever been, a member of the Grand Alliance.” Because FOML is the only respondent in this proceeding, allegations concerning whether the members of the Grand Alliance consented to the space charter agreement are not properly before the Commission in this proceeding. These allegations must be dismissed because allegations about the members’

⁷ For reasons unknown to FOML, Trans-Net filed its comments on a “confidential” basis. Because FOML believes there is no right to confidentiality, FOML has recently filed an FOIA request for these comments with the FMC.

of the Grand Alliance compliance with the provisions of the Grand Alliance Agreement cannot constitute a claim against FOML.⁸

In FOML's view, the issue is not whether Trans-Net has failed to include indispensable parties, or whether Trans-Net could ever prove, in light of evidence provided in the Bannister Affidavit and the arguments in the respective Motions to Quash Subpoenas filed in Docket 03-08, that the Grand Alliance members did not adhere to their agreement; rather the issue, initially, is that the allegations concerning the Grand Alliance are made in the Complaint against FOML and FOML is not a party to the Grand Alliance Agreement. In short, the allegations related to the Grand Alliance do not state a cause of action against FOML and should be dismissed.

FOML respectfully moves that all allegations of Shipping Act violations based on allegations that it is not an ocean common carrier or based on the alleged actions or inactions of the Grand Alliance members should be dismissed.

D. The Allegations that FOML Violated Section 10(b)(1) or 10(b)(2)(A) Should be Dismissed.

The Complaint alleges, on information and belief that FOML rated cargo at rates other than those contained in its tariff; that FOML failed to publish tariff rates for cargo it carried and that FOML, on one occasion, assessed different rates and charges for identical shipments carried by the same vessel between the same port pairs. (Complaint at 13, paragraph QQ). These allegations are remarkable for both their specificity and the lack thereof.

First, the allegations do not support a claim of violation of Section 10(b)(1) which requires an allegation not that a carrier failed to charge the rates in its tariff, but that it did failed to charge its tariff rates and charges by "means of false billing, false classification, false weighing, false measurement, or by any other unjust or unfair device or means." Section 10(b)(1) is the corollary of Section 10(a)(1). If a carrier violates Section 10(b)(1) then there must be a shipper who has violated Section 10(a)(1) and vice versa. Dismissal is required here because the complaint does not allege any facts the fall within Section 10(b)(1). We note that cases under Section 10(b)(1) prior to its amendment by the Ocean Shipping Reform Act of 1998 provide no help because the amendment changed the language of Section 10(b)(1). The current Section 10(b)(1) reads like former section 10(b)(4) and the case law under Section 10(b) (4) does not support Trans-Net's expansive interpretation much less a claim for reparations.

Second, the allegation that FOML did not rate cargo in accordance with its published tariff rates does not allege where or when the alleged activity occurred. We suspect that this allegation could be made about every carrier and after years of discovery one might find some examples of violations because no one is perfect. But Trans-Net is seeking reparations and has not even alleged that this occurred in a trade it serves. Similarly

⁸ In Docket 03-08, Judge Kline noted the problems with Trans-Net's allegations concerning P&O Nedlloyd and the members of the Grand Alliance. See 30 SRR at 309-310 and note 5.

relevant, there is nothing in the allegation as to when these alleged tariff violations occurred. Even under notice pleading, the allegation has to be more specific than that made here where both the time and the place of the alleged violation are not alleged. The allegation should be dismissed for either lack of jurisdiction or for failure to state a claim upon which relief can be granted.

Third, the allegation that FOML carried certain commodities to Magadan and did not have rates in its tariff for such commodities is very specific⁹ and at the same time lacks specificity. If Trans-Net has specific details of such carriage, why doesn't it plead such details? How can FOML investigate the allegation or answer the complaint when the allegation is essentially that some time during the last three years on some shipment or shipments to Magadan, FOML did not have rates in its tariff? Who was the shipper? What were the shipment dates? What were the commodities? Were the shipments in the U.S. trade? We expect that Trans-Net will say that is what it hopes to find in discovery. The problem is that it is Trans-Net's allegation and it must, to pass muster, have some basis. At this point it doesn't meet basic jurisdictional requirements much less the requirements for notice pleading, and should be dismissed.

Fourth, the allegation that on one occasion FOML assessed different rates and charges for identical shipments carried by the same vessel between the same port pairs is so specific that we are sure that FOML could have provided the specific details of the shipments at issue.¹⁰ Who were the shippers? What were the shipment dates? What were the commodities? What were the rates? If Trans-Net knows enough to allege that this occurred on one occasion, then it should plead the specific information and not place FOML in the position of trying to guess what shipments made over the last three years are the basis for this allegation. The allegation doesn't meet the requirements for notice pleading and should be dismissed.

Finally, we note that even if one could "fly-speck" FOML's carryings against its tariffs for the last three years, an almost impossibly large and costly effort, and even if one found some non-conformance with regulations, (something that would likely be true in the case of any carrier or NVOCC because the business is complex and no one is perfect), the nexus between any such non-conformance and damage to Trans-Net would be virtually impossible to prove, notwithstanding Trans-Net's apparent claim that every shipper in the trade to the Russian Far East is Trans-Net's customer to the exclusion of all other carriers. See discussion at pp. 13 -14, and 16-18, below.

E. FOML has not violated Section 10(b)(3)

Trans-Net alleged that FOML is acting in an unjustly discriminatory manner under Section 10(b)(3) by "interfering in Trans-Net's contractual relationships with Trans-Net

⁹ The specificity suggests that Trans-Net may be in possession of FOML bills of lading or manifests. How they came into such possession and the means by which they acquired such documents may present questions under Section 10(b)(13) and would present questions of violation of that section by Trans-Net.

¹⁰ See Note 5. If these tariff allegations are not dismissed, are we going to have years of discovery of every shipment, every bill of lading and every tariff page for the last three years?

employees and former employees and in seeking to obtain Trans-Net's legally protected, confidential business information because Trans-Net has filed a complaint against FOML.

It is clear, prohibitions covered by Section 10(b)(3) do not apply to the facts alleged. The plain meaning of Section 10(b)(3) is that the class protected by Section 10(b)(3) is "shippers" and the persons to whom the provision applies are "carriers" who have a relationship with such shippers. FOML and Trans-Net do not have a shipper/carrier relationship. The Commission lacks subject matter jurisdiction over this claim and it is not one for which relief can be granted to Trans-Net and must be dismissed.

Second, Trans-Net has chosen not to disclose to the Administrative Law Judge or the Commission, as relevant to this portion of its complaint, that it has instituted a court action in the Superior Court of the State of Washington, in Seattle, to enjoin Tom Madderom, a discharged former employee, from working for FOML, in Russia. The suit in Washington is captioned *Trans-Net, Inc. v. Thomas Madderom and Yulia Madderom*, No. 04-2-1-523-4SEA (hereinafter "Seattle Litigation"). FOML is not a party to the Seattle Litigation. We note that the court has recently denied Trans-Net's Motion for a Preliminary Injunction.¹¹

Third, the claim of retaliation under section 10(b)(3) makes no sense. How can Trans-Net ever prove that the reason that FOML hired Madderom or Naganyuk was because FOML was so upset with Trans-Net's complaint in Docket 03-08 that it would retaliate against Trans-Net by hiring two of its employees? And if, *arguendo*, the Judge concluded that Section 10(b)(3) was applicable and that Trans-Net could prove such retaliation, what reparations could they prove. As Mr. Madderom says in his Declaration in the Seattle litigation:

"Although all or some of the companies of [Mr. Moe's] customer list may have indeed been TNI customers periodically at certain times in certain trades, Mr. Moe knows full well that most of these very same companies do substantial business with FOML as well as other carriers in these trade lanes. During my 5 years tenure at TNI I cannot recollect a single customer we had that was exclusive to TNI. Thus, no one company can fairly say that a cargo shipper is its exclusive client." See Declaration of Thomas Madderom, July 19, 2004, Para. 28, attached hereto as Exhibit 4.

Third, the claim makes no sense. How can Trans-Net prove that the reason FOML hired Madderom or Captain Naganyuk was because FOML was so upset with Trans-Net's complaint in Docket 03-08 that it would "get even" with Trans-Net by hiring their employees? The Rostami Declaration at ¶ 11 states the fact the former Trans-Net employees do not work in the U.S. trades and that they have made no disclosures to FOML relating to Trans-Net. In addition, the Declaration of Mike Evans, the Director of

¹¹ A second former Trans-Net employee hired by FESCO is Captain Vyacheslav Naganyuk who is now Director of FESCO's ice breaking vessel department. Interestingly, two former FESCO employees are employed by Trans-Net. See Declaration of W.L. Rivers Black, Exhibit A, which was filed in the Seattle Litigation and which is attached hereto as Exhibit 6.

Sales and Marketing at Fesco Agencies North America, Inc. ("FANA"), dated July 14, 2004, that was submitted in the Seattle litigation, at Paragraph 9 is instructive:

"Mr. Madderom has provided absolutely no information regarding [Trans-Net's] costs or pricing in any respect or any other proprietary information, to me or to any other FANA or FOML employee or entity to my knowledge. Nor to my knowledge has FOML or any related company attempted to obtain such information from Mr. Madderom." See Declaration of Mike Evans, July 14, 2004, attached hereto as Exhibit 5.

Finally, it is clear that the claim isn't a Shipping Act claim and it should be dismissed.

F. FOML Has Not Violated Section 10(d)(1).

Trans-Net alleges that FOML has misrepresented to the shipping public that it is affiliated with the Grand Alliance which has led to FOML obtaining cargo and that this is an unreasonable practice under Section 10(d)(1). This claim is also appropriate for dismissal as it is not a claim upon which relief can be granted to Trans-Net.

There is also a suggestion in the factual allegations that FOML has not adhered to the restrictions in the FOML/.PONL Space Charter Agreement provisions in Article 5.2 which read as follows:

2. Advertising

FOML agrees to the following with respect to advertising sailings with respect to the space purchased hereunder:

a. Except as provided below, FOML will not use the name "Grand Alliance" or the names of its members in connection with advertising FOML's service to the Russian Far East.

b. FOML will not use the name "Grand Alliance" or the names of the vessels operated by the Grand Alliance in third party media advertising with respect to its service to the Russian Far East.

c. FOML will be permitted, in its direct advertising to its customers of its service to the Russian Far East, such as direct mailings of ship schedules, to use the names of the vessels, but will in such advertising include the following disclaimer, "FOML is not a member of the Grand Alliance."

FOML's advertisement in the Pacific Shipper, its only third party media advertisements, for two weeks after the FOML/.PONL Space Charter Agreement became effective, used the names of the vessels. The lead time for ad copy to the Pacific Shipper is such that FOML was not able to change its advertisement to coordinate to the effective date of the Agreement. Does this rise to a violation of section 10(a)(3)? See Rostami Declaration at ¶ 8.

The above-quoted provision on advertising in Agreement No. 011843 was placed there through negotiations between the parties. Trans-Net is not a party to the agreement and it is certainly not a third party beneficiary. It has no standing to complain about non-compliance, if any, with the provisions of Agreement No. 011843.

In any event, can Trans-Net prove with reliable and probative evidence that any cargo was carried by FOML rather than Trans-Net as a result of the use of the vessel names in the Pacific Shipper during the period between April 26, 2004 which was the effective date of Agreement No. 011873 and May 17, 2004, a period of 21 days when the vessel names were not published in the FOML advertisement?

We think it noteworthy that in Commission's Report (at p. 2) the Chairman noted "Through operational agreements, FOML has the ability to utilize space on the vessels of other ocean common carriers and, consequently, to advertise those vessels on which it is taking space." This clearly suggests that the Commission believes that advertising space chartered from others is a normal consequence of such space charters.

The factual allegations related to this claim are that FOML advertisements in the Pacific Shipper and on FOML's website use the names of Grand Alliance members' vessels. There is no allegation that FOML ever, in writing or orally, represented to any shipper or other person that it was a member of the Grand Alliance. Anyone could look at the Grand Alliance advertisement in the Pacific Shipper and determine that FOML is not a member. The allegation does not contend that any specific shipper used FOML because it thought it was a member of the Grand Alliance. While the Grand Alliance may have a significant presence, the fact is that it is an alliance of four distinct carriers who compete with each other and with every other carrier operating in the trades they serve. The Grand Alliance vessels do not go to Russia. We suspect that the competing global consortia such as the New World Alliance, the CKY Group, and other alliances would not contend that being a member of the Grand Alliance was anything special.

It is worth looking at how Trans-Net, which operates no vessels, advertises on its website. It says:

"TransNet offers regular shipping lines to all major ports of North America, Asia, European ports, and all ports of the Russian Far East."

But we know that Trans-Net does not operate any vessels so how can it make such a representation? On the same web page, Trans-Net publishes shipping schedules that name specific vessels. See http://www.transnetinc.com/eng/saling_schedule.asp . Does Trans-Net believe that it is misleading the public into thinking it is a vessel operator? If one looked at all carrier and NVOCC websites, they would find numerous instances where vessels are shown on sailing schedules that are not vessels owned or operated by the party making the advertisement. Are all of these entities engaged in violation of Section 10(d)(1)? Do none of these entities have a First Amendment right to advertise and disclose to their customers the way they intend to carry their customer's cargoes in this era of space charter, vessel sharing agreements and NVOCCs?

The fact is that FOML had a transshipment agreement with P&O Nedlloyd and it now has a filed and effective space charter agreement with P&O Nedlloyd. It has every right to inform its customers of its sailing schedules and the names of the vessels being utilized.

In sum, this Section 10(d)(1) claim is truly frivolous and should be dismissed.

V. THERE IS NO BASIS FOR A REPARATIONS CLAIM

Trans-Net states, without a scintilla of fact, that by reason of the alleged violation of Sections 10 and 19 that it is “has suffered and will continue to suffer substantial, potentially irreparable, direct and indirect monetary injury, to be proved during the proceeding.” Complaint, Section VI.

As we have shown above, the allegations of Shipping Act violations must be dismissed for a host of valid reasons. Another reason to dismiss this proceeding is that if one assumed that Trans-Net has filed a complaint that could withstand this Motion to Dismiss/Motion for Summary Judgment, as assumption that FOML would not accept, and Trans-Net was successful in proving that Shipping Act violations occurred, then the question that needs to be asked is what damages could Trans-Net prove were proximately caused to it by the alleged violations? See, Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc., 26 SRR 788, 797 (ID 1992, administratively final 1993) (A finding of violations is not by itself sufficient to warrant an award of reparations but rather the Commission requires a showing that the damages claimed were reasonably foreseeable or proximately caused by the violation proven), and other cases cited therein.

This is not a new issue as shown previously in this Motion; it is one that FOML and the Administrative Law Judge raised many times during discussions and conferences in Docket 03-08. Let’s look at the claims:

Section 10(a)(1) is a claim by Trans-Net that FOML as a shipper (which it is not) through either the alleged unlawful non-exclusive transshipment agreement or the alleged unlawful space charter agreements obtained ocean transportation, let us assume to Busan from the Pacific Coast, (the complaint does not state this), at less than the rates that would otherwise apply by “misrepresenting their carrier status.” Putting aside FOML’s contention that the claimed violation should be dismissed, how was or is Trans-Net damaged? What would they have to prove? In the broadest sense, they have to meet the *sine qua non* test that but for the actions of FOML in allegedly violating this provision, cargo carried by FOML would have been carried by Trans-Net. Given that there are a number of carriers, both VOCCs and NVOCCs who compete in this market, how can Trans-Net prove this?

Section 10(a)(2) is a claim that FOML operated under a connecting carrier agreement that was not exempt. Setting aside the fact that to have an agreement one needs at least two parties, and Trans-Net has not sued any other party, and setting aside the reasons why this claim should be dismissed for all the reasons it was dismissed in Docket 03-08, we come to the same problem: how was or is Trans-Net damaged? What would they have to prove? In the broadest sense, they have to meet the *sine qua non* test that but for the actions of FOML in violating this provision, the cargo carried by FOML would have

been carried by Trans-Net. Given that there are a number of carriers, both VOCCs and NVOCCs who compete in this market, how can one prove this?

Section 10(a)(3) has been discussed above. If FOML mentioned the names of vessels in its third party media advertising, how does this translate to damage to Trans-Net? What would they show to exclude the possibility of the cargo being carried by another carrier or on FOML's direct sailings to the Russian Far East?

Sections 10(b)(1), 10(2)(A) and 10(b)(3) also present no bases for alleged damages to Trans-Net. How can Trans-Net show, for example, that a failure to publish a rate in a tariff directly led to its loss of profit from carrying the cargo that allegedly was carried with no tariff rate published? How does it prove that it is damaged by one instance of FOML carrying identical shipments at different rates? How does it prove it was damaged if FOML did not adhere to a tariff rate? How does Trans-Net prove that FOML's hiring of a discharged former employee directly led to the carriage by FOML of cargo that would have, to the exclusion of all other services, been carried by Trans-Net?

Section 10(d)(1) presents the same problems, if not worse. Not only would Trans-Net have to prove that there was misleading advertising that violated Section 10(d)(1), a huge problem, it would have to show that shippers were duped by the advertising, made the decision to use FOML solely because they thought FOML was a member of the Grand Alliance, and if they had not used FOML they would have used Trans-Net? Does Trans-Net really believe that this occurred and how would they prove it?

Section 19(a) and (b) is Trans-Net's contention that if FOML was not an ocean common carrier, it was an NVOCC and if it was an NVOCC then it did not comply with the requirements of sections 19(a) and 19(b). What is the theory of reparations that comes out of these allegations? Are FOML's direct ship services to be ignored? The alleged violation is not having a license or posting a surety bond. How does this injure Trans-Net?

We think it would be useful for the Administrative Law Judge's complete understanding of the issue of competition in the Pacific Coast/Russian Far East trade to review the Declaration of Mike Evans, filed in the Seattle Litigation, which is Exhibit 5 hereto, especially where he notes (at ¶ 9) that:

“There are at least four (4) vessel operating common carriers (“VOCC”) operating in the Russian Far East trade lane: FOML, Maersk-Sealand, Hyundai and Mitsui OSK Line.”

In addition, as previously noted, we have attached the Declaration of Thomas Madderom, from the Seattle Litigation at Exhibit 4, and draw specific attention, as relevant to the issue at hand, to Paragraphs 26 – 33. We note that Mr. Madderom specifically states (at ¶ 26) that the Trans-Net business model

“is a good product, but offered by hundreds of other NVOCCs throughout the world.”

He says (at ¶ 28) that

"During my 5 year tenure at [Trans-Net] I cannot recollect a customer we had that was exclusive to Trans-Net. Thus, no one company can fairly say that a cargo shipper is its exclusive client."

He notes that (at ¶ 29):

"There are other companies in this market now, including Sealand/Maersk, P&O Nedlloyd, and American President Lines, as I noted above. These companies too, have substantially the same customers as [Trans-Net] and FOML."

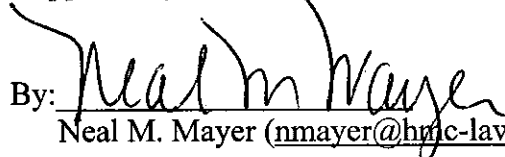
FOML believes that not only are the allegations not sustainable, there is no plausible, demonstrable reason to pursue this matter because Trans-Net cannot prove that it, to the exclusion of anyone else, was the damaged party. This, too, is a basis for dismissal of the Complaint.

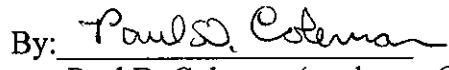
VII. CONCLUSION

For all of the reasons set forth herein, as well as in the pleadings in Docket 03-08, and in the Exhibits attached hereto, FOML respectfully requests that the Complaint be dismissed in its entirety, or in part.

Respectfully submitted,

Hoppel, Mayer & Coleman

By: 
Neal M. Mayer (nmayer@hmc-law.com)

By: 
Paul D. Coleman (pcoleman@hmc-law.com)

Attorneys for Fesco Ocean Management Limited

1000 Connecticut Avenue, N.W.
Washington, DC 20036
202-296-5460
202-296-5463 (fax)

Certificate of Service

I certify that a copy of the foregoing Motion to Dismiss and/or for Summary Judgment has been served by hand delivery this 16th day of August, 2004 upon Eliot J. Halperin, Esq., Counsel for Trans-Net, Inc.

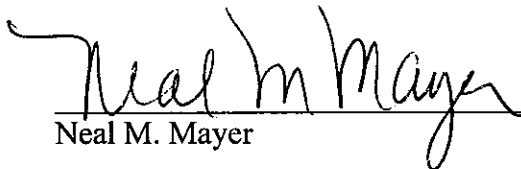

Neal M. Mayer

EXHIBIT 1

TRANS-NET, INC.	)	
	)	
Complainant,	)	
	)	
v.	)	Docket No. 04-07
	)	
FESCO OCEAN MANAGEMENT LIMITED	)	
	)	
Respondent.	)	

STATE OF WASHINGTON)
) ss.
COUNTY OF KING)

(3) As I noted in my prior affidavit, FOML operates as an ocean common carrier in the U.S./Australia-New Zealand trade as a member of the U.S. Pacific Coast/Oceania Agreement, FMC Agreement No. 011741 (“Agreement 011741”). Under Article 5.1 of the Agreement 011741, FOML is required to and does provide three of the vessels

employed in the Pacific Northwest string, calling at ports in California, the U.S. Pacific Northwest, Hawaii, New Zealand, Australia, Fiji and Tahiti.

(4) The three vessels currently contributed by FOML to the Pacific Coast Oceania VSA are the Kapitan Maslov which is time chartered by FOML from Roselaust Container Ships Limited, the Vladivostok, which also is time chartered from Roselaust, and the Kapitan Afanasiev which is time chartered by FOML from Roseast Container Ships Limited¹. All the vessels are time chartered by FOML pursuant to standard forms of time charters and are commercially consistent with other time charters for similarly sized vessels. Copies of two of these time charters (Kapitan Maslov and Kapitan Afanasiev) were provided to the FMC in February, 2002. Although these were provided over two and one-half years ago, no questions have been received from the FMC concerning these time charters.

(5) FOML or its predecessors has served the U.S. West Coast/Russia trade over approximately 12 years in several ways: (a) FOML or its predecessors originally operated a liner service between the Pacific Northwest and the Russian Far East using time chartered vessels; this direct vessel service became economically untenable when the ruble collapsed in 1998 and was discontinued; (b) FOML operated in the trade from the Pacific Coast of the U.S. to the Russian Far East through non-exclusive transshipment agreements that it entered into with PONL. A copy of the agreement with PONL is in the record in Docket 03-08. Under the transshipment agreement, FOML, as the Publishing Carrier, obtained space from PONL, which was the Originating Carrier, for the transportation from the U.S. West Coast to the transshipment point, Busan, South Korea, and FOML, as the Destination Carrier, transported the cargo on space chartered to FOML from Busan to Russia; (c) FOML also has a non-exclusive transshipment agreement with Westwood Shipping Corp., which pre-dated the PONL non-exclusive transshipment agreement and which operated in a manner identical to that with PONL²; (d) FOML has entered into a space charter agreement with P&O Nedlloyd, FMC Agreement No. 011873, which became effective on April 26, 2004 under which FOML moves shipments pursuant to its published tariffs and under its bills of lading from the Pacific Coast to Busan and then arranges for the container's further carriage to destinations in the Russian Far East, and (e) FOML has been providing service directly to the Russian Far East on vessels that it voyage charters from its parent, FESCO; these voyages are not on a fixed schedule; they operate about every 45 days and are the return voyages of vessels which FESCO, not FOML, utilizes to carry full shiploads of aluminum from Russia to the Pacific Northwest or California, and then are voyage chartered to FOML for use in ocean common carrier service for carriage to Russia of containerized, breakbulk and other cargoes at published tariff rates. Attached is an advertisement for this direct service from http://www.fesco.com/RFE_Direct.htm

¹ At times both prior to and after FMC Agreement 011741 became effective, FOML time chartered various other vessels and deployed them in the service between the United States and Oceania.

² Trans-Net has never challenged the lawfulness of the non-exclusive transshipment agreement with Westwood. The Westwood arrangement is currently not being utilized.

(6) In addition to Agreement No. 011741, discussed above, and Agreement 011873, discussed below, FOML is a party to a number of filed and effective FMC agreements which require all members to be "ocean common carriers." Among these agreements are

011117 205 U.S./AUSTRALASIA DISCUSSION AGREEMENT
011268 205 NEW ZEALAND/U.S. INTERCONFERENCE AND CARRIER
DISCUSSION AGREEMENT
011275 205 AUSTRALIA/UNITED STATES DISCUSSION AGREEMENT
011574 205 PACIFIC ISLANDS DISCUSSION AGREEMENT
011666 232 WEST COAST NORTH AMERICA/PACIFIC ISLANDS VESSEL
SHARING AGREEMENT

(7) FOML is a party to a space charter agreement with P&O Nedlloyd Limited, called the FOML/PONL Space Charter Agreement, which is FMC Agreement No. 011873 and which became effective on April 26, 2004. When this space charter agreement became effective, the parties terminated their non-exclusive transshipment agreement. FOML negotiated the space charter agreement solely with P&O Nedlloyd. While we are aware that Trans-Net has made allegations concerning the Grand Alliance Agreement and whether P&O Nedlloyd obtained the consent of the other members, FOML is not a member of the Grand Alliance and is not privy to the communications between or among the Grand Alliance members. I note that it is my belief that the restrictions on advertising contained in FMC Agreement No. 011873, were the result of requirements by the Grand Alliance members expressed to P&O Nedlloyd to obtain their consent to the space charter. I note that the advertising issue was one raised by Trans-Net in Docket 03-08 and again in Docket 04-07, and it is my belief that one or more Grand Alliance member carriers with whom Trans-Net may do business might have prevailed on P&O Nedlloyd to insist on the restrictions on advertisements using the names of Grand Alliance member vessels as a condition for their consent. In any event, P&O Nedlloyd requested inclusion of the advertising restrictions and since they were not objectionable to FOML, we agreed to them.

(8) FOML's agreement not to use the names of vessels in third party media advertising impacted only on its paid advertisement in the Pacific Shipper. While FOML's agreement with P&O Nedlloyd became effective on April 26, 2004, FOML had to wait for April 26, 2004 to know for sure that the Agreement with P&O Nedlloyd was effective. By the time I issued instructions to change the advertisement to eliminate the names of the Grand Alliance vessels, advertising copy had been sent to Pacific Shipper for the next issue or two and we were only able to make the advertising change beginning the week of May 17, 2004. I note, though not required by the Agreement with P&O Nedlloyd, the Pacific Shipper advertisement includes the statement "FOML is not a member of the Grand Alliance" and has done so since May 24, 2004. Finally, with respect to the Pacific Shipper, we note that it publishes vessel sailing schedules, separate from carrier advertisements. Pacific Shipper develops these schedules on its own and they are not paid for or under the control of advertisers. These sailing schedules show Grand Alliance member vessel names in connection with FOML's services to the Russian Far East. There is not much FOML can do about the Pacific Shipper's publication of this information.

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(9) It is our understanding that our direct mail advertising and our advertising on our website is not third party media advertising and that we are free to use the names of the vessels that will be carrying shipments under FOML bills of lading. These advertisements clearly state that "FOML is not a member of the Grand Alliance."

(10) Trans-Net's allegations that FOML has in various ways violated provisions of Section 10(b)(1) and 10(b)(2)(A) of the Shipping Act are impossible to address. How can we determine if we carried cargoes at less than tariff rates, or without tariff rates, or at different rates for the same commodities moving in the same trade, if Trans-Net does not provide the details it should have in order to make these allegations? FOML takes its Shipping Act compliance obligations seriously and if there are errors in compliance, they certainly would not be intentional and we would very much like to make sure that our processes are working properly to achieve compliance. I would note, however, that I don't understand why Trans-Net has raised these issues because I don't understand how Trans-Net can demonstrate that it was injured by a competitor's alleged failure to comply with requirements of Section 10(b)(1) and 10(b)(2)(A).

(11) Trans-Net claims that FOML's hiring of persons who were once employed by Trans-Net was done in retaliation for Trans-Net's complaint against FOML and that this is a violations of Section 10(b)(3) of the Act. I understand that Trans-Net has sued Tom Madderom, one of its former employees. I note that no former Trans-Net employee now working for FOML or its parent, FESCO, is involved with FOML's ocean common carrier services to/from the United States and we have not asked them to provide any information to us concerning Trans-Net's business, business information or practices.

I declare under penalty of perjury that the above is true and correct.

Signed and dated this th11 day of August, 2004


Aspi Rostami

Advertisement from http://www.fesco.com/RFE_Direct.htm as published on August 10, 2004:

NORTH AMERICA TO RUSSIA DIRECT SERVICE

Updated 07/16/04

- ◆ SA 15 TYPE ICE CLASS – RO-RO/BREAKBULK VESSELS
- ◆ ACCEPTING CONTAINER, BREAKBULK, ROLLING STOCK AND PROJECT CARGOES

KAPITAN MAN
225WB

AMDERMA
226WB

- ◆ LOADING FROM TACOMA, WA

LOADING FROM EVERETT, WA

ETD TACOMA

JUL 26-28

AUG 24-27

- ◆ LAST RECEIVING DATE T-7 TACOMA: LAST RECEIVING DATE PACIFIC TERMINAL:

BREAKBULK –

JUL 22

AUG 20

RO-RO –

JUL 21

AUG 19

CONTAINER –

JUL 23

AUG 23

DOCUMENTATION –

JUL 22

AUG 20

- ◆ FOR RUSSIAN FAR EAST PORTS OF:

MAGADAN ETA

AUG 12-14

SEP 10-11

KORSAKOV ETA

AUG 18-19

SEP 15-16

VLADIVOSTOK ETA

AUG 21-22

SEP 18-19

P-K

on inducement

on inducement

EXHIBIT 2



FEDERAL MARITIME COMMISSION
OFFICE OF THE SECRETARY
800 NORTH CAPITOL STREET, N.W.
WASHINGTON, D.C. 20573-0001
(202) 523-5725

August 11, 2004

Neal M. Mayer, Esq.
Hoppel, Mayer & Coleman
Attorneys and Counsellors at Law
1000 Connecticut Avenue, N.W.
Washington, D.C. 20036

Dear Mr. Mayer:

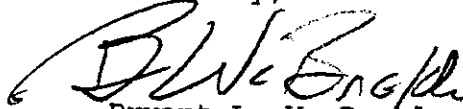
This is to further respond to your July 1, 2003 Freedom of Information Act request as modified during our telephone conversation. As modified, you seek any documents in the Commission's possession used in preparing the Report referenced in your July 1, 2003 request. You do not seek records provided earlier to Mr. Paul Coleman, your partner, in response to his February 24, 2003 Freedom of Information Act request. You also agreed that I could exclude from the scope of your request documents you provided concerning FESCO or FOML in response to staff requests in connection with its preparation of this Congressionally mandated report.

By letter dated August 8, 2003, I advised that records from the Commission's files responsive to your request consisted of the Report submitted to the Senate and House Committees on Appropriations as referred to in your July 1, 2003 request, as well as information furnished by the Department of State. Because of this I referred your request, to the Department of State. I also advised that I was withholding certain draft copies of the Report pursuant to the deliberative process privilege contained in Exemption 5 of the Freedom of Information Act and the Commission's implementing regulations, 5 U.S.C. 552(b)(5) and 46 C.F.R. 503.33(a)(5).

The State Department has now advised that it does not object to the release of the Report. Accordingly, enclosed are the records from the Commission's files, (the Report referred to above) that are responsive to the your Freedom of Information Act request.

If I may assist you in any other way, please do not hesitate to contact me.

Sincerely,


Bryant L. VanBrakle
Secretary



Federal Maritime Commission
Washington, D.C. 20573

Office of the Chairman

May 30, 2003

The Honorable Richard C. Shelby, Chairman
Committee on Appropriations
Subcommittee on Transportation, Treasury
and General Government
United States Senate
133 Dirksen Senate Office Building
Washington, DC 20515-6037

Attn: Lula Edwards

NOTE: THIS DOCUMENT CONTAINS INFORMATION DESIGNATED BY THE UNITED STATES DEPARTMENT OF STATE AS SENSITIVE BUT UNCLASSIFIED.

Dear Chairman Shelby:

On February 13, 2003, the Conference Committee on Appropriations directed the Federal Maritime Commission ("Commission") to report to the House and Senate Committees on Appropriations regarding the participation of the Far Eastern Shipping Company ("FESCO") in the Grand Alliance Agreement in providing service in the United States-Russian Far East trade. In addition, the Commission was directed to report on whether FESCO should be reclassified as a controlled carrier under Section 9 of the Shipping Act of 1984, 46 U.S.C. app. § 1708 ("Shipping Act"). H.R. Rep. No. 10, 108th Cong., 1st Sess. (2003). In response to this inquiry, we have gathered information from FESCO and its subsidiary company, FESCO Ocean Management Limited ("FOML"), the U.S. Department of State's diplomatic mission to the Government of the Russian Federation ("GOR"), and press reports. This information is set forth herein.

As an initial matter, the Commission's Bureau of Enforcement continues to monitor the activities of FESCO and FOML to determine whether their operations are violative of the Shipping Act or may warrant the initiation of a formal proceeding by the Commission. In addition, the Commission's General Counsel has analyzed the controlled carrier status of FESCO and FOML. The factual circumstances surrounding the operations, ownership and control of FESCO and FOML are varied and complex. However, we have concluded that neither FESCO nor FOML should be classified as a controlled carrier under the Shipping Act.

I. FESCO's Participation in the Grand Alliance

FOML and FESCO contend that FESCO is not an ocean common carrier operating in the U.S. trades. Occasionally, FESCO charters its vessels to a single shipper for full shipments of aluminum to the United States. In some cases, FESCO then charters these vessels to FOML for the westbound sailing back to Russia. Otherwise, the vessels sail back to Russia without any cargo. Consequently, FESCO asserts that it does not hold itself out to the general public to offer maritime transportation to or from the United States, and that it is merely a tramp operator in the U.S. trades.

FOML, on the other hand, does operate regular services in the U.S. trades. This company, a wholly-owned subsidiary of FESCO incorporated in Cyprus, operates three vessels in the United States - Australia trade. Based on FOML's operation of these three vessels, it has the ability to enter into agreements with other ocean common carriers in U.S. trades and to offer service contracts to shippers. 46 U.S.C. app. §§ 1703, 1704, 1707(c). Through operational agreements, FOML has the ability to utilize space on the vessels of other ocean common carriers and, consequently, to advertise those vessels on which it is taking space.

According to our records, FOML is not now, nor has it ever been, a member of the Grand Alliance. The four carriers that are parties to the Grand Alliance are P&O Nedlloyd, Hapag-Lloyd Container Linie, Nippon Yusen Kaisha, and Orient Overseas Container Linie, GmbH.¹ It is our understanding that FOML is not participating in any of the activities of the Grand Alliance. The provisions of the Grand Alliance II Agreement permit a Grand Alliance party to sub-charter space allocated to it on other parties' vessels to a third party with the unanimous consent of the other parties.

However, FOML has stated that P&O Nedlloyd is offering space to FOML on its own vessels and the vessels of its alliance partners through a non-exclusive transshipment agreement, not through a

¹ Under the parties' agreement, known as the Grand Alliance II Agreement, these carriers have the authority to discuss and agree on rate and service matters on a voluntary, non-binding basis and to take space on each other's vessels in the trades between U.S. ports and Europe, Asia, and North Africa. However, the carriers do not have rate authority between the United States and European Union countries.

space charter agreement.² In 1983, the Commission exempted non-exclusive transshipment agreements from the filing requirements of the Shipping Act, 1916, and this exemption was continued under the Shipping Act of 1984.³ On this basis, the parties claim that they are not required to file their agreement with the Commission.

Pursuant to the non-exclusive transshipment agreement between P&O Nedlloyd and FOML, FOML takes space from P&O Nedlloyd from the U.S. West Coast to Pusan, Korea. At Pusan, FOML's cargo is transshipped to vessels operated by FESCO and Hyundai Merchant Marine. FOML has a slot charter agreement with its parent company, FESCO, in the Korea/Russia trade. Those vessels carry FOML's cargo to Vladivostok, Russia. By these arrangements, FOML provides service between the U.S. West Coast and the Russian Far East.

² As defined in the Commission's regulations, a non-exclusive transshipment agreement is

an agreement by which one ocean common carrier serving a port of origin by direct vessel call and another such carrier serving a port of destination by direct vessel call provide transportation between such ports via an intermediate port served by direct vessel call of both such carriers and at which cargo will be transferred from one to the other and which agreement does not: (1) [p]rohibit either carrier from entering into similar agreements with other carriers; (2) guarantee any particular volume of traffic or available capacity; or (3) provide for the discussion or fixing of rates for the account of the cargo interests, conditions of service or other tariff matters other than the tariff description of the service offered as being by means of transshipment, the port of transshipment and the participation of the nonpublishing carrier.

46 C.F.R. § 535.306(a).

The Commission's regulations require that the publishing carrier specify in its relevant tariff the through rate, the routings (origin, transshipment and destination ports), any additional charges (*i.e.*, port arbitrary and/or additional transshipment charges), and participating carriers. 46 C.F.R. § 535.306(c).

³ The reason for the exemption was that non-exclusive transshipment agreements were deemed to have a minimal impact on competition in U.S. trades.

In December 2002, the Commission received a copy of the non-exclusive transshipment agreement between P&O Nedlloyd and FOML. Analysis of the agreement indicates that it complies in all respects with current Commission regulations. FOML has asserted in the past that the Commission does not have jurisdiction over FESCO, as it is not an ocean common carrier, nor does it have jurisdiction over that portion of FOML's service between Pusan and Vladivostok, as that service does not include a U.S.-foreign trade. Nevertheless, FOML did provide a copy of the slot charter agreement between FESCO and FOML for the Korea-Russia portion of FOML's service. There appears to be nothing unusual about that agreement.

Based on the position of FOML and P&O Nedlloyd that their agreement is a non-exclusive transshipment agreement, they believe it was unnecessary for P&O Nedlloyd to have the consent of the other Grand Alliance parties. Nevertheless, P&O Nedlloyd did inform the other parties via electronic mail that it was entering into a "connecting-carrier agreement" with FOML. At a recent meeting with Commission staff, counsel for both the Grand Alliance parties and FOML contended that the arrangement is a non-exclusive transshipment agreement and not a space charter agreement. Moreover, counsel for the Grand Alliance parties stated that his clients had no objection to this arrangement. The use of a transshipment agreement in this manner and the issue of "tramp" status for FESCO are matters which remain under review at the Commission.

II. Controlled Carrier Status of FESCO and FOML

In defining the term "controlled carrier," section 3(8) of the Shipping Act of 1984 states,

ownership or control by a government shall be deemed to exist with respect to any carrier if -

(A) a majority portion of the interest in the carrier is owned or controlled in any manner by that government, by any agency thereof, or by any public or private person controlled by that government; or

(B) that government has the right to appoint or disapprove the appointment of a majority of the directors, the chief operating officer, or the chief executive officer of the carrier.

46 U.S.C. app. § 1702(8).

The Commission has gathered information about FESCO and FOML through correspondence with those entities, correspondence with the U.S. diplomatic mission to Russia, press releases and industry

press reports, and meeting with counsel. On November 13, 2002, the Acting General Counsel, by letter to FESCO/FOML, requested information on FESCO's and FOML's activities, including what United States trades FESCO/FOML serve or propose to serve; a listing of the name and flag of registry of each vessel FESCO/FOML operates or proposes to operate that is or will be subject to the tariff publication requirements of 46 C.F.R. § 520.3(a); whether FESCO/FOML's operating assets are directly or indirectly owned or controlled by a government, and if so, which government; and whether a government has the right to appoint or disapprove the appointment of a majority of the directors or the chief operating or executive officer of FESCO/FOML, and if so, which government.

FESCO and FOML were also asked to provide a list of every person, corporation, and entity having a five percent (5%) or more interest in FESCO/FOML and to specify the percentage of ownership; whether any person, corporation or entity holds an interest for the benefit of another party, i.e., in trust, and if so, to provide the name of such person, corporation or entity for whose benefit the interest is held; and finally whether any of these entities or persons are associated or affiliated with any government, and if so, to specify the individual and the nature of such association or affiliation. The Acting General Counsel received a response from FESCO/FOML on December 13, 2002, generally denying any majority control or ownership of FESCO or FOML by the Government of the Russian Federation and specifically listing entities holding over 5% ownership interest in FESCO.

The Acting General Counsel also sought the opinion of the U.S. diplomatic mission to the GOR ("Embassy") as to the control of FESCO by Russian government interests. The Embassy's opinion is that the private shareholders now controlling a majority ownership in FESCO represent private interests and are not proxies for the GOR. The Embassy indicates that Sergey Generalov, who has ultimate ownership control of the companies that control 60% of FESCO shares, is a high-ranking member of the Duma. However, the Embassy believes that this fact is inadequate to characterize FESCO as being controlled by the GOR, primarily due to the fact that Mr. Generalov appears to hold indirectly the FESCO shares for his own private interests.

Assuming FESCO is correct that it does not operate as a common carrier in the U.S.-foreign trades, FESCO would not be subject to classification as a controlled carrier. FOML, on the other hand, does not dispute that it operates as an ocean common carrier and therefore could be subject to classification as a controlled carrier. The Shipping Act defines a controlled carrier as one controlled "directly or indirectly" by a government; as FOML is

nearly 100% owned by FESCO, it is appropriate to analyze the control and ownership of FESCO in order to determine whether FOML is a controlled carrier. Put another way, if FESCO is controlled by the GOR, the GOR indirectly controls FOML and therefore FOML may correctly be classified as a controlled carrier. This is the case regardless of whether the Commission has jurisdiction over FESCO itself.

Sections 3(8)(A) and (B) of the Shipping Act make clear that, to meet the definition of a controlled carrier, relevant governmental control of an ocean common carrier may be achieved either by ownership or control of assets, or by other methods of control. Examining the ownership of FESCO's assets alone does not appear to implicate this definition. First, the 19.8% GOR ownership stake alone is inadequate to support a finding that the GOR controls FESCO. Second, although the GOR may be pleased that companies controlled by Russian nationals were able to re-acquire control of FESCO in 2002, it appears that these other ownership interests in FESCO are private. As stated above, the Embassy has indicated to us its belief that Mr. Generalov's companies hold FESCO shares for private commercial interests, and we have no evidence to refute that assertion.

It similarly appears that the GOR does not exert the type of non-ownership control over FESCO outlined by the Shipping Act that would justify classifying FOML as a controlled carrier. Again, and as pointed out to us by the Embassy, while it appears that three members of the FESCO Board of Directors are GOR officials, it appears that they do not have the ability to control FESCO's operations. These three board members neither represent a voting majority nor appear to have the ability to veto or reject decisions of either FESCO's Board of Directors or its executive officers.

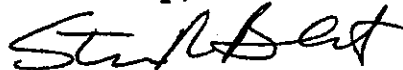
While there have been allegations implying GOR and local government pressure on the previous foreign owners to sell their interest in FESCO, the Commission has not concluded that such pressure by itself would be adequate to categorize the new ownership of FESCO as government-controlled. The previous foreign shareholders have been characterized as engaging in asset-stripping and mis-management. Thus, while it is not unlikely that the GOR may have encouraged new ownership by Russian nationals who may have a greater commitment in preserving FESCO as an ongoing concern, this alone is also an inadequate basis to conclude FESCO is controlled by the GOR.

We have concluded that FESCO is currently neither owned nor controlled by the Government of the Russian Federation to a degree that would subject it to the Shipping Act's definition of

controlled carrier. Similarly, FOML, as an entity directly and entirely controlled by FESCO, does not appear subject to the indirect control of the GOR. As such, the Commission has determined that FOML is not a controlled carrier within the meaning of the Shipping Act of 1984.

I trust that this information is fully responsive to the direction of the Committee. Please advise me if you require further information.

Sincerely,

A handwritten signature in dark ink, appearing to read "Steven R. Blust", written in a cursive style.

Steven R. Blust
Chairman



Federal Maritime Commission
Washington, D.C. 20573

Office of the Chairman

May 30, 2003

The Honorable Patty Murray, Ranking Member
Committee on Appropriations
Subcommittee on Transportation, Treasury
and General Government
United States Senate
133 Dirksen Senate Office Building
Washington, DC 20515-6037

Attn: Kate Hallahan

NOTE: THIS DOCUMENT CONTAINS INFORMATION DESIGNATED BY THE UNITED STATES DEPARTMENT OF STATE AS SENSITIVE BUT UNCLASSIFIED.

Dear Senator Murray:

On February 13, 2003, the Conference Committee on Appropriations directed the Federal Maritime Commission ("Commission") to report to the House and Senate Committees on Appropriations regarding the participation of the Far Eastern Shipping Company ("FESCO") in the Grand Alliance Agreement in providing service in the United States-Russian Far East trade. In addition, the Commission was directed to report on whether FESCO should be reclassified as a controlled carrier under Section 9 of the Shipping Act of 1984, 46 U.S.C. app. § 1708 ("Shipping Act"). H.R. Rep. No. 10, 108th Cong., 1st Sess. (2003). In response to this inquiry, we have gathered information from FESCO and its subsidiary company, FESCO Ocean Management Limited ("FOML"), the U.S. Department of State's diplomatic mission to the Government of the Russian Federation ("GOR"), and press reports. This information is set forth herein.

As an initial matter, the Commission's Bureau of Enforcement continues to monitor the activities of FESCO and FOML to determine whether their operations are violative of the Shipping Act or may warrant the initiation of a formal proceeding by the Commission. In addition, the Commission's General Counsel has analyzed the controlled carrier status of FESCO and FOML. The factual circumstances surrounding the operations, ownership and control of FESCO and FOML are varied and complex. However, we have concluded that neither FESCO nor FOML should be classified as a controlled carrier under the Shipping Act.

I. FESCO's Participation in the Grand Alliance

FOML and FESCO contend that FESCO is not an ocean common carrier operating in the U.S. trades. Occasionally, FESCO charters its vessels to a single shipper for full shipments of aluminum to the United States. In some cases, FESCO then charters these vessels to FOML for the westbound sailing back to Russia. Otherwise, the vessels sail back to Russia without any cargo. Consequently, FESCO asserts that it does not hold itself out to the general public to offer maritime transportation to or from the United States, and that it is merely a tramp operator in the U.S. trades.

FOML, on the other hand, does operate regular services in the U.S. trades. This company, a wholly-owned subsidiary of FESCO incorporated in Cyprus, operates three vessels in the United States - Australia trade. Based on FOML's operation of these three vessels, it has the ability to enter into agreements with other ocean common carriers in U.S. trades and to offer service contracts to shippers. 46 U.S.C. app. §§ 1703, 1704, 1707(c). Through operational agreements, FOML has the ability to utilize space on the vessels of other ocean common carriers and, consequently, to advertise those vessels on which it is taking space.

According to our records, FOML is not now, nor has it ever been, a member of the Grand Alliance. The four carriers that are parties to the Grand Alliance are P&O Nedlloyd, Hapag-Lloyd Container Linie, Nippon Yusen Kaisha, and Orient Overseas Container Linie, GmbH.¹ It is our understanding that FOML is not participating in any of the activities of the Grand Alliance. The provisions of the Grand Alliance II Agreement permit a Grand Alliance party to sub-charter space allocated to it on other parties' vessels to a third party with the unanimous consent of the other parties.

However, FOML has stated that P&O Nedlloyd is offering space to FOML on its own vessels and the vessels of its alliance partners through a non-exclusive transshipment agreement, not through a

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space charter agreement.² In 1983, the Commission exempted non-exclusive transshipment agreements from the filing requirements of the Shipping Act, 1916, and this exemption was continued under the Shipping Act of 1984.³ On this basis, the parties claim that they are not required to file their agreement with the Commission.

Pursuant to the non-exclusive transshipment agreement between P&O Nedlloyd and FOML, FOML takes space from P&O Nedlloyd from the U.S. West Coast to Pusan, Korea. At Pusan, FOML's cargo is transshipped to vessels operated by FESCO and Hyundai Merchant Marine. FOML has a slot charter agreement with its parent company, FESCO, in the Korea/Russia trade. Those vessels carry FOML's cargo to Vladivostok, Russia. By these arrangements, FOML provides service between the U.S. West Coast and the Russian Far East.

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The Commission's regulations require that the publishing carrier specify in its relevant tariff the through rate, the routings (origin, transshipment and destination ports), any additional charges (i.e., port arbitrary and/or additional transshipment charges), and participating carriers. 46 C.F.R. § 535.306(c).

³ The reason for the exemption was that non-exclusive transshipment agreements were deemed to have a minimal impact on competition in U.S. trades.

In December 2002, the Commission received a copy of the non-exclusive transshipment agreement between P&O Nedlloyd and FOML. Analysis of the agreement indicates that it complies in all respects with current Commission regulations. FOML has asserted in the past that the Commission does not have jurisdiction over FESCO, as it is not an ocean common carrier, nor does it have jurisdiction over that portion of FOML's service between Pusan and Vladivostok, as that service does not include a U.S.-foreign trade. Nevertheless, FOML did provide a copy of the slot charter agreement between FESCO and FOML for the Korea-Russia portion of FOML's service. There appears to be nothing unusual about that agreement.

Based on the position of FOML and P&O Nedlloyd that their agreement is a non-exclusive transshipment agreement, they believe it was unnecessary for P&O Nedlloyd to have the consent of the other Grand Alliance parties. Nevertheless, P&O Nedlloyd did inform the other parties via electronic mail that it was entering into a "connecting-carrier agreement" with FOML. At a recent meeting with Commission staff, counsel for both the Grand Alliance parties and FOML contended that the arrangement is a non-exclusive transshipment agreement and not a space charter agreement. Moreover, counsel for the Grand Alliance parties stated that his clients had no objection to this arrangement. The use of a transshipment agreement in this manner and the issue of "tramp" status for FESCO are matters which remain under review at the Commission.

II. Controlled Carrier Status of FESCO and FOML

In defining the term "controlled carrier," section 3(8) of the Shipping Act of 1984 states,

ownership or control by a government shall be deemed to exist with respect to any carrier if -

(A) a majority portion of the interest in the carrier is owned or controlled in any manner by that government, by any agency thereof, or by any public or private person controlled by that government; or

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The Commission has gathered information about FESCO and FOML through correspondence with those entities, correspondence with the U.S. diplomatic mission to Russia, press releases and industry

press reports, and meeting with counsel. On November 13, 2002, the Acting General Counsel, by letter to FESCO/FOML, requested information on FESCO's and FOML's activities, including what United States trades FESCO/FOML serve or propose to serve; a listing of the name and flag of registry of each vessel FESCO/FOML operates or proposes to operate that is or will be subject to the tariff publication requirements of 46 C.F.R. § 520.3(a); whether FESCO/FOML's operating assets are directly or indirectly owned or controlled by a government, and if so, which government; and whether a government has the right to appoint or disapprove the appointment of a majority of the directors or the chief operating or executive officer of FESCO/FOML, and if so, which government.

FESCO and FOML were also asked to provide a list of every person, corporation, and entity having a five percent (5%) or more interest in FESCO/FOML and to specify the percentage of ownership; whether any person, corporation or entity holds an interest for the benefit of another party, *i.e.*, in trust, and if so, to provide the name of such person, corporation or entity for whose benefit the interest is held; and finally whether any of these entities or persons are associated or affiliated with any government, and if so, to specify the individual and the nature of such association or affiliation. The Acting General Counsel received a response from FESCO/FOML on December 13, 2002, generally denying any majority control or ownership of FESCO or FOML by the Government of the Russian Federation and specifically listing entities holding over 5% ownership interest in FESCO.

The Acting General Counsel also sought the opinion of the U.S. diplomatic mission to the GOR ("Embassy") as to the control of FESCO by Russian government interests. The Embassy's opinion is that the private shareholders now controlling a majority ownership in FESCO represent private interests and are not proxies for the GOR. The Embassy indicates that Sergey Generalov, who has ultimate ownership control of the companies that control 60% of FESCO shares, is a high-ranking member of the Duma. However, the Embassy believes that this fact is inadequate to characterize FESCO as being controlled by the GOR, primarily due to the fact that Mr. Generalov appears to hold indirectly the FESCO shares for his own private interests.

Assuming FESCO is correct that it does not operate as a common carrier in the U.S.-foreign trades, FESCO would not be subject to classification as a controlled carrier. FOML, on the other hand, does not dispute that it operates as an ocean common carrier and therefore could be subject to classification as a controlled carrier. The Shipping Act defines a controlled carrier as one controlled "directly or indirectly" by a government; as FOML is

nearly 100% owned by FESCO, it is appropriate to analyze the control and ownership of FESCO in order to determine whether FOML is a controlled carrier. Put another way, if FESCO is controlled by the GOR, the GOR indirectly controls FOML and therefore FOML may correctly be classified as a controlled carrier. This is the case regardless of whether the Commission has jurisdiction over FESCO itself.

Sections 3(8)(A) and (B) of the Shipping Act make clear that, to meet the definition of a controlled carrier, relevant governmental control of an ocean common carrier may be achieved either by ownership or control of assets, or by other methods of control. Examining the ownership of FESCO's assets alone does not appear to implicate this definition. First, the 19.8% GOR ownership stake alone is inadequate to support a finding that the GOR controls FESCO. Second, although the GOR may be pleased that companies controlled by Russian nationals were able to re-acquire control of FESCO in 2002, it appears that these other ownership interests in FESCO are private. As stated above, the Embassy has indicated to us its belief that Mr. Generalov's companies hold FESCO shares for private commercial interests, and we have no evidence to refute that assertion.

It similarly appears that the GOR does not exert the type of non-ownership control over FESCO outlined by the Shipping Act that would justify classifying FOML as a controlled carrier. Again, and as pointed out to us by the Embassy, while it appears that three members of the FESCO Board of Directors are GOR officials, it appears that they do not have the ability to control FESCO's operations. These three board members neither represent a voting majority nor appear to have the ability to veto or reject decisions of either FESCO's Board of Directors or its executive officers.

While there have been allegations implying GOR and local government pressure on the previous foreign owners to sell their interest in FESCO, the Commission has not concluded that such pressure by itself would be adequate to categorize the new ownership of FESCO as government-controlled. The previous foreign shareholders have been characterized as engaging in asset-stripping and mis-management. Thus, while it is not unlikely that the GOR may have encouraged new ownership by Russian nationals who may have a greater commitment in preserving FESCO as an ongoing concern, this alone is also an inadequate basis to conclude FESCO is controlled by the GOR.

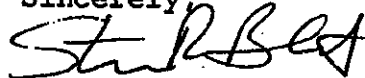
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-7-

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I trust that this information is fully responsive to the direction of the Committee. Please advise me if you require further information.

Sincerely,

A handwritten signature in dark ink, appearing to read "Steven R. Blust", written in a cursive style.

Steven R. Blust
Chairman



**Federal Maritime Commission
Washington, D.C. 20573**

Office of the Chairman

May 30, 2003

The Honorable John W. Olver, Ranking Member
Committee on Appropriations
Subcommittee on Transportation, Treasury
and Independent Agencies
U.S. House of Representatives
2358 Rayburn House Office Building
Washington, DC 20515-6028

Attn: Mike Malone

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² As defined in the Commission's regulations, a non-exclusive transshipment agreement is

an agreement by which one ocean common carrier serving a port of origin by direct vessel call and another such carrier serving a port of destination by direct vessel call provide transportation between such ports via an intermediate port served by direct vessel call of both such carriers and at which cargo will be transferred from one to the other and which agreement does not: (1) [p]rohibit either carrier from entering into similar agreements with other carriers; (2) guarantee any particular volume of traffic or available capacity; or (3) provide for the discussion or fixing of rates for the account of the cargo interests, conditions of service or other tariff matters other than the tariff description of the service offered as being by means of transshipment, the port of transshipment and the participation of the nonpublishing carrier.

46 C.F.R. § 535.306(a).

The Commission's regulations require that the publishing carrier specify in its relevant tariff the through rate, the routings (origin, transshipment and destination ports), any additional charges (*i.e.*, port arbitrary and/or additional transshipment charges), and participating carriers. 46 C.F.R. § 535.306(c).

³ The reason for the exemption was that non-exclusive transshipment agreements were deemed to have a minimal impact on competition in U.S. trades.

In December 2002, the Commission received a copy of the non-exclusive transshipment agreement between P&O Nedlloyd and FOML. Analysis of the agreement indicates that it complies in all respects with current Commission regulations. FOML has asserted in the past that the Commission does not have jurisdiction over FESCO, as it is not an ocean common carrier, nor does it have jurisdiction over that portion of FOML's service between Pusan and Vladivostok, as that service does not include a U.S.-foreign trade. Nevertheless, FOML did provide a copy of the slot charter agreement between FESCO and FOML for the Korea-Russia portion of FOML's service. There appears to be nothing unusual about that agreement.

Based on the position of FOML and P&O Nedlloyd that their agreement is a non-exclusive transshipment agreement, they believe it was unnecessary for P&O Nedlloyd to have the consent of the other Grand Alliance parties. Nevertheless, P&O Nedlloyd did inform the other parties via electronic mail that it was entering into a "connecting-carrier agreement" with FOML. At a recent meeting with Commission staff, counsel for both the Grand Alliance parties and FOML contended that the arrangement is a non-exclusive transshipment agreement and not a space charter agreement. Moreover, counsel for the Grand Alliance parties stated that his clients had no objection to this arrangement. The use of a transshipment agreement in this manner and the issue of "tramp" status for FESCO are matters which remain under review at the Commission.

II. Controlled Carrier Status of FESCO and FOML

In defining the term "controlled carrier," section 3(8) of the Shipping Act of 1984 states,

ownership or control by a government shall be deemed to exist with respect to any carrier if -

(A) a majority portion of the interest in the carrier is owned or controlled in any manner by that government, by any agency thereof, or by any public or private person controlled by that government; or

(B) that government has the right to appoint or disapprove the appointment of a majority of the directors, the chief operating officer, or the chief executive officer of the carrier.

46 U.S.C. app. § 1702(8).

The Commission has gathered information about FESCO and FOML through correspondence with those entities, correspondence with the U.S. diplomatic mission to Russia, press releases and industry

press reports, and meeting with counsel. On November 13, 2002, the Acting General Counsel, by letter to FESCO/FOML, requested information on FESCO's and FOML's activities, including what United States trades FESCO/FOML serve or propose to serve; a listing of the name and flag of registry of each vessel FESCO/FOML operates or proposes to operate that is or will be subject to the tariff publication requirements of 46 C.F.R. § 520.3(a); whether FESCO/FOML's operating assets are directly or indirectly owned or controlled by a government, and if so, which government; and whether a government has the right to appoint or disapprove the appointment of a majority of the directors or the chief operating or executive officer of FESCO/FOML, and if so, which government.

FESCO and FOML were also asked to provide a list of every person, corporation, and entity having a five percent (5%) or more interest in FESCO/FOML and to specify the percentage of ownership; whether any person, corporation or entity holds an interest for the benefit of another party, i.e., in trust, and if so, to provide the name of such person, corporation or entity for whose benefit the interest is held; and finally whether any of these entities or persons are associated or affiliated with any government, and if so, to specify the individual and the nature of such association or affiliation. The Acting General Counsel received a response from FESCO/FOML on December 13, 2002, generally denying any majority control or ownership of FESCO or FOML by the Government of the Russian Federation and specifically listing entities holding over 5% ownership interest in FESCO.

The Acting General Counsel also sought the opinion of the U.S. diplomatic mission to the GOR ("Embassy") as to the control of FESCO by Russian government interests. The Embassy's opinion is that the private shareholders now controlling a majority ownership in FESCO represent private interests and are not proxies for the GOR. The Embassy indicates that Sergey Generalov, who has ultimate ownership control of the companies that control 60% of FESCO shares, is a high-ranking member of the Duma. However, the Embassy believes that this fact is inadequate to characterize FESCO as being controlled by the GOR, primarily due to the fact that Mr. Generalov appears to hold indirectly the FESCO shares for his own private interests.

Assuming FESCO is correct that it does not operate as a common carrier in the U.S.-foreign trades, FESCO would not be subject to classification as a controlled carrier. FOML, on the other hand, does not dispute that it operates as an ocean common carrier and therefore could be subject to classification as a controlled carrier. The Shipping Act defines a controlled carrier as one controlled "directly or indirectly" by a government; as FOML is

nearly 100% owned by FESCO, it is appropriate to analyze the control and ownership of FESCO in order to determine whether FOML is a controlled carrier. Put another way, if FESCO is controlled by the GOR, the GOR indirectly controls FOML and therefore FOML may correctly be classified as a controlled carrier. This is the case regardless of whether the Commission has jurisdiction over FESCO itself.

Sections 3(8)(A) and (B) of the Shipping Act make clear that, to meet the definition of a controlled carrier, relevant governmental control of an ocean common carrier may be achieved either by ownership or control of assets, or by other methods of control. Examining the ownership of FESCO's assets alone does not appear to implicate this definition. First, the 19.8% GOR ownership stake alone is inadequate to support a finding that the GOR controls FESCO. Second, although the GOR may be pleased that companies controlled by Russian nationals were able to re-acquire control of FESCO in 2002, it appears that these other ownership interests in FESCO are private. As stated above, the Embassy has indicated to us its belief that Mr. Generalov's companies hold FESCO shares for private commercial interests, and we have no evidence to refute that assertion.

It similarly appears that the GOR does not exert the type of non-ownership control over FESCO outlined by the Shipping Act that would justify classifying FOML as a controlled carrier. Again, and as pointed out to us by the Embassy, while it appears that three members of the FESCO Board of Directors are GOR officials, it appears that they do not have the ability to control FESCO's operations. These three board members neither represent a voting majority nor appear to have the ability to veto or reject decisions of either FESCO's Board of Directors or its executive officers.

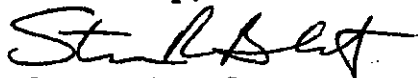
While there have been allegations implying GOR and local government pressure on the previous foreign owners to sell their interest in FESCO, the Commission has not concluded that such pressure by itself would be adequate to categorize the new ownership of FESCO as government-controlled. The previous foreign shareholders have been characterized as engaging in asset-stripping and mis-management. Thus, while it is not unlikely that the GOR may have encouraged new ownership by Russian nationals who may have a greater commitment in preserving FESCO as an ongoing concern, this alone is also an inadequate basis to conclude FESCO is controlled by the GOR.

We have concluded that FESCO is currently neither owned nor controlled by the Government of the Russian Federation to a degree that would subject it to the Shipping Act's definition of

controlled carrier. Similarly, FOML, as an entity directly and entirely controlled by FESCO, does not appear subject to the indirect control of the GOR. As such, the Commission has determined that FOML is not a controlled carrier within the meaning of the Shipping Act of 1984.

I trust that this information is fully responsive to the direction of the Committee. Please advise me if you require further information.

Sincerely,

A handwritten signature in dark ink, appearing to read "St. Blust", written in a cursive style.

Steven R. Blust
Chairman



Federal Maritime Commission
Washington, D.C. 20573

Office of the Chairman

May 30, 2003

The Honorable Ernest J. Istook, Chairman
Committee on Appropriations
Subcommittee on Transportation, Treasury
and Independent Agencies
U.S. House of Representatives
2358 Rayburn House Office Building
Washington, DC 20515-6028

Attn: Ben Nicholson

NOTE: THIS DOCUMENT CONTAINS INFORMATION DESIGNATED BY THE UNITED STATES DEPARTMENT OF STATE AS SENSITIVE BUT UNCLASSIFIED.

Dear Chairman Istook:

On February 13, 2003, the Conference Committee on Appropriations directed the Federal Maritime Commission ("Commission") to report to the House and Senate Committees on Appropriations regarding the participation of the Far Eastern Shipping Company ("FESCO") in the Grand Alliance Agreement in providing service in the United States-Russian Far East trade. In addition, the Commission was directed to report on whether FESCO should be reclassified as a controlled carrier under Section 9 of the Shipping Act of 1984, 46 U.S.C. app. § 1708 ("Shipping Act"). H.R. Rep. No. 10, 108th Cong., 1st Sess. (2003). In response to this inquiry, we have gathered information from FESCO and its subsidiary company, FESCO Ocean Management Limited ("FOML"), the U.S. Department of State's diplomatic mission to the Government of the Russian Federation ("GOR"), and press reports. This information is set forth herein.

As an initial matter, the Commission's Bureau of Enforcement continues to monitor the activities of FESCO and FOML to determine whether their operations are violative of the Shipping Act or may warrant the initiation of a formal proceeding by the Commission. In addition, the Commission's General Counsel has analyzed the controlled carrier status of FESCO and FOML. The factual circumstances surrounding the operations, ownership and control of FESCO and FOML are varied and complex. However, we have concluded that neither FESCO nor FOML should be classified as a controlled carrier under the Shipping Act.

I. FESCO's Participation in the Grand Alliance

FOML and FESCO contend that FESCO is not an ocean common carrier operating in the U.S. trades. Occasionally, FESCO charters its vessels to a single shipper for full shipments of aluminum to the United States. In some cases, FESCO then charters these vessels to FOML for the westbound sailing back to Russia. Otherwise, the vessels sail back to Russia without any cargo. Consequently, FESCO asserts that it does not hold itself out to the general public to offer maritime transportation to or from the United States, and that it is merely a tramp operator in the U.S. trades.

FOML, on the other hand, does operate regular services in the U.S. trades. This company, a wholly-owned subsidiary of FESCO incorporated in Cyprus, operates three vessels in the United States - Australia trade. Based on FOML's operation of these three vessels, it has the ability to enter into agreements with other ocean common carriers in U.S. trades and to offer service contracts to shippers. 46 U.S.C. app. §§ 1703, 1704, 1707(c). Through operational agreements, FOML has the ability to utilize space on the vessels of other ocean common carriers and, consequently, to advertise those vessels on which it is taking space.

According to our records, FOML is not now, nor has it ever been, a member of the Grand Alliance. The four carriers that are parties to the Grand Alliance are P&O Nedlloyd, Hapag-Lloyd Container Linie, Nippon Yusen Kaisha, and Orient Overseas Container Linie, GmbH.¹ It is our understanding that FOML is not participating in any of the activities of the Grand Alliance. The provisions of the Grand Alliance II Agreement permit a Grand Alliance party to sub-charter space allocated to it on other parties' vessels to a third party with the unanimous consent of the other parties.

However, FOML has stated that P&O Nedlloyd is offering space to FOML on its own vessels and the vessels of its alliance partners through a non-exclusive transshipment agreement, not through a

¹ Under the parties' agreement, known as the Grand Alliance II Agreement, these carriers have the authority to discuss and agree on rate and service matters on a voluntary, non-binding basis and to take space on each other's vessels in the trades between U.S. ports and Europe, Asia, and North Africa. However, the carriers do not have rate authority between the United States and European Union countries.

space charter agreement.² In 1983, the Commission exempted non-exclusive transshipment agreements from the filing requirements of the Shipping Act, 1916, and this exemption was continued under the Shipping Act of 1984.³ On this basis, the parties claim that they are not required to file their agreement with the Commission.

Pursuant to the non-exclusive transshipment agreement between P&O Nedlloyd and FOML, FOML takes space from P&O Nedlloyd from the U.S. West Coast to Pusan, Korea. At Pusan, FOML's cargo is transshipped to vessels operated by FESCO and Hyundai Merchant Marine. FOML has a slot charter agreement with its parent company, FESCO, in the Korea/Russia trade. Those vessels carry FOML's cargo to Vladivostok, Russia. By these arrangements, FOML provides service between the U.S. West Coast and the Russian Far East.

² As defined in the Commission's regulations, a non-exclusive transshipment agreement is

an agreement by which one ocean common carrier serving a port of origin by direct vessel call and another such carrier serving a port of destination by direct vessel call provide transportation between such ports via an intermediate port served by direct vessel call of both such carriers and at which cargo will be transferred from one to the other and which agreement does not: (1) [p]rohibit either carrier from entering into similar agreements with other carriers; (2) guarantee any particular volume of traffic or available capacity; or (3) provide for the discussion or fixing of rates for the account of the cargo interests, conditions of service or other tariff matters other than the tariff description of the service offered as being by means of transshipment, the port of transshipment and the participation of the nonpublishing carrier.

46 C.F.R. § 535.306(a).

The Commission's regulations require that the publishing carrier specify in its relevant tariff the through rate, the routings (origin, transshipment and destination ports), any additional charges (*i.e.*, port arbitrary and/or additional transshipment charges), and participating carriers. 46 C.F.R. § 535.306(c).

³ The reason for the exemption was that non-exclusive transshipment agreements were deemed to have a minimal impact on competition in U.S. trades.

In December 2002, the Commission received a copy of the non-exclusive transshipment agreement between P&O Nedlloyd and FOML. Analysis of the agreement indicates that it complies in all respects with current Commission regulations. FOML has asserted in the past that the Commission does not have jurisdiction over FESCO, as it is not an ocean common carrier, nor does it have jurisdiction over that portion of FOML's service between Pusan and Vladivostok, as that service does not include a U.S.-foreign trade. Nevertheless, FOML did provide a copy of the slot charter agreement between FESCO and FOML for the Korea-Russia portion of FOML's service. There appears to be nothing unusual about that agreement.

Based on the position of FOML and P&O Nedlloyd that their agreement is a non-exclusive transshipment agreement, they believe it was unnecessary for P&O Nedlloyd to have the consent of the other Grand Alliance parties. Nevertheless, P&O Nedlloyd did inform the other parties via electronic mail that it was entering into a "connecting-carrier agreement" with FOML. At a recent meeting with Commission staff, counsel for both the Grand Alliance parties and FOML contended that the arrangement is a non-exclusive transshipment agreement and not a space charter agreement. Moreover, counsel for the Grand Alliance parties stated that his clients had no objection to this arrangement. The use of a transshipment agreement in this manner and the issue of "tramp" status for FESCO are matters which remain under review at the Commission.

II. Controlled Carrier Status of FESCO and FOML

In defining the term "controlled carrier," section 3(8) of the Shipping Act of 1984 states,

ownership or control by a government shall be deemed to exist with respect to any carrier if -

(A) a majority portion of the interest in the carrier is owned or controlled in any manner by that government, by any agency thereof, or by any public or private person controlled by that government; or

(B) that government has the right to appoint or disapprove the appointment of a majority of the directors, the chief operating officer, or the chief executive officer of the carrier.

46 U.S.C. app. § 1702(8).

The Commission has gathered information about FESCO and FOML through correspondence with those entities, correspondence with the U.S. diplomatic mission to Russia, press releases and industry

press reports, and meeting with counsel. On November 13, 2002, the Acting General Counsel, by letter to FESCO/FOML, requested information on FESCO's and FOML's activities, including what United States trades FESCO/FOML serve or propose to serve; a listing of the name and flag of registry of each vessel FESCO/FOML operates or proposes to operate that is or will be subject to the tariff publication requirements of 46 C.F.R. § 520.3(a); whether FESCO/FOML's operating assets are directly or indirectly owned or controlled by a government, and if so, which government; and whether a government has the right to appoint or disapprove the appointment of a majority of the directors or the chief operating or executive officer of FESCO/FOML, and if so, which government.

FESCO and FOML were also asked to provide a list of every person, corporation, and entity having a five percent (5%) or more interest in FESCO/FOML and to specify the percentage of ownership; whether any person, corporation or entity holds an interest for the benefit of another party, *i.e.*, in trust, and if so, to provide the name of such person, corporation or entity for whose benefit the interest is held; and finally whether any of these entities or persons are associated or affiliated with any government, and if so, to specify the individual and the nature of such association or affiliation. The Acting General Counsel received a response from FESCO/FOML on December 13, 2002, generally denying any majority control or ownership of FESCO or FOML by the Government of the Russian Federation and specifically listing entities holding over 5% ownership interest in FESCO.

The Acting General Counsel also sought the opinion of the U.S. diplomatic mission to the GOR ("Embassy") as to the control of FESCO by Russian government interests. The Embassy's opinion is that the private shareholders now controlling a majority ownership in FESCO represent private interests and are not proxies for the GOR. The Embassy indicates that Sergey Generalov, who has ultimate ownership control of the companies that control 60% of FESCO shares, is a high-ranking member of the Duma. However, the Embassy believes that this fact is inadequate to characterize FESCO as being controlled by the GOR, primarily due to the fact that Mr. Generalov appears to hold indirectly the FESCO shares for his own private interests.

Assuming FESCO is correct that it does not operate as a common carrier in the U.S.-foreign trades, FESCO would not be subject to classification as a controlled carrier. FOML, on the other hand, does not dispute that it operates as an ocean common carrier and therefore could be subject to classification as a controlled carrier. The Shipping Act defines a controlled carrier as one controlled "directly or indirectly" by a government; as FOML is

nearly 100% owned by FESCO, it is appropriate to analyze the control and ownership of FESCO in order to determine whether FOML is a controlled carrier. Put another way, if FESCO is controlled by the GOR, the GOR indirectly controls FOML and therefore FOML may correctly be classified as a controlled carrier. This is the case regardless of whether the Commission has jurisdiction over FESCO itself.

Sections 3(8)(A) and (B) of the Shipping Act make clear that, to meet the definition of a controlled carrier, relevant governmental control of an ocean common carrier may be achieved either by ownership or control of assets, or by other methods of control. Examining the ownership of FESCO's assets alone does not appear to implicate this definition. First, the 19.8% GOR ownership stake alone is inadequate to support a finding that the GOR controls FESCO. Second, although the GOR may be pleased that companies controlled by Russian nationals were able to re-acquire control of FESCO in 2002, it appears that these other ownership interests in FESCO are private. As stated above, the Embassy has indicated to us its belief that Mr. Generalov's companies hold FESCO shares for private commercial interests, and we have no evidence to refute that assertion.

It similarly appears that the GOR does not exert the type of non-ownership control over FESCO outlined by the Shipping Act that would justify classifying FOML as a controlled carrier. Again, and as pointed out to us by the Embassy, while it appears that three members of the FESCO Board of Directors are GOR officials, it appears that they do not have the ability to control FESCO's operations. These three board members neither represent a voting majority nor appear to have the ability to veto or reject decisions of either FESCO's Board of Directors or its executive officers.

While there have been allegations implying GOR and local government pressure on the previous foreign owners to sell their interest in FESCO, the Commission has not concluded that such pressure by itself would be adequate to categorize the new ownership of FESCO as government-controlled. The previous foreign shareholders have been characterized as engaging in asset-stripping and mis-management. Thus, while it is not unlikely that the GOR may have encouraged new ownership by Russian nationals who may have a greater commitment in preserving FESCO as an ongoing concern, this alone is also an inadequate basis to conclude FESCO is controlled by the GOR.

We have concluded that FESCO is currently neither owned nor controlled by the Government of the Russian Federation to a degree that would subject it to the Shipping Act's definition of

-7-

controlled carrier. Similarly, FOML, as an entity directly and entirely controlled by FESCO, does not appear subject to the indirect control of the GOR. As such, the Commission has determined that FOML is not a controlled carrier within the meaning of the Shipping Act of 1984.

I trust that this information is fully responsive to the direction of the Committee. Please advise me if you require further information.

Sincerely,

A handwritten signature in dark ink, appearing to read "Steve Blust", written in a cursive style.

Steven R. Blust
Chairman

EXHIBIT 3

**BEFORE THE
FEDERAL MARITIME COMMISSION**

**OCEAN COMMON CARRIER AND
MARINE TERMINAL OPERATOR
AGREEMENTS SUBJECT TO
THE SHIPPING ACT OF 1984**

DOCKET NO. 03-15

Comments of Fesco Ocean Management Limited

Fesco Ocean Management Limited ("FOML") is an ocean common carrier, operating, *inter alia*, in the foreign commerce of the United States, submits the following comments with respect to the Notice of Proposed Rulemaking, 68 *Fed. Reg.* 67509 (December 2, 2003).

FOML provides vessels and participates in the Pacific Coast Oceania Vessel Sharing Agreement, FMC Agreement No. 011741 in the U.S. Pacific Coast /Australian-New Zealand trade and participates in rate and discussion agreements related to that trade. FOML also operates a direct vessel service from the United States Pacific Coast to ports in the Russian Far East. Finally, FOML is the Publishing Carrier and Destination Carrier in a non-exclusive transshipment agreement with P&O Nedlloyd from ports in the United States to ports in the Russian Far East and it has a similar arrangement with Westwood Shipping.

FOML's comments are directed at the proposed changes to the exemption for non-exclusive transshipment agreements.

FOML believes that the proposed changes to the non-exclusive transshipment agreement regulation are based on an unsupportable premise, are ill-conceived, will result in eliminating transshipment agreements and will lead to potential reductions in services to shippers. Instead of achieving visibility of cargo movements, the proposed changes will do just the opposite. Instead of encouraging the movement of cargo to and from ports and places that do not, because of small cargo volumes and/or location, have direct ship services, or which have minimal direct services, the proposed regulations will discourage such movements.

The Premise That the Transshipment Exemption Regulation Needs Clarification is Unsupported and Unsustainable.

Under regulations issued pursuant to the Shipping Act, 1916, the Commission defined a "non-exclusive transshipment agreement" as follows:

“A nonexclusive transshipment agreement for purposes of this Part is an agreement between a carrier serving a port of origin and a carrier serving a port of destination to establish a through route between such ports via an intermediate port at which the cargo is transferred which agreement does not prohibit either carrier from entering into similar agreements with other carriers.” (Emphasis added.) 46 CFR §524.2(a)

It is noteworthy that the provisions of the 1916 Act exemption did not contain the words “by direct vessel call” in describing transshipment agreements or in any way indicate the manner by which such service would be performed.

After the enactment of the Shipping Act of 1984, the Commission, in Docket 84-26, *Rules Governing Agreements by Ocean Common Carriers and Other Persons Subject to the Shipping Act of 1984*, 22 SRR 927 (1984) enacted Interim Regulations which also served as proposed rules for which comments were invited, that, *inter alia*, continued the exemption for non-exclusive transshipment agreements. The Commission made it clear that this was a continuation of the prior exemption, with certain modifications. The Commission stated:

“This section continues, in a modified form, the present exemption for non-exclusive transshipment agreements contained in 46 CFR §524. The modifications refine the description of the type of transshipment which is exempt. This will permit inclusion of matters in the agreement which are more fully representative of the usual actual arrangement of the parties for the conduct of commercial transshipment activities. The modifications permit inclusion in the arrangements of any specifics of equipment interchange, service rationalization and agency arrangements as may be necessary to complete the contemplated carriage. Additionally, these agreements will now be exempt from filing, but only if limited in scope to the provisions set forth. The exemption from filing eliminates the need to continue the requirements of a specified form of agreement.” 22 SRR at 932-38.

In the Interim Regulation adopted in 1984, the Commission in defining the term “transshipment agreement” inserted the words “by direct vessel call.” The Commission did not discuss the addition of these words in the Interim Rule and gave no specific notice that it was adding the words for any specific purpose or with any specific meaning or intention. In short, who added the words “by direct vessel call,” why they were added or what they were intended to mean, was not discussed or explained.

The Commission issued its Final Rules in Docket 84-26 on November 14, 1984, 22 SRR 1453. The Commission did not indicate that it received any comments about the Interim Rule on the exemption for non-exclusive transshipment agreements. The Commission very specifically noted that

“Section 572.310 [redesignated §572.306] continues the exemption under the 1916 Act for non-exclusive transshipment agreements pursuant to section 16 of the 1984 Act.” (Emphasis added.)

Significantly, as with the Interim Rule, there was not a single reference to the addition of the words “by direct vessel call” in the description of non-exclusive transshipment agreement. Moreover, since adoption of this regulation the words “by direct vessel call” have not been discussed in any Commission decision or rulemaking, including the rulemaking in Docket 99-10 *Ocean Common Carrier Subject to the Shipping Act of 1984s*, 28 S.R.R. 1414 (FMC 2000) (“*Ocean Common Carriers*”)

The first inkling to the public that the Commission had some specific intention in adding the words “by direct vessel call” is in the discussion in this rulemaking proceeding when the Commission states:

“The Commission has traditionally viewed transshipment agreements as agreements under which two ocean common carriers that both operate vessels provide a through service between the United States and a foreign port.” (Emphasis added.) 68 *Fed. Reg.* 67520-21.

The FMC cites absolutely no factual or legal basis for this so-called “traditional view” of transshipment agreements that both parties “operate vessels. In fact, the current regulation doesn’t say anything about either party operating vessels, it merely says “by direct vessel call” not “by direct vessel call of vessels operated by the parties.” In sum, the Commission’s premise that the regulation is not consistent with current carrier practices and that the regulation requires clarification is just not supportable factually or legally and would be contrary to the Commission’s ruling in *Ocean Common Carriers* which makes it clear that an ocean common carrier may provide service without operating its own vessels as long as it has at least one vessel in one trade that operates to a U.S. port.

The Rulemaking in Docket 99-10 is Fully Consistent with the Existing Transshipment Exemption Regulation and Current Carrier Practices

Perhaps the most important result of the action in *Ocean Common Carriers* was the Commission’s clear statement that “[I]f a common carrier is an ocean common carrier in one U.S. trade, it can act as ocean common carrier in all U.S. trades.” (Emphasis added.) 28 SRR at 1418. The clear meaning of this decision is that an ocean common carrier who operates vessels in one U.S. trade in which it operates a vessel that calls at a U.S. port, may act as an ocean common carrier in U.S. trades where it does not operate its own vessels. This ruling clearly was in recognition of the fact that ocean common carriers acquired space on vessels by a variety of ways including alliance agreements, vessel sharing agreements, space charters and transshipment agreements. Certainly, the Commission did not in its ruling in Docket 99-10 state that an ocean common carrier could not use a transshipment agreement as part of its ocean common carrier service to or from the United States.

How Transshipment Agreements Work

In every transshipment agreement there are two ocean common carrier¹ parties (Carrier A and Carrier B) who may operate in either of the following combinations:

Scenario 1:

Carrier A: Publishing Carrier and Origin Carrier

Carrier B: Connecting Carrier and Destination Carrier

Scenario 2:

Carrier A: Publishing Carrier and Destination Carrier

Carrier B: Connecting Carrier and Origin Carrier

It is noteworthy that at no time has the transshipment agreement exemption regulation required the Carrier who is the Publishing Carrier to be the Origin Carrier nor does it require the Connecting Carrier to be the Destination Carrier.² Either scenario is possible under the regulations. It also does not matter under the regulations whether the transshipment agreement is in the export trade of the U.S. or the import trade of the U.S.

Under Scenario 1, Carrier A is the Publishing Carrier and the Origin Carrier. Under this scenario, Carrier A is the carrier issuing a through bill of lading to the shipper and publishing the tariff rate or entering into a service contract with the shipper. Carrier A is also responsible for the carriage of the container from the port or point of origin to the transshipment port. Carrier B is the Connecting Carrier and Destination Carrier that carries the cargo from the transshipment port to the destination port.

Under Scenario 2, Carrier A is the Publishing Carrier and the Destination Carrier. Carrier A is the carrier issuing a through bill of lading to the shipper and publishing the tariff rate or entering into a service contract with the shipper. Carrier A is also responsible for the carriage of the container from the transshipment port to the destination port. Carrier B is the Connecting Carrier and the Origin Carrier. It is responsible for carrying the cargo from the origin port to the transshipment port.

¹ It must be firmly understood that both carriers are "ocean common carriers" as defined under the Shipping Act of 1984 and the Commission's rulemaking in Docket 99-10.

² As will be discussed below, the Commission's proposed rule would appear to require the Publishing Carrier to be the Origin Carrier in the export trade and it would appear to require the Publishing Carrier to be the Destination Carrier in the import trade.

FOML's Non-Exclusive Transshipment Agreements with P&O Nedlloyd and with Westwood

In 2001, FOML entered into a non-exclusive transshipment agreement with P&O Nedlloyd in which FOML is the Publishing Carrier that holds itself out to provide service from points and ports in the United States to ports in the Russian Far East under a published FOML tariff. The FOML tariff has a rule that, in accordance with FMC regulations, specifically notes that P&O Nedlloyd is providing transshipment service. In this case, P&O Nedlloyd is the Origin Carrier and Connecting Carrier carrying FOML containers, for example, from Seattle to Busan. FOML is, as noted, the Publishing Carrier and the Destination Carrier and is responsible for the carriage from Busan to Russia.

In this example, P&O Nedlloyd provides FOML space from P&O Nedlloyd's space allocation under the Grand Alliance. The Grand Alliance vessels serve Seattle and Busan "by direct vessel call." FOML, for its part, takes the cargo "by direct vessel call" from Busan to ports in the Russian Far East. FOML has a space charter agreement with its parent company, Far Eastern Shipping Company ("FESCO") which is not an ocean common carrier subject to FMC jurisdiction. FESCO, in turn has a vessel sharing arrangement between Busan and ports in the Russian Far East with Hyundai Merchant Marine. Thus, FOML's service from the transshipment port, Busan, to the Destination Ports in Russia will be on space chartered to FOML by FESCO on either FESCO or Hyundai vessels.

The FOML – P&O Nedlloyd non-exclusive transshipment arrangement is visible to the Commission and the shipping public. FOML's tariff, as required by the FMC's regulation, contains a provision describing the fact that transshipment occurs via P&O Nedlloyd.

The FOML – Westwood Non-Exclusive Transshipment Agreement is structured the same way as the FOML – P&O Nedlloyd arrangement.

The Proposed Rule is Unworkable, Inconsistent with Other Regulations and Will Not Achieve its Stated Purpose

The Commission proposal revision in the definition of "transshipment agreement" in §535.104(jj) would directly affect FOML's non-exclusive transshipment agreements. The Commission's proposal would insert in the current definition, found at §535.104(ii), the following new language:

"and the publishing carrier performs the transportation on one leg of the through transportation on its own vessel or on a vessel on which it has rights to space under a filed and effective agreement."

There are several aspects of this change that are of concern. First, the Commission is departing from its decision in Docket 99-10 where the Commission said "[I]f a common carrier is an ocean common carrier in one U.S. trade, it can act as ocean common carrier in all U.S. trades." (Emphasis added.) 28 SRR at 1418. By the proposed rule, the Commission is clearly saying that in transshipment services you are only an ocean common carrier in the leg

between the transshipment port and the foreign origin port or foreign destination port if you operate your own vessel. This is the case because a space charter agreement between a foreign transshipment port and a foreign port of origin or foreign port of destination would not be an agreement that could be filed with the FMC because it would be a foreign to foreign agreement.

It seems somewhat strange, to say the least, that the Commission would take the view that one might be able to operate from U.S. ports as an ocean common carrier without operating one's own vessels but that an ocean common carrier cannot operate between a transshipment port and a foreign port unless it operates its own vessel.

Second, the Commission, in a departure from the past, will for the first time require the Publishing Carrier, when it does not "perform the transportation on one leg of the through transportation on its own vessel" to specifically be the Origin Carrier in the export trade of the United States or to specifically be the Destination Carrier when operating in the import trade of the United States. That this is the result is clear because the phrase "rights to space under a filed and effective agreement" can only mean an agreement between ocean common carriers subject to the Shipping Act, which can only mean the carriage between a port in the United States and the foreign transshipment port.

Third, the Commission is saying that the term "by direct vessel call" may be satisfied by a Publishing Carrier through a space charter agreement filed and effective under the Shipping Act of 1984. This means that the Commission is permitting a party to a transshipment agreement to utilize chartered space between the U.S. and the transshipment port but would, at the same time, prevent the use of chartered space by an ocean common carrier between the transshipment port and the foreign origin or destination port. The result is that the phrase "served by direct vessel call of both such carriers" has two directly opposite meanings in this proposed regulation, depending on whether the transshipment is in the export trade or the import trade and whether the Publishing Carrier is the Origin Carrier or the Destination Carrier.

If the Publishing Carrier is the Destination Carrier in the export trade then it must under this definition provide transportation on its own vessel from the transshipment port to the destination port. If the Publishing Carrier is the Origin Carrier in the export trade then it can provide its portion of transportation from the origin port to the transshipment port either on its own vessel or under a filed and effective space charter agreement in which it can use the vessel of another ocean common carrier.

Similarly, if the Publishing Carrier is the Origin Carrier in the import trade then it must provide transportation from the origin port to the transshipment port in its own vessel. But if the Publishing Carrier in the import trade is the Destination Carrier then it may use its own vessel or space on a vessel of another carrier obtained through a filed and effective space charter agreement.

There does not appear to be any factual or logical or legal or policy basis for the Commission's proposal that the phrase "by direct vessel call" to mean use of

chartered space on the U.S. leg but not use of chartered space on the non-U.S. leg of a transshipment move.

If the proposed regulation becomes effective the FOML's non-exclusive transshipment agreements would have to be terminated because the Publishing Carrier, FOML, does not operate its own vessel and it is not the Origin Carrier.

As a result, these transshipment services would have to be discontinued. It is possible, subject to the provisions of the existing vessel sharing agreements, that FOML and P&O Nedlloyd could enter into a space charter agreement. For example, FOML could conceivably charter space from P&O Nedlloyd under a filed and effective agreement that would cover carriage to Busan. But if FOML used chartered space, it would no longer need a transshipment agreement because it would be both the Origin and the Connecting Carrier, assuming it continued to use space chartered from FESCO from Busan to Russian Far East ports.

This leads to the point that if the purpose of the rule change is to create greater "transparency," (we would suggest that the better word would be "visibility") then it will hardly be achieved by the proposed regulation. If the transshipment carrier does not operate its own vessel on the non-U.S. leg of the transshipment, but does operate its own vessel or uses space obtained through a filed or effective agreement, not only will there be no connecting carrier agreement, the FMC will have less information than it currently has about how the cargo loaded by such carrier moves from the U.S. to its ultimate foreign destination with transshipment along the through route.

The fact is that under the current approach to transshipment the Commission gets greater visibility than it has when there is no transshipment agreement. Under the current approach, the Publishing Carrier is required to tariff its transshipment arrangement. Under the proposed regulation, there would be no transshipment agreement because once a *bona fide* ocean common carrier moves cargo from the United States, the Commission is totally without information as to how that shipment gets to its ultimate destination. Similarly, when cargo arrives in the United States the Commission has no visibility of prior feeder services that might be involved from ports and points not served directly by vessels calling the U.S.

If "visibility" is the issue, then the Commission should understand that it has greater visibility under the current regulations as compared to its proposed regulation. We note that in a time where there are heightened concerns about security, an action that results ultimately in the Commission being provided with less visibility does not appear to represent sound policy.³

³ We also note that if visibility is a serious concern of the Commission, it ought to think about how little it knows about how cargo is moved from between the U.S. and foreign countries by NVOCCs. The Commission has absolutely no knowledge about whose vessels carry the shipments, whether there are transshipments and where.

Conclusion

We have shown that the premises for the proposed change in regulation, *i.e.*, the Commission's assertion that the words "by direct vessel call" had a "traditional" meaning and that use of space charters inhibited FMC visibility of transshipment activities, are both without legal or factual support.

We have further shown that the proposed rule has significant internal inconsistencies including the fact that it would effectively define the phrase "by direct vessel call" in two different ways, depending on which leg of transshipment is involved, that requiring an ocean common carrier to operate its own vessel in the non-U.S. leg of transshipment service while allowing the use of space charters in the U.S.-leg is inconsistent with the spirit and intent of the Commission's decision in Docket 99-10.

We have also shown that under the rule the Commission would impose a more rigorous standard on "ocean common carriage" for shipments between a foreign transshipment port and a foreign origin/destination than it imposes on ocean common carriers calling at U.S. ports because the Commission's proposal would require an ocean common carrier to operate its own vessel between the foreign transshipment port and the foreign origin/destination and allow it to use a filed and effective space charter between the U.S. and the transshipment port.

We have shown that the proposal would adversely impact on FOML's non-exclusive transshipment agreements where FOML is the Publishing Carrier. In the FOML – P&O Nedlloyd arrangement, FOML is able to offer service to ports in the Russian Far East which do not have sufficient cargo volumes to permit regular round voyage service to/from the United States. (FOML does serve these destinations directly when it is able to charter a vessel one way from the Pacific Northwest to the Russian Far East.) If this transshipment service is prohibited, then the shippers lose the service and have fewer choices to move their cargo and less competition.

Based on the foregoing, FOML believes it is clear that the proposed change in the definition of transshipment agreement should not be adopted.

Respectfully submitted,

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EXHIBIT 4

1 2. **Family and Business Focus on Russia.** I am originally from Chicago, Illinois, lived
2 in Oregon for over 20 years and relocated to the Seattle area in 1996 to take a job with Sunmar
3 Container Lines. I currently reside in Russia, working for FESCO Ocean Management Limited
4 (FOML). My career focus on Russia began in 1992, approximately 13 years ago. In that year, 1992,
5 I took my first business trip to Russia in the hopes of taking advantage new markets after the fall of
6 the Soviet Union. What was planned to be a two week trip turned into over 7 months, and since that
7 time my career has been exclusively dedicated to business in Russia. Moreover, I met my wife, Yulia,
8 in Moscow in 1992 and was married in 1993. We now have a beautiful little daughter, Ksania, who is
9 10 years old. My professional, family, and cultural life is completely linked to Russia and the work
10 that I do there. This frivolous, yet very serious, lawsuit would aim at eliminating my ability to make a
11 living for my family in my area of expertise and a career path I have chosen and have dedicated over
12 13 years of my life to develop.

13 3. **Russian Business Background.** From 1992 till 1996 I was a partner with my
14 father-in-law, Valery L. Kalachev, and owner of RAMCOR, a consulting company based in Moscow,
15 Russia and Portland, Oregon. As a consultant I worked on several projects, including setting up the
16 offices of an Italian freight forwarding company in the Russian Far East cities of Vladivostok,
17 Magadan, and Khabarovsk. During this time (1992 – 1996) I spent a tremendous amount of time and
18 energy developing contacts and business in the Russian Far East region and was introduced by my
19 father-in-law, family and business associates to many of the companies and individuals I work with
20 to this day.

21 4. **Prior Work At Sunmar with Peter Moe.** In 1996, I was hired by Sunmar
22 Container Lines ("Sunmar"), a Seattle based vessel operating common carrier (VOCC), providing
23 regularly scheduled ocean freight service to the Russian Far East. Prior to regular employment with
24 Sunmar, I was hired as a consultant to provide a summary on Russian customs procedures for the
25 import of goods from the USA and elsewhere. Due to the quality of this report, and to the Russian
26 experience and network I could add to the company, I was hired by Sunmar as a regular employee

1 and a consultant on Russian business activities and asked to participate on its executive committee.
2 Peter Moe, now president of Trans-Net, Inc. and the individual bringing this lawsuit against me, was
3 then president of Sunmar. It was Mr. Moe who hired me as a consultant then offered the position I
4 took as an employee. I eventually became the Marketing Manager at Sunmar, and in charge of the
5 non USA operations. As the manager of all Russian and Korean business, I developed relationships
6 with Sakhalin Shipping Co., and other vessel owners and representatives. I relied on my network of
7 several years in the region to produce these relationships.

8 5. **Expansion of Russian Business Contacts.** During my two years at Sunmar, I took
9 numerous trips to Russia and Korea to further my contacts, develop Sunmar's customer base, and
10 manage Sunmar's operations in the Russian Far East and Korea. During this time, the management of
11 Sunmar decided to make port calls not only in the Russian Far East but also in Korea, with the idea to
12 load cargo on our vessels from Korea to the Russian Far East, as well as the cargo we loaded in the
13 USA. The management of the Korean operations was under my control and responsibility. During
14 the several months we operated on this basis we also found that we could use Korea as a hub, or
15 consolidation point, for cargo originating in Europe and Asia. Throughout this time, my contacts
16 and customer base expanded significantly.

17 6. **Failure of Sunmar – Formation of Trans-Net, Inc.** In August 1998, an economic
18 collapse in Russia occurred which led to the eventual shut-down of Sunmar. The economic collapse
19 severely decreased the amount of cargo shipped from the USA to Russia, consequently it was no
20 longer profitable to operate a VOCC with direct vessel service to Russia from the USA. I was on one
21 of my trips to Russia and Korea when Sunmar collapsed. During the second week of September
22 1998, while in Korea, I received a call from Peter Moe, who was then still President of Sunmar. He
23 told me that the company was shutting down and I was being laid off as of October 1st. However,
24 Peter suggested that I stay there in Korea to try to work with our Korean and Russian contacts to
25 determine whether a smaller company would be successful in this same market. Peter asked me to be
26 a "partner" with him in this venture. We had some ongoing business that Peter thought we could

1 move away from Sunmar to a new entity, and use this initial revenue for start-up. Thus, I stayed in
2 Korea and developed this new company along the lines we discussed. We were not using Sunmar
3 money, we just moved some ongoing business away from Sunmar to our Korean agent's company
4 and split the profit with him. I doubt that Peter ever took more than \$2,000 or \$3,000 out of his
5 pocket to fund this new operation. This was the beginning of Trans-Net, Inc., the company that is
6 suing me herein. This was a very profitable business and we made money from the first month
7 onward.

8 7. **Expansion of Trans-Net Using Sunmar Client Base.** With the formation of
9 Trans-Net, Inc., Peter Moe and I continued the concept of using Korea as a hub to provide service to
10 Russia from the USA and other global origins. Rather than operating our own vessels as a VOCC, we
11 operated as an NVOCC, non vessel owner common carrier (these business types are licensed by and
12 rigorously regulated by the Federal Maritime Commission). The concept was to contract, or buy
13 space from, large global carriers (i.e. Sealand, Hyundai Merchant Marine, and American President
14 Lines) to Korea and then load the same cargo on regional Russian vessels for final delivery to the
15 Russian Far East. Using the customer base I had helped developed for Sunmar our new company
16 developed into a profitable small business. We never lost money in any month, until 2003.

17 8. **My One-Third Ownership of Trans-Net.** From my first days in Korea during
18 September 1998 with our new Trans-Net entity, I was treated as, and took the responsibility and
19 work load of, a partner and owner of Trans-Net, Inc. ("TNI"). Peter Moe and I formed the company
20 as partners and co-owners. In our verbal agreement, I was promised a 33% ownership and share in
21 the profits by Peter. Our agreement was that I would run the commercial end of the business, bring
22 in the revenue and manage the Russian side of the business. Peter's responsibility was to manage the
23 administration side of the business and to establish contracts with the global carriers. There was never
24 any doubt concerning the relationship or my status as an owning partner. Peter held me out to the
25 public and our employees as an owner. Even today, the home page of the TNI website
26

1 (www.transnetinc.com) clearly describes the roots of TNI in Sunmar and my status as a co-owner of
2 TNI when stating:

3 Trans-Net began serving the RFE in 1998. Prior to 1998 **the two owners of Trans-**
4 **Net, Peter Moe and Tom Madderom** were President and Vice President of Sunmar
5 Container Lines, operating a scheduled liner service to the RFE and Korea since
6 1995. Consequently we have offered scheduled service to Sakhalin*continuously for
7 over 7 years. Our exclusively dedicated network of employees and vessel/cargo
8 agents throughout the RFE have been with us throughout these 7 years. (Emphasis
9 added). (See Trans-Net website, Exhibit 1, printed 6/24/04).

10 9. **TNI Forces its Employees to Sign a Non-Compete Agreement.** Our business at
11 TNI rapidly expanded in 2001. We were very profitable, and by 2001 it was clear to Peter and me
12 that the company could make a great deal of money. It was Peter's and my intention to eventually sell
13 TNI. Peter Moe thought we could get from \$4 to \$7 million for the company. With my one-third
14 share, this was the reward I was waiting for and the reason for my hard work. Pursuant to my
15 company duties, I had become very close to Sakhalin Shipping Company. For some unknown reason
16 Peter was paranoid and feared that I would "jump ship" and go to Sakhalin Shipping Co. to attempt
17 duplicating the TNI business model. Because of TNI's profitability in 2001 and Peter's fear of
18 defection, in September 2001 he had a "Non-compete and Confidentiality" agreement prepared by his
19 attorneys, and he came around to all of our employees and made them sign essentially the same
20 agreement at the same time. No one was compensated in any fashion for signing, and there was an
21 implied threat that any non-signers would be fired. I delayed signing and was the last to sign, but
22 eventually did so on September 18, 2001, under constant pressure from Peter. I really was not too
23 concerned with the signing as I had no intention of leaving as I was a part owner who stood to share a
24 handsome return when the business was sold. Exhibit A to Peter Moe's Affidavit appears to be a
25 correct copy of that agreement.

26 10. **My Failure to Obtain a Written Partnership Agreement.** As I discuss below, I
was fired from TNI in 2003. At the time I had worked for over five years building TNI. Although
always considered a partner in the company, ultimately I was never given any ownership or even an

1 employment contract. This was, of course, a failure on my part. I was totally immersed in the
2 development of the business, and trusted my "partner" Peter Moe. I worked seven days most weeks. I
3 was always the first person in the office and the last to leave. In many cases I used my relationship
4 with my wife's family to assist in finding solutions to problems very Russian in nature. Things were
5 initially going very well with my relationship with Peter and in the five years I worked with him at
6 TNI, I never even had a written employment agreement or contract. Thus, I saw no urgency or need
7 for a formal document. Unfortunately, I was very naïve and trusted Peter. As I explain below in
8 more detail below, when Peter decided to push me out of our business there was little I thought I
9 could do legally in view of the lack of written documentation.

10 11. **Formation of Transnet Vostok – My Fifty Percent Interest.** By 2003 my
11 relationship with Peter was beginning to become very strained due to different business and work
12 styles. During this time, by early summer of 2003, Peter and I decided, in order to meet the
13 requirements of some customers, we needed to establish a Russian company, of which I would be
14 President, and earn 50% of the profit. The new company, Transnet Vostok, was set up in early July
15 2003 and I began promoting its services, in addition to those of TNI. Due to the growing strained
16 relationship, I asked for an employment agreement with Trans-Net Vostok and Peter had a draft
17 agreement prepared and presented it to me on Sept. 11, 2003. I never signed the presented agreement
18 as there were many compensation and management issues with which I was not satisfied.

19 12. **Transnet Vostock Employment Negotiations Never Completed.** After the
20 formation of Transnet Vostok, I spent over 3 months in the summer of 2003 (July-September) in the
21 Russian Far East and away from my family while promoting the new company. I returned to Seattle
22 after this period on October 8, 2003, to get a break and, of course to spend time with my family. I
23 also needed knee surgery from an injury that occurred during my stay in Russia and which I had been
24 delaying. I was also going to complete the negotiations with Peter for my employment contract with
25 Transnet Vostok.

1 13. **My Wrongfull Discharge from Trans-Net.** Approximately two weeks after my
2 return home, on October 20, 2003, I received a letter from Peter asking for my resignation from TNI.
3 The offered reasons were petty and had nothing to do with the growing business issues between us.
4 He cited alleged comments in one of my personal e-mails (which he had improperly monitored) and
5 alleged expense account irregularities. The reasons were totally baseless. The referenced comments
6 were inconsequential and involved merely a remark involving a delayed pay check that erroneously
7 arrived late from TNI. There was never any misappropriation of funds as stated in Peter's
8 allegations. In all the years working with Peter, my expense reports were meticulous, and I never took
9 a dime from the company that was not due. The trip in question was no different. I just had yet to
10 finish and file my final expense report, which is typically the case after a long trip overseas. My
11 opinions regarding the real reasons for Peter driving me out of our business are much different.
12 During my three months absence in Russia, Peter discovered that he could run TNI from the U.S.
13 without my day-to-day involvement. If he was able to run me out, he would never have to make
14 good on my promised share of TNI and my proposed 50% interest in Trans-Net Vostok. Further, he
15 wanted to eliminate me before he was forced to include a large severance package and payment in my
16 Trans-Net Vostok contract, as I had requested. In summary, Peter saw a window of opportunity to
17 get rid of me and he took it.

18 14. **Presentation of a "Separation Agreement" With No Alternatives.** Peter's letter
19 offered only "voluntary resignation" or "firing." Regardless of the terminology, the fact is that I was
20 discharged against my will and under pressure. I felt that I had no choice, at that time, but to resign. I
21 knew that trying to reconcile with Peter was not an option under the circumstances. I had just finished
22 surgery on my knee and was in the middle of recuperating. Peter had his lawyers draw up a
23 "Separation Agreement" effective October 28, 2003, that paid me 6 months salary, without bonuses,
24 and forgave part of a prior loan. I gave up my IRA to pay part of the loan. My main concern was to
25 keep some money and health benefits coming to my family as I knew it would take me some time to
26 find another job. Unfortunately, I did not consult an attorney. By that time I was just sick of the

1 situation and Peter's behavior. I knew that whatever I was instructed to do by an attorney, Peter
2 would fight it to the death, as was his nature. I didn't have the funds to pursue anything other than
3 rolling over. Under the circumstances and in the interest on my family, I decided to close the book on
4 a very unfortunate chapter in my life. Consequently, I signed the Separation Agreement on
5 November 18, 2003, as presented by Peter Moe and ended my relationship with him and TNI.

6 15. Peter Moe Interferes with my Lynden Employment Prospects. After being
7 discharged from TNI in late October 2003, I immediately began looking for a new job. The search
8 was very difficult and the opportunities were limited as my career path had focused on Russia. It
9 took me approximately six months to find a job. I learned subsequently that Peter Moe had worked
10 behind the scenes to thwart my job hunting efforts. Prior to my eventual employment in Russia in
11 mid-April 2004, Ken Long, project manager for Lynden International, a NVOCC (like TNI), and I
12 seriously discussed an opportunity for me to take over as manager of their Moscow office. They were
13 hopeful of receiving a large contract from the U.S. Department of Defense. Peter Moe found out
14 about this opportunity for me and called Ken Long to advise him of my purported non-compete
15 agreement that prevented employment with a NVOCC. Moe also met with Jim Jensen, president of
16 Lynden and advised him of my status and, I presume, TNI's intentions to enforce my agreement.
17 Peter Moe's efforts and pressure on Lynden apparently were successful as I was not offered the
18 Moscow position by Lynden.

19 16. Employment with Fesco Ocean Management Limited (FOML). After being
20 unemployed for approximately 6 months, I was offered an opportunity to work in Russia for Fesco
21 Ocean Management Limited ("FOML"), a Cyprus company. I signed my employment contract with
22 FOML in April 19, 2004. FOML is a subsidiary of Far Eastern Shipping Company ("FESCO") of
23 Vladivostok, Russian Federation. FESCO is a 120 year old Russian company with a corporate
24 subsidiary, Fesco Agencies North America, Inc., located in Seattle. In my new FOML position, I
25 reside physically in Russia, splitting my time and duties between offices in Vladivostok and Yuzhno
26 Sakhalinsk, both of which are in the Russian Far East. My title is Executive Projects Manager. My

1 primary responsibility is to represent FOML to the large oil projects on Sakhalin Island in the
2 Russian Far East. It is an exciting and challenging position, and one that suits me experience and skill
3 sets well. To date, my principal responsibilities have involved private chartering of vessels for pipe
4 movements from Malaysia to Sakahalin Island and working with regional marine operations in
5 Russia. By the end of 2004, my office will be in Moscow, and I will relocate my family there, to my
6 wife's home town. My wife and daughter are currently residing in an apartment in Seattle awaiting
7 our move to Moscow. Once she relocates to Moscow with me, we will have no property in
8 Washington or connection with Washington State.

9 17. **Notice to Peter Moe of my FOML Employment.** On April 18, 2004, I sent a
10 message to Peter Moe advising him of this new position with FOML. I was open and honest, and
11 knowing I was not in violation of the non-compete agreement, I saw no reason to hide the fact that I
12 was going to work in Russia for FOML. Peter Moe responded to me the following day by e-mail
13 (April 19) that I was in violation of the non-compete agreement by accepting the FOML position.
14 (Exhibit C to Moe Affidavit). I sent another message to Mr. Moe explaining my understanding of the
15 non-compete agreement and stating that I had not violated the agreement, would not violate it, that I
16 was not out to harm TNI, and that I was only trying to take care of my family. (Exhibit D to Moe
17 Affidavit). All of this remains true to this day. As stated therein, I explained to Mr. Moe that
18 FOML was a VOCC, not a NVOCC, and thus employment was not prohibited.

19 18. **E-Mail Change-of-Address Notices to Friends and FOML Clients.** On May 06,
20 2004, as an employee of FOML, I sent a very brief e-mail message to 40 to 50 friends and contacts of
21 mine and FOML's within the industry. Exhibit E to Mr. Moe's Affidavit correctly reflects a copy of
22 that e-mail, the total text of which simply states, "[p]lease find below my new contact information. I
23 am looking forward to working with you." I then stated my new company, title and telephone
24 numbers. Mr. Moe argues that this 15-word e-mail is evidence of my competing with him by
25 contacting "his" customers. To the contrary, the individuals to whom I sent the e-mail were
26 customers of FOML's, as well as my own personal friends and contacts that I had developed prior to

1 employment with TNI (with Sunmar, for example) or that I had introduced to TNI. This message was
2 meant simply to advise people who I've known for years of my new position in the industry. I was
3 not soliciting new business away from TNI. Of course, there is a simple reason why some of TNI's
4 customers received my change-of-address e-mail. That is because those **same** customers were also
5 **long-standing** customers of FOML, and I now "looked forward to working with them" in their role
6 as FOML customers. I address this issue of mutual customers in more detail below.

7 19. **Peter Moe's Interference with my FOML Employment.** Unfortunately, Mr. Moe
8 began almost immediately with a course of action designed to harass me, embarrass me with my new
9 employer, and ultimately limit my ability to support myself and my family. Five days later, on May
10 11, 2004, Peter Moe began corresponding with customers of FOML. Attached as Exhibit 2 is the text
11 of one such letter sent by Mr. Moe to Danzas, a freight forwarder who is a customer of FOML. It is
12 my belief that Mr. Moe sent out numerous other identical letters to other FOML customers as well,
13 although I do not know the exact number. The result of the letters has been very limiting and
14 damaging to me. After ExxonMobil on Sakahlin Island received Mr. Moe's letter, I was told by my
15 contacts there that they could not speak to me until such time the letter was reviewed by Exxon's
16 legal department, in view of the liability concerns. This letter was clearly an attempt to disrupt my
17 job duties and my employment relationship with FOML. More importantly, in the letters that Mr.
18 Moe sent, he wrongfully and maliciously edited the text of the non-compete agreement that he
19 represented was the version I signed. Mr. Moe clearly edited the text of the agreement to his benefit,
20 adding commas in order to try to expand the definition of the types of employment from which I had
21 "agreed" to refrain.

22 20. **Peter Moe Misrepresents my Non-Compete Agreement Terms.** As discussed
23 below, the non-compete agreement prohibited my employment with "any logistics distribution **non**
24 **vessel operations common carrier** conducting business in the Russian Far East." (Exhibit A to Moe
25 Affidavit). It has always been clear from this text and my understanding that this prohibition related
26 only to a non vessel operating common carrier (NVOCC), which is the same Federal Maritime

1 Commission classification as TNI. Instead of quoting the exact text of the non-compete agreement in
2 his May 11, 2004 letters, Mr. Moe deliberately and improperly stated that I had agreed not to be
3 employed with "any logistics, distribution, non-vessel operations, common carrier conducting
4 business to or from the Russian Far East...." (Exhibit 2). The inserted series of commas greatly
5 expands the scope or prohibited employment, arguably prohibiting employment even with a vessel
6 operating common carrier such as FOML. Thus, Mr. Moe accused me of breaking my agreement
7 with TNI, implied my dishonesty publicly to my new employer and its customers, and issued a
8 veiled threat not to do business with me. In a business and country where a man's word and
9 handshake agreement are his bond, Mr. Moe's accusations have been very damaging to me
10 personally.

11 21. A Private Remark to a Close Friend. Mr. Moe in his affidavit accuses me of
12 disparaging him to his "clients" by referring to him as an "egocentric jerk." Exhibit F of the Moe
13 Affidavit appears to be a correct copy of my May 13, 2004 e-mail in which the remark was made. It
14 is true that I did refer to Mr. Moe in such a fashion. The remark was made hastily, in anger and only
15 in a single, private (and presumed confidential) e-mail to a very good personal friend of mine,
16 Duncan Irvin at Danzas . It was Duncan who had received one of Mr. Moe's threatening letters of
17 May 11, 2004 that accused me of violating my non-compete agreement by working for FOML.
18 Duncan was concerned for me and wanted to alert me to the misrepresentations Mr. Moe was
19 spreading. It was Duncan who had sent me a copy of Mr. Moe's letter as a heads-up. In response to
20 the provocation, I simply responded to my friend that: "It's hard to tell if [Moe] is threatening you or
21 me. Message has been edited from the original version. Let him take care of his business. I'll take
22 care of mine, egocentric jerk." In my haste, I accidentally copied Mr. Moe on the e-mail, which is
23 the only reason he was ever aware of my private remark. In view of the vindictive and unreasonable
24 manner Mr. Moe was treating me, the Court can be the judge of whether my comment had any merit.

25 22. Trans-Net's Suit Effects my FOML Employment – Probationary Extension. Mr.
26 Moe's continuing efforts to discredit and harm me have taken a recent turn for the worse. I am

1 painfully aware that the letters Mr. Moe sent to FOML's customers, the implied commercial threats,
2 and the disruptions caused to me personally have been troubling and embarrassing to my new
3 employer, FOML. My original contract I signed with FOML on April 19, 2004, provided for a 90
4 day probationary period. That period would have been up in a few days on July 19, 2004. I have
5 now received a letter from FOML alleging employment "performance" issues and other problems,
6 and extending my probationary period for a further 90 days. FOML executives have scheduled a
7 meeting with me in mid August to discuss my employment and provide me a review. Attached as
8 Exhibit 3 is a copy of that letter which I have only recently received from FOML. I am very fearful
9 that Mr. Moe has placed my job and my family's livelihood in serious jeopardy. If this Honorable
10 Court places restrictions on my current reasonable job activities, I suspect that I will be discharged
11 from FOML's employment.

12 23. Summary of Peter Moe's Allegations Against Me. I have reviewed TNI's
13 Amended Complaint and the Affidavit of Mr. Moe to determine specifically what he alleges I have
14 done improperly. As I understand the collective allegations of the lawsuit against me, the heart the
15 matter involves whether or not I violated the TNI "Confidentiality and Non-Compete Agreement"
16 that I signed in September 2001. Mr. Moe bases his allegations and his entire lawsuit on only three
17 items that he points to as evidence of the alleged breach., as follows:

18 a.. Mr. Moe states that I have detailed information in my head on TNI's pricing and
19 marketing strategies, and I will use this information consciously or subconsciously. Although he has
20 no evidence whatsoever that I have provided any such information to anyone, he states that "it is
21 inevitable" that I "may" provide information to FESCO or FOML

22 b. Mr. Moe states that I contacted three (3) of "TNI's customers : DRC, Danzas and
23 Modern Machinery; and lastly

24 c. During the identified contact with Danzas, I "solicited business for Fesco."
25 As a remedy, Mr. Moe asks the court to enjoin me from "revealing proprietary information," and,
26 further, to enjoin me from contacting any of the over 200 businesses that appear on an attached list

1 that he alleges are "his customers." I wish to address specifically address each of these issues in
2 turn.

3 24. Only Four Actions Prohibited by the Non-Compete Agreement. My attorney
4 advises me that the alleged non-compete "agreement" may be unenforceable for a number of legal
5 and factual reasons. Whether or not that is the case, I fully understood the agreement's terms at the
6 time I signed and I have completely lived up to those terms as a matter of honor and principle. I have
7 not been, and am not now, in violation of the agreement. As I understood the agreement at the time
8 and today, within the agreement there are four distinct actions that would constitute a violation of the
9 agreement. (See Exhibit A of Moe Affidavit).

10 a. Nondisclosure of Proprietary TNI Information -- I have not and will not
11 disclose any proprietary information owned by TNI or that I learned while employed with TNI to any
12 party or entity.

13 b. No Employment with a NVOCC. -- The agreement states that I will "refrain
14 from engaging in any employment or other type of service agreement with "any logistics distribution
15 **non vessel operations common carrier** conducting business in the Russian Far East." This
16 statement is clear in its definition of prohibiting employment with an "NVOCC", the same Federal
17 Maritime Commission classification as TNI. My current employment is with FOML, a vessel
18 operating common carrier (or "VOCC") by definition. Thus, FOML is not a NVOCC and the
19 agreement does not prohibit my employment with such an entity.

20 c. No Employment with Sakhalin Shipping Co. -- The agreement also states that I
21 shall "not engage in any employment or other type of service relationship with Sakhalin Shipping".
22 Clearly I have not done so. During my employment at TNI, Sakhalin Shipping Co. was an important
23 Russian regional carrier that transported a majority of TNI's shipments from Korea to the Russian Far
24 East. I was wholly responsible for developing this relationship and the execution of its contract with
25 TNI. I did not seek employment with Sakhalin Shipping Co.

1 d. Nonsolicitation of TNI's Employees -- I have not solicited any of TNI's
2 employees or personnel in any manner for employment.

3 25. TNI Has No Evidence of My Use of Proprietary Price Information. TNI
4 alleges that my knowledge of its pricing structure and strategies is confidential and proprietary, and I
5 may use that knowledge to harm TNI. TNI is unable to point to a single example of me providing its
6 "confidential" pricing information to any individual or entity. The only allegation is that I "might"
7 do so. Well, I have not, and I will not. Any documents, files, data, spreadsheets, or pricing contracts
8 I had access to at TNI are not being used by me, nor have I shared them with anyone at anytime. At
9 my current employment at FOML, I am not responsible for, nor am I the least bit involved in, pricing
10 shipments from the USA to Russia. Indeed, any TNI price strategy information I might have
11 possessed would now be stale since I departed TNI's employment eight months ago. I haven't a clue
12 what TNI's cost structure is any longer as the market is constantly changing

13 26. TNI's Business Model is Not Confidential. TNI's service or product, as an
14 NVOCC, is the combination of the shipment of cargo on two or three different vessels from one
15 origin to one final destination. For example, the shipment of cargo from the USA to Korea, and the
16 same cargo shipped on a 2nd vessel to Russia on a carrier different than the 1st. TNI combines these
17 shipments on one bill of lading, making it a seamless shipment for the customer. It is a good product,
18 but also offered by hundreds of other NVOCC's throughout the world. This concept is not new, or
19 secret. TNI's success was not in establishing some secret formula, but in providing excellent service.
20 Combining these shipments was complicated and time consuming. It took an organized group in the
21 US, in Korea, and in Russia. But, again it was hard work, not secret information.

22 27. TNI's Price Information is Not Confidential -- It's Tariff is Publically Posted on
23 the Internet. The issue raised by Mr. Moe alleging "confidential and proprietary" price
24 information is a red herring. Fundamental pricing and marketing strategy of TNI -- or any other
25 company like it -- is not secret information. The cost of these operations is also not closely held
26 secret information. In fact, any shipment from the U.S. is regulated by the Federal Maritime

1 Commission. Tariffs on cargo shipped from the U.S. must be published and available on a company's
2 website on the internet. Pricing and costs on the trans-shipment Busan, Korea, is regulated and well
3 known. Shipment from Korea to Russia is carried out by several operators whose tariffs are publicly
4 available to anyone interested. Thus, companies in this business can generally determine the pricing
5 undertaken by their competitors by simply checking the competitor's public tariff listing.

6 28. **TNI's Customer List is Not Confidential – The Same Clients Are Shared by**
7 **FOML.** The second issue raised by Mr. Moe, that of the alleged confidentiality of "his"
8 proprietary client list, is another a red herring or non-issue. Mr. Moe misleads the Court in this
9 respect with a half truth. Although all or some of the companies on his customer list may have
10 indeed been TNI customers periodically at certain times and in certain trades, Mr. Moe knows well
11 that most of those very same companies do substantial business with FOML as well as the other
12 carriers in these trade lanes. During my 5 year tenure at TNI I cannot recollect a customer we had
13 that was exclusive to TNI. Thus, no one company can fairly say that a cargo shipper is its exclusive
14 client.

15 29. **An Irony – TNI's Customer List Was Taken from Sunmar.** The original
16 complaint contends that there are 80 to 100 customers exclusive to this trade. Mr. Moe's affidavit,
17 dated June 26, 2004, includes a list of over 200 companies, including Ford and General Motors, two
18 companies that I was not aware of being TNI's customers or ever doing business in the Russian Far
19 East. This list of customers is not, nor ever has been, the exclusive property of TNI, nor has the
20 knowledge of those companies and the contacts therein been the proprietary information of TNI. As I
21 state above, most of the TNI customers came from my and Peter Moe's days at Sunmar Container
22 Lines, augmented by the family and professional contacts I brought with me to Sunmar and TNI. It
23 is ironic that Mr. Moe is claiming that I took a list that we, in fact, both developed and took from
24 another company. Even when we were at Sunmar, FOML was a competitor. FOML has and always
25 has had the same customer base and list as TNI. The market has changed in the past few years. There
26 are other competitors in this market now, including Sealand/Maersk, P&O Nedlloyd, and American

1 President Lines, as I note above. These companies too, have substantially the same customers as TNI
2 and FOML.

3 30. **Identity of TNI's Customer List is Obtainable Through Public Sources.**

4 Another reason Mr. Moe's alleged customer list is not proprietary or secret information is it fact that
5 the identities of a very significant number the entities on the list are readily ascertainable publicly.
6 There are a number of websites with lists and information on most every company doing substantial
7 business in Eastern Russia. One of the most comprehensive sites is published by the US government,
8 BISNIS (www.bisnis.doc.gov). Various other public and private industry publications report all
9 cargo movements, including the company who ships the cargo (i.e. customer), type of cargo, where
10 shipped, etc. This information is taken from the Export Declarations that cargo owners must file with
11 the U.S. government. Consequently, it is no secret who the "customers" are in this market.

12 31. **No Exclusive TNI Customers Were Contacted – I Contacted FOML Customers**

13 **and my Friends.** Lastly, I want to address Mr. Moe's allegations that I contacted three (3) of
14 "his" customers (Modern Machinery, DRC and Danzas) and solicited business from Danzas by
15 stating to Duncan Irvin that I wanted to speak about "SEIC/2 [Sakhalin Energy Investment
16 Corporation] project requirements." (Exhibit F to Moe Affidavit). As I state above in paragraphs 18
17 and 21, I sent out 40 – 50 short change-of-address notices to my own friends, personal contacts and
18 then current customers of my new employer, FOML. All four of the entities noted above have been
19 FOML customers since before TNI was even formed. DRC, Danzas and SEIC were all Sunmar
20 customers. Modern Machinery, which recently purchased Pacific Northwest Equipment, was jointly
21 a Sunmar and FOML customer. Bob Robinson at DRC is a good friend of mine. At Danzas, I sent
22 the notice to another good, long time friend of mine, Duncan Irvin. SEIC has done business with
23 FOML for a significant amount of time over many areas. Thus, all four entities mentioned by Mr.
24 Moe as "his" clients are in fact also long-time, good clients of FOML, as well a being entities where
25 many of my personal friends work. Mr. Moe's position that these entities and individuals are his
26 exclusive relationships and clients is simply untrue.

1 32. **The Non-Compete Agreement Does Not Prohibit Contact of TNI's Customers.**

2 Mr. Moe's chief and foremost complaint is his allegation that I contacted "his" customers. As I set
3 out above I detail, these entities simply are not his exclusive clients. I helped develop them and
4 introduce them to TNI, when they were already FOML clients. However, the critical issue has been
5 ignored by Mr. Moe. Even if the terms of the September 18, 2001, Non-Competition and
6 Confidentiality Agreement are legally enforceable, absolutely no provision in that agreement
7 affirmatively prohibits me from contacting former TNI customers , or even soliciting them. I really
8 don't understand the basis of Mr. Moe's allegations.

9 33. **My FOML Responsibilities To Date Do Not Compete With Trans-Net.** The

10 company I am working for, FOML, hired me for my expertise in the field, not because I was carrying
11 secrets from TNI.. My responsibilities are far more challenging than with TNI, and are quite different
12 than my former job with TNI. Primarily, I represent FOML to the large multi-national oil
13 companies. Among the contracts I am working are:

- 14 • The construction and deployment of a \$75 million ice breaking vessel to service the oil
- 15 tankers carrying oil from Eastern Russia during the winter months
- 16 • Marine operations at the largest new liquid natural gas plant in the world, including tug
- 17 boat operations and port safety.
- 18 • The chartering of vessels in the carriage of pipe from Malaysia to Sakhalin island.
- 19 • Ice safety management (ice breaking vessels) at two large off shore oil rigs
- 20 • The shipment of cement from mainland Russia to remote Sakhalin ports

21 None of these projects are in competition with TNI to my knowledge. It is my responsibility
22 to promote these projects to success. Several of the projects are with ExxonMobil. After receipt of
23 Mr. Moe's letter (discussed in paragraph 19 above) I was not allowed, and have yet to be allowed to
24 meet with ExxonMobil executives. It is a very conservative company and its executives are waiting
25 for their legal department to make some decision. The management I report to at FOML are not
26 comfortable with this, and it is severely affecting my standing as an effective executive.

FOML. As I outline above, my current job with FOML is my chosen career path. Moreover, I have little else to fall back on. I have been working in Russia for over 12 years. During my 6 months of unemployment it became disturbingly apparent that there was little opportunity to make a good living in the Seattle area with my expertise limited to Russia. Therefore I am here, in Russia, again for over 3 months without my family, trying to make this new job work. If the TNI complaint and injunctive motion are ruled in favor of Mr. Moe and TNI, I will again very likely be unemployed, with little or no opportunity to work within my field. I think that I am being treated very unfairly by Mr. Moe for reasons that I cannot explain or understand. Unfortunately, I think the real reason for Mr. Moe's lawsuit against me may have little or nothing to do with me. The real reason may very well lie in the fact that Peter Moe has attempted to disrupt FOML's activities in the past through filing numerous complaints against FOML before the Federal Maritime Commission. It is my understanding that he and TNI continue to file such suits with the Federal Maritime Commission (FMC). I understand those past complaints have been dismissed as frivolous. Since he has been unsuccessful before the FMC, it is my belief and fear that I am being used by Mr. Moe as merely another way to attack and fight FOML. That is not fair or right. I pray that the Court dismisses these groundless allegations so that I can get on with my life.

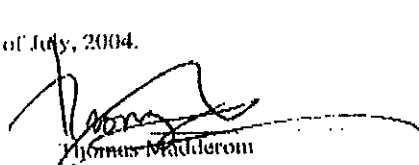
SIGNED AND DATED this 19th day of July, 2004.

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14. Peter Moe Has Unsuccessfully Fought FOML for Years Before the Federal Maritime Commission. He is Now Using His Suit Against Me to Continue His Fight Against FOML. As I outline above, my current job with FOML is my chosen career path. Moreover, I have little else to fall back on. I have been working in Russia for over 12 years. During my 6 months of unemployment it became disturbingly apparent that there was little opportunity to make a good living in the Seattle area with my expertise limited to Russia. Therefore I am here, in Russia, again for over 3 months without my family, trying to make this new job work. If the TNI complaint and injunctive motion are ruled in favor of Mr. Moe and TNI, I will again very likely be unemployed, with little or no opportunity to work within my field. I think that I am being treated very unfairly by Mr. Moe for reasons that I cannot explain or understand. Unfortunately, I think the real reason for Mr. Moe's lawsuit against me may have little or nothing to do with me. The real reason may very well lie in the fact that Peter Moe has attempted to disrupt FOML's activities in the past through filing numerous complaints against FOML before the Federal Maritime Commission. It is my understanding that he and TNI continue to file such suits with the Federal Maritime Commission (FMC). I understand those past complaints have been dismissed as frivolous. Since he has been unsuccessful before the FMC, it is my belief and fear that I am being used by Mr. Moe as merely another way to attack and fight FOML. That is not fair or right. I pray that the Court dismisses these groundless allegations so that I can get on with my life.

I declare under penalty of perjury that the above is true and correct.

SIGNED AND DATED this 9 day of July, 2004.


Thomas Madderom

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DECLARATION OF THOMAS MADEROM 18

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COZEN O'CONNOR
ATTORNEYS AT LAW
1201 1ST AVENUE, SUITE 1000
SEATTLE, WASHINGTON 98101
(206) 461-1000
FAX (206) 461-1001



русский



W

TransNet, Inc., is a logistics and transportation company headquartered in Seattle, Washington. It is a major American hub for import and export activity to world markets. TransNet maintains offices and offices of experienced partners throughout Russia, Asia, Europe, and North America for moving break bulk, project cargo, and container cargo from global supply points to frontier world markets.

OUR SERVICES

ROUTING

EQUIPMENT

SAILING SCHEDULE

RATE REQUEST

CONTACT US

Capabilities

Trans-NET is a multicultural, uniquely experienced company, focused primarily on the Russian Far East. We are centrally operated, allowing us to make decisions quickly and mobilize rapidly. Unlike any other logistics service provider, Trans-NET offers ALL marine transport services to and from the RFE.

The Russian professionals on our staff provide invaluable insight to our long-term tactical plans and daily operations. Their input is utilized on every strategic decision of the company. Trans-NET's ongoing relationships with regional vessel owners, regulatory officials, port operators, and customers are based on years of cooperation and mutual success.

We have a thorough understanding of Russian custom's law and requirements, but we are not custom's brokers. We have a documentation department well versed in the requirements of shipment documentation specific to Russia, but we are not freight forwarders. Trans-NET is a marine logistics company, specializing in the Russian Far East.

History and Experience

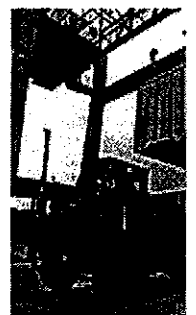
Trans-NET began serving the RFE in 1998. Prior to 1998 the two owners of Trans-NET, Peter Moe and Tom Madderom were President and Vice President of Sunmar Container Lines, operating a scheduled liner service to the RFE and Korea since 1995. Consequently we have offered scheduled service to Sakhalin continuously for over 7 years. Our exclusively dedicated network of employees and vessel/cargo agents throughout the RFE have been with us throughout these 7 years.

While operating in the Russian Far East, Trans-NET has managed charters, port operations, fuel distribution, regional trampers and cabotage vessels, inland destination delivery, over size/ heavy lift operations, and port development. Trans-NET has made significant investments to facilitate its growth and is prepared to make additional investments as required.

Core Values

Trans-NET has built its reputation and its business on the following core values:

- **Ethics and Integrity** - Trans-NET operates within the guidelines established by the Federal Maritime Commission, the Russian Marine Administration, the FCPA, and any other government rulings established by the US or any jurisdiction where we may operate. Moreover, within its own culture, Trans-NET bases its relationships, both internally and externally, on ultimate accountability.
- **Safety** - Our priority is the safety and welfare of our employees, contractors, vessels and crews, customers and all others affected by our operations. We will continuously seek to reduce risks and prevent accidents.
- **Commitment to Partnership** - Trans-NET promotes and fosters partner relationships with our customers. Utilizing our expertise in marine operations allows the customer to focus their energy and capital on their



essential core business activities.

- **Commitment to Community** - Trans-NET strives to give back to the communities that have supported us. Among the community programs we have implemented is a scholarship fund at the Marine Academy in Vladivostok and the sponsor of youth sports teams on Sakhalin.

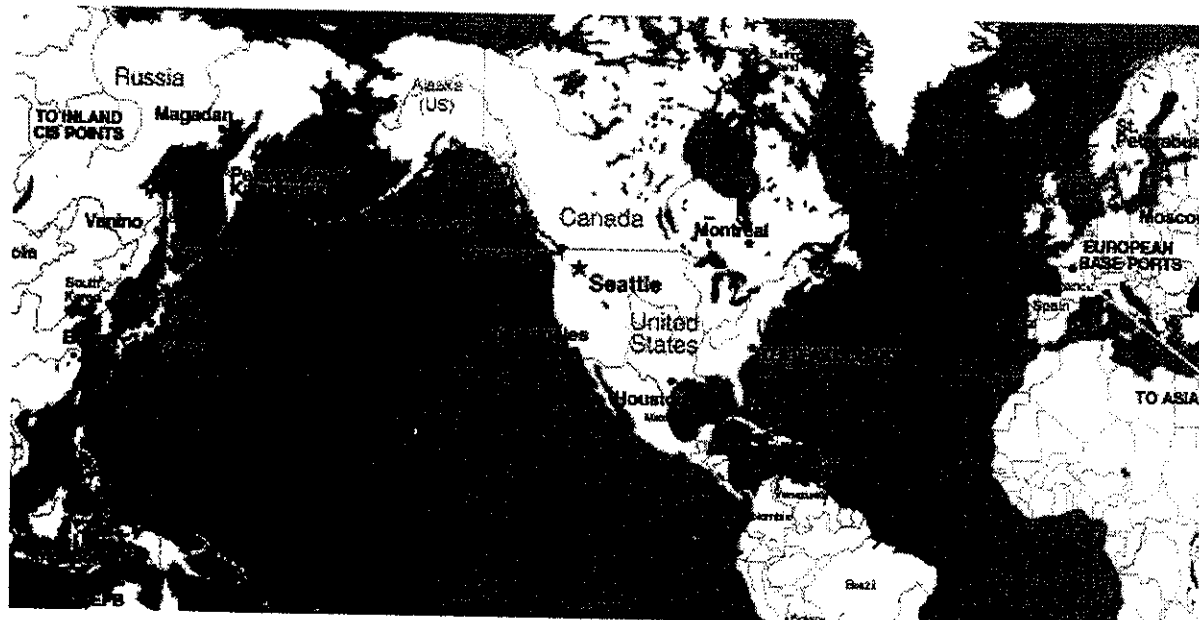
[Home](#) | [Our Services](#) | [Routing](#) | [Equipment](#) | [Sailing Schedule](#) | [Rate Request](#) | [Contact Us](#)

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Routing

The routing map below represents the network of ports served by TransNet and shipping lines between them. See also the [schedule](#) to learn about the dates of shipping



[North America / Russian Far East / Japan / Korea](#) | [Asia / North America](#) | [Europe / North America](#)



Ports Served by Trans-NET

North America:
Charleston
Dutch Harbor
Houston
Long Beach
Miami
Montreal
New Orleans

New York
Oakland
Portland
Savannah
Seattle
Tampa
Vancouver

Russian Far East:
Khabarovsk
Korsakov
Magadan
Petropavlovsk-
Kamchatski
Vanino
Vladivostok

Western Russia:
Kaliningrad
St. Petersburg

Asian:
Bangkok
Busan
Dalian
Hong Kong
Inchon
Kobe
Kuala Lumpur
Manila
Nagoya
Qingdao
Shanghai
Singapore
Tianjin

Europe:
Felixstowe
Hamburg
Le Havre
Riga
Rotterdam
South Hampton
Tallinn

Europe Mediterranean:
Algeciras
Barcelona
Fos-sur-Mer
Genoa
Gioia Tauro
Livorno
Naples
Valencia

Black Sea:
Novorossiysk
Odessa

Draft Letter Re: Noncompete – on Trans-Net Letterhead

5/11/04

Dear ,Duncan

Tom Madderom has resigned after working with us at Trans-Net for the past five years. We thank Tom for his contributions to Trans-Net operations, and wish him and his family well.

In recognition of Tom's access to Trans-Net proprietary and confidential information, Tom signed a confidentiality and noncompete agreement in order to protect the interests of Trans-Net whenever he left the company. Tom has notified me in writing that he "I will not compete with Trans-Net in any way whatsoever" his message of November 11, 2003. We are informing you and others of this agreement to avoid future misunderstandings or unintended violations of the agreement.

In brief, the agreement provides:

1. Proprietary information, including information regarding marketing and sales data, pricing information, suppliers and customer information may not be disclosed to anyone.
2. For a period of 18 months following termination of his employment on October 28, 2003, Tom will not be employed or engaged in a service relationship with any logistics, distribution, nonvessel operations, common carrier conducting business to or from the Russian Far East, and that he will not engage in any employment or service relationship with Sakhalin Shipping Company. Tom also agreed not to communicate with other employees to cause them to terminate their employment with Trans-Net, nor to engage or employ those employees.

If you have any questions about these matters, or are aware of circumstances that warrant further discussion. Please give me a call.

Sincerely,

Peter R. Moe
President
Trans-Net Inc



FESCO OCEAN MANAGEMENT LIMITED

Registered Address: FESCO Ocean Management Limited, 1 Costakis Pantelides Avenue, Nicosia, Cyprus
Correspondence Address: 821 Second Avenue Suite #1100, Seattle, WA USA, 98104
Phone: 206.583.0860, Fax: 206.583.0889

July 12, 2004

Thomas Madderom
4159 129th Place
Bellevue, WA 98006

Dear Thomas:

As stated in your employment contract, your three month review will be coming up on July 19, 2004.

At this stage we have some performance concerns that we would like to discuss with you. Both Aspi and I will be attending meetings in Vladivostok on August 19-20 and we will meet with you at that time to discuss in more detail.

We appreciate the extraordinary circumstances under which you have been functioning and do not believe that three months has been a sufficient period of time to fully evaluate your performance. We are therefore offering to extend your three month probationary period for a further three months, to October 19, 2004. If at the end of this extended probationary period we still do not find your performance to be satisfactory, all obligations as set forth in the Offer of Employment Agreement dated April 19, 2004, will be terminated.

Please acknowledge receipt of this letter and acceptance of a further three months probationary period by signing below and faxing back to us as soon as possible.

Sincerely,

FESCO OCEAN MANAGEMENT, LTD.

S.S. Kozlov
Managing Director

Acknowledged: _____ Date: _____

Thomas Madderom

EXHIBIT 5

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LAW OFFICES OF
COZEN O'CONNOR
A PROFESSIONAL CORPORATION
SUITE 5200
WASHINGTON MUTUAL TOWER
1201 THIRD AVENUE
SEATTLE, WASHINGTON 98101-3033
(206) 340-1000

1 subsidiary of FESCO, and which is an ocean common carrier in the United States foreign trades.
2 My position at FANA has been in the capacity of Sales and Marketing Director for the last 10
3 years. My responsibilities are to direct and develop the sales programs for the North American
4 sales team. I have had the responsibility of line management for transpacific service which ceased
5 operation in the year 2000 while maintaining my duties as North American Sales Director.
6 Attached as Exhibit 1 is a copy of a page from the FANA website (www.fesco.com/services1) that
7 provides an overview of FANA's agency representation.

8 3. I have 25 years of transportation sales background including 11 years with Crowley
9 Maritime Corporation, 4 years with an non-vessel owning common carrier ("NVOCC")/forwarding
10 company, and 10 years with FANA.

11 4. I have been advised by attorney W.L. Rivers Black of the law firm Cozen O'Connor,
12 Seattle, that he represents Thomas Madderom in the captioned litigation. I am aware that Mr.
13 Madderom is an employee of FOML. Further, I have been advised that the litigation is question
14 brought by Trans-Net, Inc. ("TNI") is a civil suit against Mr. Madderom alleging violation of a
15 non-compete and confidentiality agreement. I have been requested by Mr. Black to review TNI's
16 amended complaint, TNI's motion for a preliminary injunction and the affidavit of Peter Moe, Sr.
17 supporting the motion. So that the Court may be fully advised, I have been requested to provide
18 general factual background information concerning: (1) the trade and carrier competition to the
19 Russian Far East; (2) the availability of information from public or industry sources concerning the
20 customers who participate in this trade; (3) the method for determining cargo carriage pricing for
21 the relevant trade lanes; and (4) specific responses to Mr. Moe's claims to propriety information
22 regarding his alleged client list attached to his affidavit. Attached as Exhibit 2 is the
23 correspondence from Mr. Black that requested the stated factual information from me.

24 5. It is my understanding that Thomas Madderom is an employee of FOML, a Cypriot
25 corporation, which as noted is a subsidiary of FESCO. I understand that he has been working for
26 FOML for approximately three (3) months. It has been reported to me that Mr. Madderom resides

1 physically in the Russian Federation, splitting his time and duties between offices in Vladivostok
2 and Yuzhno Sakhalinsk, both of which are in the Russian Far East. As I am based in Seattle with
3 FANA, I have had limited contact with Mr. Madderom and I am unable to state precisely his exact
4 duties or his job description. You will have to get that information directly from him. However, it
5 is my general understanding that to this point in time while employed by FOML, Mr. Madderom
6 has been primarily undertaking special projects involving the private charter of vessels for carriage
7 of pipe from Malaysia to the Sakhaline Peninsula which is a large peninsula in the Russian Far East
8 that is the focus of significant energy development.

9 6. I have been asked to comment generally upon the market and geographic area in
10 which FOML and TNI compete, and to state the sources each of the companies might use to
11 identify potential customers. A principal business focus for both FOML and TNI is the Russian Far
12 East. Geographically, this is a huge land area -- bounded by the Arctic Ocean on the north, the
13 Bering Sea/Sea of Okhotsk/Pacific Ocean on the west and China and Mongolia to the south.
14 Depending on how the region is defined, the area covers over two million square miles.

15 7. Both FOML and TNI directly compete in this market. The potential pool of
16 customers is very well known to both companies, and the information pertaining to where the
17 customers operate from, how much they ship with either TNI or FESCO (or the other competitors)
18 is available to both companies, and all of our other competitors as well, through public records.
19 This is possible because information on any company who ships from the USA to Russia is
20 available from the U.S. Department of Commerce. The USDOC keeps records which are filed on
21 each and every shipment from the Shipper's Export Declaration which is a requirement to export
22 from the USA. The information on the Shipper's Export Declaration is a public record and
23 available through various governmental and private resources.

24 8. Other public and easily ascertainable sources are also available to readily identify
25 potential customers for shipping cargo to the Russian Far East. FANA has subscribed for 10 years
26 to "Piers" (Journal of Commerce Company) which is an import and export reporting service that

1 basis its reports on data obtained from the U.S. Government. It lists every shipper, how much
2 cargo they ship, and the carriers they ship with. Further, there are governmental entities such as
3 BISNIS and the Foundation for Russian American Cooperation which lists any USA (and some
4 Canadian firms) doing business specifically in, to and from the Russian Far East. BISNIS is the
5 U.S. government's primary market information center for U.S. companies exploring business
6 opportunities in Russia. The BISNIS website is www.bisnis.doc.gov. The public accessibility of
7 this information is easily demonstrated. For example, Mr. Moe in his affidavit supporting TNI's
8 motion for a preliminary injunction indicates his concern with Mr. Madderom's alleged contact of
9 TNI's "confidential" clients -- DRC, Danzas and Sakhalin Energy Investment Co. (SEIC). Each of
10 these companies is listed on the BISNIS website, together with information on their activities,
11 address, contact representatives, telephone/fax, e-mail addresses, etc. Attached as Exhibit 3 is a
12 copy of the BISNIS web pages that identify the companies doing business in the Yuzhno-
13 Sakhalinsk region of the Russian Far East and on which the noted companies (DRC, Danzas and
14 SEIC) are fully identified (www.bisnis.doc.gov/bisnis/country/021017SakhUSCos.htm).

15 9. I have also been asked to comment on pricing in this trade lane. Based on my
16 review of Mr. Moe's affidavit, it appears that he is concerned that Mr. Madderom might use his
17 knowledge of past TNI costs and pricing to assist FOML in "undercutting" TNI pricing. First, let
18 me say that Mr. Madderom has provided absolutely no information regarding TNI's costs or pricing
19 in any respect, or any other proprietary information, to me or to any other FANA or FOML
20 employee or entity to my knowledge. Nor to my knowledge has FOML or any related company
21 attempted to obtain such information from Mr. Madderom.

22 10. Notwithstanding my comments above, the pricing offered by FOML's competitors
23 for cargo shipments is not secret information and is readily ascertainable by FESCO and all its other
24 competitors. There are at least four (4) vessel operating common carriers ("VOCC") operating in
25 the Russian Far East trade lane: FOML, Maersk-Sealand, Hyundai, and Mitsui OSK Line. We
26 know what the competition offers for container pricing to the Russian Far East through our

1 marketing intelligence. The clients share with us what they are getting charged by the competition,
2 so there are no secrets. We however have set minimums in our pricing department and maintain a
3 full cost recovery on our weekly service.

4 11. It is also surprising and confusing that Mr. Moe in his affidavit implies that TNI's
5 pricing for cargo movements is "confidential and secret." It must be emphasized that TNI
6 competes in the Russian Far East market as a non-vessel operating common carrier ("NVOCC").
7 Under the Shipping Act of 1984 and Federal Maritime Commission regulations, a NVOCC is
8 required to publish a tariff on the Internet, in which it must publish the rates for every bit of cargo
9 that it carries and such tariffs must be reasonably available to the public. Assuming TNI has
10 complied with these requirements, any company wanting to ship cargo by common carriage or any
11 competitor of TNI need only check TNI's public Internet tariff to ascertain its rates. In summary,
12 all of the competitors in this trade lane can easily determine through various sources what their
13 competitors are charging in the way of rates.

14 12. FOML also has other unique characteristics that often allows it to compete favorably
15 regardless of what its competition charges. FOML has a direct service which operates
16 approximately every 45 days from the Port of Tacoma. This service is unique in that it can handle
17 over-dimensional, hazardous, project type cargoes which are priced on a "what the market will
18 bear" concept. Our sales staff and customer service staff are very experienced and we have
19 remained intact even after the 1998 crisis in Russia when the ruble devalued drastically. Many of
20 our competitors went by the wayside and we stayed the course. Therefore, price alone is not our
21 only selling point

22 13. Lastly, I have been asked to comment on Mr. Moe's assertions in his affidavit that
23 imply the "list of customers" appended to his affidavit are confidential and somehow exclusive to
24 TNI. The list claimed as proprietary by TNI contains names of customers (sometimes listed more
25 than once on the list) that are well known to and shared among all of the carriers operating in this
26 trade lane. The list, with its duplications, contains over 200 companies and is too long to address

1 individually, so I will focus on the four entities that Mr. Moe alleges were contacted by Mr.
2 Madderom subsequent to his employment with FOML: (1) Modern Machinery Co., (2) DRC, (3)
3 Danzas and (4) SEIC. Although TNI may have conducted certain business with these four
4 companies at various times in the past, those companies certainly are not "confidential" to TNI or
5 the exclusive proprietary property of TNI. As noted above, three of the four entities are publicly
6 listed on the BISNIS website of the U.S. government. More importantly, Mr. Madderom in no
7 respect "introduced" FOML to these entities. All of the four companies have been doing business
8 with FOML for many years, and FOML has many good contacts within each of the companies that
9 long predate Mr. Madderom's FOML employment and, possibly, even his prior employment with
10 TNI. I suspect that the four companies have done business at one time or another with most if not
11 all of the common carriers competing in this trade lane. Thus, I doubt if any of the common
12 carriers can claim exclusive possession of Modern Machinery Co., DRC, Danzas and SEIC.
13 Nevertheless, FOML has done significant business with the four companies long before Mr.
14 Matterom's employment three months ago. Below I describe in detail FOML's relationship with
15 each of the noted companies.

16 14. FOML has been doing business for many years with the original company that was
17 the predecessor of Modern Machinery Co. The former company, Pacific North Equipment, was
18 sold to Modern Machinery approximately three (3) years ago and we still today deal with some of
19 the same employees that were with the original Pacific North Equipment company.

20 15. Regarding DRC, FOML and I have known the two principals of DRC for almost 10
21 years, Joel Hatch and Steve Crabtree. These individuals and DRC have shipped their company's
22 products with FOML since the beginning of that company. They continue to support us today.

23 16. FESCO has worked with Danzas for many years. They are the house forwarder for
24 Caterpillar Tractor in Peoria, IL. In addition to our many personal relationships with Danzas and
25 Caterpillar, FOML has ongoing formal contracts with Danzas today in our Australian trade lane.

17. We have been doing business with Sakhalin Energy Investment (SEIC) -- or Sak Energy as they are known -- for many years. Sak Energy's freight forwarder in the past was Lynden International who booked their cargo with FOML for years. Today the forwarder in charge of Sak Energy is Kuehne and Nagel, who continue to book Sakhalin Energy with FOML. In addition we have had charter arrangements directly with Sakhalin Energy which were negotiated on Sakhalin Island.

I declare under penalty of perjury that the above is true and correct.

SIGNED AND DATED this ____ day of July, 2004.

Mike Evans

Seattle1\432003\1 152753.000

1 17. We have been doing business with Sakhalin Energy Investment (SEIC) -- or Sak
2 Energy as they are known -- for many years. Sak Energy's freight forwarder in the past was
3 Lynden International who booked their cargo with FOML for years. Today the forwarder in charge
4 of Sak Energy is Kuehne and Nagel, who continue to book Sakhalin Energy with FOML. In
5 addition we have had charter arrangements directly with Sakhalin Energy which were negotiated on
6 Sakhalin Island.

7 I declare under penalty of perjury that the above is true and correct.

8 SIGNED AND DATED this 14 day of July, 2004.

9
10 
11 Mike Evans

12 Seattle\432003\1 152753.000
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DECLARATION OF MIKE EVANS - 7

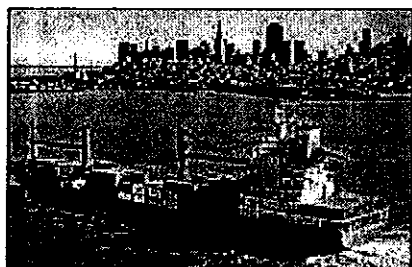
LAW OFFICES OF
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SEATTLE, WASHINGTON 98101-3039
(206) 340-1000



FESCO Agencies N.A. is the exclusive North American agent of the Far Eastern Shipping Company (FESCO), the largest privatized commercial fleet in Russia. As an American-Russian joint venture company, FESCO Agencies combines unique, firsthand knowledge of today's Russian market with seagoing experience and North American service standards.



Inside Russia, FESCO Agencies supports your intermodal cargo better than anyone. We coordinate inland services via the Trans-Siberian Railroad, the Baikal-Amur Mainline Railroad (BAM), local trucking companies and warehousing resources. In North America, FESCO Agencies' intermodal connections extend to the East Coast, Midwest, Gulf States and Eastern Canada.



Ask us for details about direct Fesco services connecting North America with Australia, Asia or the Russian Far East. FESCO Agencies also coordinates service to and from Europe, European Russia, Southeast Asia and South America.

Few other agencies can welcome you aboard with FESCO's versatility in liner, tramp and charter services. Few others can chart a better course to major and emerging markets worldwide.

Liner Services

Adherence to schedule is the top priority of our liner principles connecting North America, Russia, Australia and other Pacific Rim markets. Frequent West Coast services provide direct access to major, as well as less-frequently served Pacific ports. FESCO Agencies' preferential berthing agreements, coast-wide stevedoring contracts and intermodal contracts assure the fast connections you need to stay ahead.

Tramp and Charter Services

Our widely-diversified fleet can accommodate your tramp and project-related cargos. From bulk carriers to break bulk lumber ships and refrigerated vessels, the fleet is particularly well-equipped to handle specialized cargo. Charter, tramp and project-related cargo comprises more than 50 percent of total tonnage, including kiln-dried lumber and wood products, grain, refrigerated foods, aluminum, steel tubes, automobiles and heavy machinery.

FESCO Intermodal

In Russia, where inland freight forwarding is challenging, FESCO Intermodal offers experience, equipment and on-the-spot management to coordinate rail and truck connections to your final destinations. Throughout North America, FESCO Intermodal offers intermodal services from all major cities. Pricing: The FESCO Intermodal pricing department offers competitive, non-conference rates. Rates are available between virtually any North American point and more than 100 Russian cities, plus major ports in Australia and other Pacific markets.

Customer Service and Documentation

Dedicated customer service professionals answer your inquiries, provide scheduling information and accept bookings at your request. They use our computerized booking and documentation system to ensure your Bill of Lading is prepared accurately, distributed on time and your cargo receives the fastest most reliable service possible.

Container Vessels

FESCO's all cellular ships call at West Coast ports, offering maximum flexibility and fixed weekly services. The modern ships offer regular sailings from westcoast ports to Australia, Asia and Russia.

Equipment Control

With FESCO Agencies you have access to a large container pool. Through our advanced, computerized tracking and tracing system we can easily identify the availability of equipment to meet your needs throughout North America. FESCO Agencies offers standard and specialized equipment, including refrigerated containers.



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June 25, 2004

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Mr. Mike Evans
Director, Sales & Marketing
Fesco Agencies N.A., Inc.
821 2nd Avenue, Suite 1100
Seattle, WA 98104

Re: *Trans-Net, Inc. v. Thomas Madderom and Yulia Madderom*
King County Superior Court, Cause No. 04-2-10523-4SEA

Dear Mr. Evans:

I write to follow up our recent telephone conversation. As I informed you at the time, I represent Thomas Madderom who is being sued by Trans-Net, Inc. Mr. Madderom is an employee of FESCO Ocean Management, Ltd. ("FOML"), and resides in Russia.

As you are aware, Mr. Madderom was previously one of the owners of Trans-Net, Inc. ("TNI"). The lawsuit alleges he is in breach of a non-compete agreement and is in violation of the Washington Uniform Trade Secrets Act. I enclose a copy of the amended Complaint for your information and review, as well as a copy of TNI's motion for a preliminary injunction. The motion is supported by the sworn affidavit of TNI's president, Peter Moe, Sr. As a preliminary matter, I ask that you consider the affidavit of Mr. Moe and its attached exhibits as confidential and to be used for no other purpose but to respond to my questions in this litigation.

No FESCO entity is a party to the lawsuit brought by TNI; FESCO has declined to participate in any respect and has taken the position that the litigation is a private matter between Mr. Madderom and TNI. Nevertheless, I require certain factual information to respond to Mr. Moe's allegations and to represent my client. From my preliminary conversation with you, it is apparent that you possess general information relevant to the allegations. I realize that neither you nor FESCO has any duty to provide the requesting information or to cooperate with me in obtaining that information. However, I would appreciate your assistance in providing factual

June 25, 2004

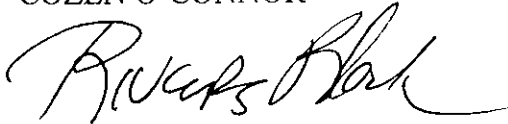
Page 2

background information concerning: (1) the trade and carrier competition to the Russian far east, generally; (2) the availability of information from public or industry sources concerning the customers who participate in this trade; (3) the method for determining cargo carriage pricing for the relevant trade lanes; and (4) specific responses to Mr. Moe's claims to propriety information regarding his alleged client list attached to his affidavit.

If you will not provide this information voluntarily, please advise me immediately. In that event I will have little other choice but to immediately note a deposition for the purpose of taking your sworn testimony with regard to the relevant areas identified. Assuming that you will instead cooperate, I will contact you within the next few days to discuss any other factual areas for which I will require information. If you have any questions, I may be contacted via my Seattle office (206-780-2648).

Very truly yours,

COZEN O'CONNOR

A handwritten signature in black ink, appearing to read "Rivers Black", written in a cursive style.

W. L. Rivers Black

WLRB:dsk

	Company	Activities	Name of Representative	Location in Yuzhno-Sakhalinsk	Office tel. and fax numbers	US Address of Agent partner
1.	ABB Lummus Global Ltd.	EPC – Exxon Neftegas Limited	Oleg Perepelkin	32, Kommunisticheskii Ave., 6 th floor	Tel +7-4242-727027 Fax +7-4242-727037 Oleg.perepelkin@ru.abb.com	ABB USA P.O. Box 5308 501 Merritt 7 06856-5308 Norwalk TX Tel (203) 750 2200 Fax (203) 750 2266 http://www.abb.com/us
2.	ACDI VOCA (Small Business Crediting)	Crediting of small business	Ken Smith	2, Khabarovsk Str.	Tel +7-4242-421874; 726721 Fax +7-4242-726198 kms@sakhalin.ru	ACDI VOCA 50F Street N.W. Washing USA Tel (202) 626 4661 Fax (202) 626 8726
3.	Alaska Projects, Sakhalinmorneftemontazh	Oil and gas servicing company	Alexei Krasnev	26, Sovetskaya Str., Okha, Sakhalin region, Russia 694490	Tel +7-42437-23002 Fax +7-42437-22761 alex@aiclcl.com	Alaska Interstate Construc LLC David K. Thomas Project Development Mar + 7-4242-475663 Alaska Interstate Construc LLC P.O. Box, 233769, Anchorage, Alaska, USA 99523 Anc (907) 562 2792 Pbo (907) 659 2475 Fax (907) 562 4179 john.ellsworth@aiclcl.com

4.	American Business Center, Yuzhno-Sakhalinsk (Foundation for Russian-American Economic Cooperation)	All types of business services, consulting, market research.	Jeffrey Valkar	32, Kommunisticheskii Ave., # 517A	Tel/fax +7-4242-727124/25 abcsakh@fraec.org	Foundation for Russian/Americ Economic Cooperation 1932 First Avenue, Suite 303 Seattle, Washington 98101 Tel (206) 443 1935 Fax (206) 443 0954 cc@fraec.org
5.	AmRusTrans Sakhalin Cargo Services	Transportation	Eric Vercesi	32, Kommunisticheskii Ave., #442 Sakhincenter	Tel +7-4242-727895 Fax +7-4242-727893 vercesi@LAF.lynden.com	Lynden International 6441 South Air Park place Anchorage, Alaska 99502 Tel (907) 245 1008 Fax (907) 243 8159 dennismitcheldmitch@LAF.lyr
6.	Amur Machinery and Services LLC (Caterpillar)	Sales of machinery	Vadim Snetkov	32, Kommunisticheskii Ave., #232 Sakhincenter	Tel/fax +7-4242-727211 Fax +7-4242-728386 amssakhalin@dfc.ru	Tiger Machinery Co. 2500 Pinson Highway Birning Alabama State 35217 Tel (205) 849 3693 Fax (205) 849 4535
7.	Arctic Camps and Equipment	Construction	Harry Pursell, Irina N. Belukova	38, Antona Byuklyu Str., #31	Tel/fax +7-4242-725626 articdranch@sakhalin.ru	Arctic Camps and Equipment 9312 Vangard Drive K. 200 Anchorage, Alaska 99507
8.	JV Aircompany Aviashef (associated with Sakhalin Air Services - Clintondale Aviation)	Air transportation	Mr. Viktor Aksjutin, General Director	Airport, Yuzhno-Sakhalinsk, Russia 693014	Tel. +7-4242-738909 victor@clintondale.com	

9.	Baker Hughes	Sales of oil and gas equipment, services for oil and gas companies	Vladimir Malashych	24, Shlakoblochnaya Str.	Tel +7-4242-728667, Fax +7-4242-728669 bakeroiltools@sakhalin.ru	3900 Essex Ln., Ste. 1200 Houston, TX 77027-5 Tel (713) 439-8600
10.	Enka Contruction (Bechtel)	JV with Enka	Bahadir Doogan	119 B Prospect Mira #2	Tel/fax +7-4242-726632/34 Bahadir@enka.ru Enka@smcom.ru	50 Beale St., San Fancisco, CA 94105 Tel (415) 768 1234
11.	Eurest-IoCa, JV (Compass group)	Catering	Vitaly Galiulin	113, Mira Ave.	Tel +7-4242-727226 Fax +7-4242-721409 eurest@ioca.ru	Compass Group PLC Cowley House Guildford Street Chertsey Surrey KT16 9BA United Kingdom Tel +44 1932 573 000 Fax +44 1932 569 956 Compass Group North America 2400 Yorkmont Road Charlotte, NC 28217 Phone: 704-329-4000 Fax: 704-329-4010 Email: cheryl.webster@exch.com usa.com

12.	Arctic Pacific Contractors	Construction	(Secretary – Svetlana Troshina)	Kommunisticheskii Ave., 32, office 226	Tel/fax +7-4242-727001 Fax +7-4242-463131 Svetlana.troshina@snc.ru	Arctic Pacific Contractors company created by Brown and Fluor Daniels. Fluor Daniels Fluor Corporation, One En Drive, Aliso Viejo, CA 92656-2601 Tel (949) 349 2000 Fax (949) 349 2585
13.	BISNIS	Market reporting, information service of US Department of Commerce	Elena Sabirova	American Business Center (see above)	Tel/fax +7-4242-727124/25 bisnisis@fraec.org www.bisnis.doc.gov	US Department of Commerce USA Trade Ctr, Stop – R-I 1401 Constitution Ave, NW Washington DC 20230 Tel. (202) 482 2299 Fax (202) 482 2293 Email: marianne_drain@ita.doc.gov
14.	BJ Services	Pumping services in oilfield industry	Ricardo Aboud	No office facilities in Yuzhno-Sakhalinsk at the moment	Mobile 84-903720409 raboud@hcm.fpt.vn	BJ Services Company (S) 1 KM Plaza, 51-53 Vo Van T Street, District 3, Ho Chi M City, Vietnam Tel 84-8-9305785 / 930578 Fax : 84-8-9305787 BJ Corporate Headquart BJ Services Company 5500 Northwest Central Dr Houston, Texas 77092 Tel (713) 462 4239 Fax (713) 895 5851
15.	DANZAS DV LLS	JV	Philippe Somers, Sergey Kurybkin	113, Mira Ave., #81	Tel +7-4242-727243, Fax +7-4242-423132 Info@sakhalin.ru	DANZAS AEI Inc. 120 Tokeneke Road Darien, CT 06820 Tel (203) 655 7900 Fax (203) 655 5779
16.	DHL	Express delivery service	Dmitriy M. Kim	119b Mira Ave., # 7	Tel/fax +7-4242-727147 Fax +7-4242-727515 uus@mow-so.ru.dhl.com dkim@mow-so.ru.dhl.com	Corporate Headquarters States DHL Worldwide Express 50 California Street San Francisco, CA 94111 Tel (415) 677 6100
17.	DRC Sakhalin Group	Sales of equipment	Steven L. Crabtree	16, K.Marksa Str., #103	Tel. +7-4242-722353 Fax +7-4242-742273	DRC

					dcg@sakhalin.ru	3415 S. 116 th Street, Suite Seattle W.A. 98168 Tel (206) 246 7810 Fax (206) 246 8711 drchq@drcintl.com
18.	Ecoshef	Oil spill response	William Stillings, Anatoliy Yanchuk	426, Mira Ave. #1	Tel +7-4242-737509 Fax +7-4242-551617 Cell +7-4242-471868 ecoshef@kriljonservice.ru	William Stillings -- WEST World Environmental Serv Technologies LLC 7926 Old Seward Highway Anchorage, Alaska 99518 Tel (907) 770 2985 Fax (907) 770 2986 wistillings@westilc.com
19.	Ernst & Young	Audit, consulting	Dmitry Strelnikov	32, Kommunisticheski Ave., # 218, 417	Tel +7-4242-499090 Fax +7-4242-499408	www.ey.com/cis www.ey.com

20.	EXEL/RA Logistics	Transportation logistics	Robert Buhl, Larry Belew	32, Kommunisticheskii Ave., # 520 / 522	Tel +7-4242-744567 Fax +7-4242-744568 sakhalin@exel.com	Exel Global Logistics Inc Global Freight Manageme 9010 North Royal lane Suite 110 Irving, TX 75063 USA www.exel.com
21.	EXXON Neftegas LTD.	Sakhalin-1, operator	Larry Smith	80 Pushkina Str.	Tel +7-4242-727160/61/62/63/64, 727358 Fax +7-50441-62630 ENL@snc.ru	ExxonMobil 5959 Las Colinas Bouleva Irving, TX 75039
22.	FedEx	Express delivery services	Artem Kochkin	Lugovoje, Yuzhno-Sakhalinsk suburbs	Tel +7-4242-799128 Cell +7-4242-486804 Tran-2@elf91.com	http://www.fedex.com/ru/ www.elf91.com
23.	Fircroft, Inc.	Placement services	(represented by PriceWaterhouseCoopers)	PriceWaterhouseCoopers	Tel/fax +7-4242-727463; 727344	5301 Hollister Fuite 100 Houston Texas 77040 Tel (713) 290 8750 Fax (713) 290 8857 fircroft@fircroft.com
24.	General Dynamics	Business aviation and aircraft services, land and amphibious combat systems, information systems, and shipbuilding and marine systems	(Represented by ABC; contact –Bill Lightfoot)	Office to be established	Tel +4242-727124	General Dynamics 15000 Conference Center Chantilly, VA 20151-3828 Tel (703) 818 5351 Fax (703) 832 6513 Louis.emond@gd-ns.com
25.	Global Offshore Services Intl		Mr. Mark Cameron Olson President & Chief Executive	Dzerzhinskogo 36, # 202 A	Tel +7-74242-742704 Fax +7-4242-742704 gosi_russia@hotmail.com	WEST Engineering Service Mark Cameron Olson Manager Drilling Operations P.O. Box 577 907 Bains St. Brookshire, Texas 77423 molson@westengineer.com gosi_russia@hotmail.com Tel (281) 934 1500 ext. 1. Fax (281) 934 1600
26.	Halliburton International Inc.	products, services and integrated solutions for oil	Alexey Arendarenko	32, Karl Marx Str., #13	Tel +; 7-4242-742732 Fax +7-4242-462774/5 alexey.arendarenko@halliburton.com	Halliburton 3600 Lincoln Plaza, 500 N St. Dallas, TX 75201

		and gas exploration, development and production				Public Relations Tel (713) 676 5619
27.	Kriljon International Telecommunications Service (AmRussCom)	Communications	Anatoly Tonkonogov	32, Kommunisticheskiii Ave., # 616	Tel/fax +7-42422-727440, 727574; Fax +7-4242-727093 marketing@kriljon.ru	AmRussCom 1143 East 70 th Avenue Anchorage, Alaska 99518 Tel (907) 349 0004 Fax (907) 344 8690

28.	Moore Stephens Sakhalin	Audit and consulting	Frank Sullivan	32, Kommunisticheskii Ave., #229	Tel/fax +7-4242-727021 Tel +7-4242-727326 mssakhalin@dsc.ru office@dsc.ru	Moore Stephens 331 Madison Ave, (corner St) New York, New York 100 Tel (212) 682 1234 Fax (212) 687 8846 340 North Ave, Suite 300 Cranford, New Jersey 0701 Tel (908) 272 7000 Fax (908) 272 7101 http://www.moore-stephen
29.	Natchiq, Inc.	Oil and gas service company	James Smith	3, Dostoyevskogo Str.	Tel +7-4242-772538 Fax +7-4242-771123 kate_sin@natchiq.com	Natchiq 6700 Arctic Spur Road Anchorage, Alaska 99518 Tel (907) 344 5757 Fax (907) 267 3626
30.	JSC NEC Trans Global	Transportation, logistics	Sergey Rolin	62, Amurskaya Str., # 420	Tel/fax +7-4242-721079 Cell +7-4242-472981 Sakhalin@nec.ru	Michael Andrews mandrews@transglobalgro Trans Global 11731 Jones Road Houston, Texas 77070 Tel (281) 807 9091 F (281) 807 9092 Houston@transglobalgrou
31.	Pacific Detroit Diesel Allison	Sales of equipment	(represented by Kriljon Service Company)	32, Kommunisticheskii Ave., #436	Tel/fax +7-4242-727454; 727177	Pacific Detroit Diesel 7215 South 228 th Street Kent, WA 98032 Tel (253) 850-2631 Fax (253) 850-2631
32.	Panalpina World Transport (Related company - PAN-CMS RFE, a JV of Panalpina and Crawley)	Transportation, logistics	Peter Manger	1V Mira Ave.	Tel/fax +7-4242-727173, 462584 svetlana.goloskokova@panalpina.com	Panalpina SGC SwiccGlobalCargo L West International Airport Anchorage, AK 99502 Tel (907) 245 8008 Fax (907) 245 8018
33.	Parker Drilling	Global drilling company providing drilling rigs, labor management, and rental tools	Dmitry Mashkov	16 Karla Marksa Str., #410	Tel +7-4242-723353 Cell +7-4242-473874	International Contracts & Marketing 1401 Enclave Parkway, Ste Houston, TX 77077 Tel (281) 406 2000 Fax (281) 406 2001 http://www.parkerdrilling.com

34.	PriceWaterhouseCoopers	Audit, consulting		32, Kommunistitcheskii Ave., #214 Sakhincenter	Tel\fax +7-4242-727463; 727344	PWC 1301 Avenue of the Ameri New York, NY 10019 Tel (646) 471 4000
35.	Raytheon Branch Office of Raytheon Technical Services Company	Defense, government and commercial electronics, aviation	John Sartorius Yulia Murzina	32, Kommunistitcheskii Ave., #508 Sakhincenter	Tel + 7-4242-499467, 499468 Fax +7-4242-499466 john_a_sartorius@raytheon.com	Raytheon 141 Spring St.Lexington, M 02421 781-862-6600

36.	Russin & Vecchi LLC	Law firm		32, Kommunisticheskii Ave., #610	Tel +7-4242-726786/787 Fax +7-4242-726758 rossinvecchi@snc.ru	<u>WASHINGTON, D.C.</u> RUSSIN & VECCHI L.L.C. 815 Connecticut Ave, N.W Suite 650 Washington, D.C. 20006 Tel (202) 822 6100 Fax (202) 822 6101 lawyers@rossinvecchi.com <u>NEW YORK</u> RUSSIN, VECCHI & BEI 15th Floor 605 Third Avenue New York, NY 10158 T: (212) 490-6644 F: (212) 490-1809 lawyers@rvbnewyork.com
37.	Sakhalin Air Services (Clintondale Aviation)	Transportation	Viktor Aksjutin	Yuzhno-Sakhalinsk Airport, 693015	Tel +7-4242-738909 Fax +7-4242-427037 sakhavia@clintondale.com viktor@clintondale.com	Sakhalin Aviation Service: Road 299 Highland New-York 12528-0000 Tel (845) 883 5273 Fax (845) 883 5293
38.	Sakhalin-Alaska LTD	College, Non-State education institution (JV).	Viktor Stepanovich Pitko	1a, Ukrainski pereulok	Tel: +7-4242-727929 Fax: +7-4242-423969 sacollege@bgtelecom.ru	(Peak Oilfield Services – 5 Energostroj – 20%, Dalenergmontazh – 20%, Tekhinkom – 10%)

39.	Sakhalin – Alaska Consulting Group	Business consulting, business support services	Todd Crosset and Aleksandr Dashevskiy	32, Kommunisticheskii Ave., #528	Tel/fax +7-4242-728335 Fax +7-4242-720076 imirzoeva@sakhalin-alaska.com	Post Office Box 112774 Anchorage, Alaska USA 99501 www.sakhalin-alaska.com Tel (907) 522 2600 Fax (907) 522 2602
40.	Sakhalin Marine Services	Transportation, logistics	Yuri Chepikov	2A Reidovy Pereulok, Korsakov, Russia 69400	Tel/fax +7-42435-42384 smservices@mail.ru	Northland Services INC 110 Prefontaine Place S. Suite 600 P.O. Box 24527 Seattle, WA 98124 Fax (206) 767 5579 info@northlandservicesinc.com
41.	Sakhalin Module Constructors	JV	Andrey Zalpin	96 Popovicha Str.	Tel +7-4242-723288 Fax +7-4242-723289 zalpin@sakhalin.ru	Glen M. Beal P.o. box 6825 Kingwood, TX 77352 Tel (281) 358 5223 Fax (281) 358 8104 www.larus.hu gblarusamerica@hotmail.com
42.	Sakhalin Shelf Services (ISDI)	Oil and gas servicing company	Leonid I. Katsev, David Ginnett	424, Mira Ave., #209	Tel +7-4242-738174, 736600 Fax +7-42422-551562 sss@bjtelecom.ru	ISDI 360 E. 100 th Avenue, Anchorage, Alaska 99515 Tel (907) 245 0800 (Alaska) Fax (541) 685 0365 (Oregon)

43.	Schlumberger	Oil and gas servicing company	Vladimir Korskov	36, Dzerzhynskogo Str. , 3 rd floor	Tel +7-4242-462954/56, 422410/01 Fax +7-4242-462955 alya@yuzhno.oilfield.slb.com	Schlumberger Ltd. 153 E Street 57 floor, New-York NY 10022-46 Tel (212) 350 9481 Fax (212) 350 9457 www.new-york.sl.slb.com
44.	Schenker International	Comprehensive logistics services	Steven Wallack, Konstantin Kartyzhev	20, K.Marks Str., #212	Tel +7-4242-742470 Cell +7-4242-473935 Fax +7-4242-463043 sisakh@aol.com	Schenker 150 Albany Avenue Free Port New-York 115 Tel (516) 377 5269 Fax (516) 377 3010
45.	SMNM-VECO Engineering Construction Company Ltd.		Alexander T. Zubko, William J Thompson	26 Sovetskaya Street, Okha, Sakhalin 694460	Tel +7-42433-20142	VECO Alaska Inc. 949 East 36th Avenue Anchorage, Alaska, USA Telephone: (907) 762-11
46.	Sunmar Shipping, Inc.	Transportation	Ernest Olshtynskiy		Tel +7-4242-470445 Tel/fax +7-42422-38914 Ernesto@kriljinservice.ru shipping@sunmar.com	Sunmar 2615 Fourth Avenue, Su Seattle, WA 98121-1209
47.	Taylor Group Sakhalin	Catering services	Vladimir Nad'kin	1A Kholmsk Shosse	Tel +7-4242-723066 Fax +7-4242-429059 taylors@svtc.ru	

48.	Tunaycha Wards Cove JV	Fishing, fish & seafood processing	Anatoly Ivanovich Filippov	1-B, Kommunistitcheskii Ave.	Tel/fax +7-42422-421512 tunavcha@snc.ru	Ward's Cove 88 East Hamlin Street Seattle, Washington 98102 Tel (206) 323 3200 Fax (206) 323 2845
49.	Universal Sodexho	Catering	Richard Sosnowski	32, Kommunistitcheskii Ave., #215	Tel. +7-4242-727020, 727471, 727008 Fax +7-4242-727011 rsosnowski@universal-sodexho.ru	520 Pike Street Suite 2230 Seattle Washington 98101/ Tel (206) 340 9224 Fax (206) 340 9200
50.	US Russia Investment Fund (Delta Capital, Delta Leasing)	Leasing services	Andrey M. Rybkin	32, Kommunistitcheskii Ave., #228, 330	Tel/fax +7-4242-744074; 744982 arybkin@dsc.ru	Delta Capital/Lease 545 Firth Avenue, Suite 30 New-York, NY 10017 Tel (212) 818 0444 Fax (212) 818 0445 nmanziak@deltacap.org
51.	United Parcel Service	Express delivery services	Alexander Yakovlev; Alexander Uljanov	424 Mira Ave., # 115	Tel/fax +7-4242-499833; 734343 Cell +7-4242-475307 ups@femco.ru travel@femco.ru	UPS
52.	Wackenhut	Security services	Roman Yu. Mudrov	62A, Amurskaya Str., #103	Tel/fax +7-4242-741560 Fax +7-4242-741395 wackensakh@e-mail.ru	The Wackenhut Corporation Wackenhut Drive Palmbeach Gardens, Florida 110 Tel (561) 622 5656 Fax (561) 691 6721 www.wackenhutcorp.com

53.	Washington International, Inc (formerly Morrison Knudsen International, Inc)	Construction and construction management	Arthur Peavey	426 Mira Ave., building 2	Tel +7-4242-720603/04/07 Fax +7-4242-468480, 468482	Washington International 720 Park Boulevard P.O.Box 22 Boise, ID 83729-0022 Tel (208) 386 5000 Fax (208) 386 5190
54.	Waukesha Alaska Corporation	Oilfield service and supply	John E. Haxby	Office to be established		1301 Huffman Road, Suite Anchorage, Alaska 99515 Tel (907) 345 6800 Fax (907) 345 0311 john@acfm.com
55.	Wild Well Control, LLC	Rep	Patrick Campbell	ABC Sakhalin	Tel/fax +7-4242-727124/25	Worldwide Firefighting and Control 22730 Gosling Rd. Spring, TX. 77389 Tel (281) 353 5481 wildwell@wildwell.com

OTHER INTERNATIONAL COMPANIES AND US PRODUCTS DISTRIBUTORS – USEFUL CONTACTS

1.	ArmorGroup ArmorGroup Vostok	Security	Alexander A. Knyshov	32, Kommunisticheski Ave., # 506	Tel/fax +7-4242-742051 Cell +7-4242-473629 www.armorgroup.ru
2.	AP Trade, Branch #1, Yuzhno-Sakhalinsk	Regional distributor for Procter and Gamble	Dmitri Yurjevich Tannenberg, Director	5, Mira Ave.	Tel/fax +7-4242-727924 dir@apsah.khv.ru
3.	BP Exploration and Operating Company Ltd.	Sakhalin-5	William Dinty Miller Senior Representative	Michinoku Sakhalin Building 234 Lenin Str., #402	Tel. + 7-4242-725520 Fax +7-4242-725524 YakimoJA@BP.COM
4.	CIS Technology	equipment, spares, consumables and technology	Ravi Kumar	32, Kommunisticheskii Ave., # 511	Tel + 7-4242-499287 Tel/fax +7-4242-728363 pj_cistech@dsc.ru
5.	Deutag UK Limited Sakhalin	Drilling services	Nigel R. Thorn	283D, Lenin Str, # 5-7	Tel +7-4242-462031/32/33 Fax +7-4242-462034
6.	Flamingo-design	Authorized dealer for Xerox	Ludmilla Sergeevna Gribanova	32, Karl Marx Str., # 11	Tel +7-4242-742492 Fax +7-4242-742116 flamingo@dsc.ru
7.	Hokkaido Government Sakhalin Representative Office		Masahiro Echizen	Michinoku Sakhalin Building, 234 Lenin Str., #201	Tel +7-4242-727464 Fax +7-4242-727553 hokkaido@snc.ru http://www.pref.hokkaido.jp/
8.	International SOS Yuzhno Sakhalinsk Clinic	Clinic; Med-evac. services.	Francis J. Barker, Andrey A. Nikolayev	32, Kommunisticheski Ave., # 19	Tel +7-4242-727550 +7-4242-728671 Emergency: +7-4242-470500 ISOS@ISOS.Sakhalin.su
9.	Kriljon-Service, Co Ltd.	Authorized distributor of Motorola; business partner of IBM; official representative of «Pacific Detroit Diesel Allison»; service-provider of Global Satellite	Sergei A. Nadsadin	4, Sakhalinskaya Str., Yuzhno- Sakhalinsk	Tel/fax: +7-4242-727454, 72 7177 (sales department) mail@kriljonservice.ru ; sales@kriljonservice.ru

		Communication Network «Globalstar»			
10.	Mitsubishi Corporation	Participation in Sakhalin-2		32, Kommunisticheski Ave., # 512	Tel +7-4242-727690 Fax +7-4242-727126
11.	Mitsui and Co. Ltd	Participation in Sakhalin-2		234 Lenin Str., # 301-304	Tel +7-4242-722515 Fax +7-4242-725046 Sklzz.mitsui@snc.ru
12.	Petrosakh	Sakhalin-6	Mr. Yuri Motovilov, General Director	32 Kommunistichesky Ave., #407	Tel +7-4242-727561 Fax +7-4242-727519 Sakhalin@petrosakh.ru
13.	Sakhalin Legal Center	Legal services	Terry Sloane, Executive Director	32, Kommunisticheski Ave., # 518	Tel +7-4242-499488 Fax +7-4242-499489
14.	Sakhalin Telecom A Cable and Wireless Company	International & long- distance communication, Internet services	Pavel Akhmanaev	213A Komsomolskaya Str.	Tel +7-4242-722449 Fax +7-4242-461029 s_telecom@cwst.ru www.cwst.ru
15.	Sakhwest The Division of the Meridian Group	Construction	Mr. Shaun Going	16, Karl Marx Str., # 301	Tel. +7-4242-742269 Fax +7-4242-723094 Shaun.sakhwest@bgtelecom.
16.	Sakhalin Telecom Mobile A Cable and Wireless Company	Mobile communications	Desmond Duffy	36, Dzerzhinsky Str.	Tel +7-4242-463200 Fax +7-4242-463246 http://www.sakhalingsm.ru/ stmobile@stmobile.ru
17.	Sakhalin Energy Investment Co.	Sakhalin-2 operator	Steve McVeigh	35, Dzerzhinskogo Str.	Tel +7-4242-732000 Fax +7-4242-732012
18.	Service-Center	Authorized dealer for Xerox		72, Fiskulturnaya Str.	Tel/fax +7-4242-423478 Service_center@snc.ru
19.	SODECO Sakhalin Oil and Gas Development Co., Ltd. (shareholders are JNOC, JAPEX, Itochu and Marubeni)	Sakhalin-1	Toshihiro Sugiura	32, Kommunisticheski Ave., # 444	Tel +7-4242-727456; 462442 Fax +7-4242-462441
20.	The Sakhalin Times	English Language Newspaper	Petra Wijnsema	31, Kommunistichesky, # 6	Tel/fax +7-4242-727288 info@sakhalintimes.com

This report is provided courtesy of the Business Information Service for the Newly Independent States (BISNIS)

EXHIBIT 6

HONORABLE MICHAEL J. FOX

IN THE SUPERIOR COURT OF THE STATE OF WASHINGTON
FOR THE COUNTY OF KING

TRANS-NET, INC., a Washington corporation,

Plaintiff,

V.

THOMAS MADDEROM and YULIA
MADDEROM and the marital community
comprised thereof,

Defendants.

No. 04-2-10523-4SEA

DECLARATION OF W.L. RIVERS BLACK

STATE OF WASHINGTON)
) ss.
COUNTY OF KING)

1. My name is W.L. Rivers Black. I am over the age of 18 and fully competent to make this declaration. I am the attorney for defendants in the captioned litigation. I make this Declaration on personal knowledge and belief.

2. Attached as Exhibit A is a true and correct copy of an email I received from defendant Thomas Madderom that was sent by him at 10:36 pm (PDT) Monday, 26 July 2004.

I declare under penalty of perjury that the foregoing is true and correct.

DECLARATION OF W.L. RIVERS BLACK - 1

LAW OFFICES OF
COZEN O'CONNOR
A PROFESSIONAL CORPORATION
SUITE 2200
WASHINGTON MUTUAL TOWER
1201 THIRD AVENUE
SEATTLE, WASHINGTON 98101-3033
(206) 340-1000

1 SIGNED AND DATED this 26th day of July, 2004.

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DECLARATION OF W.L. RIVERS BLACK - 2

LAW OFFICES OF
COZEN O'CONNOR
A PROFESSIONAL CORPORATION
SUITE 3200
WASHINGTON MUTUAL TOWER
1201 THIRD AVENUE
SEATTLE, WASHINGTON 98101-3033
(206) 340-1000

Black, Rivers

From: Tom Madderom [tom_madderom@msn.com]
Sent: Monday, July 26, 2004 10:36 PM
To: Black, Rivers
Subject: RE: Trans-Net lawsuit - Hearing tomorrow (Trans-Net v. Madderom)

-----Original Message-----

From: Black, Rivers [mailto:RBlack@cozen.com]
Sent: Tuesday, July 27, 2004 3:37 PM
To: Tom Madderom@msn.com
Subject: Trans-Net lawsuit - Hearing tomorrow (Trans-Net v. Madderom)

Tom:

The hearing on the injunction is tomorrow morning (Tuesday), Seattle time.
Late today I received a copy of a new affidavit Mr. Moe filed. A good deal of the affidavit deals with Fesco and FMC allegations, and is thus irrelevant in my mind to the specific injunction issues. I will discuss all that with you later. There really is not time now to address those accusations anyway.

However, there are a few questions I would like to ask you in response to points raised by Mr. Moe. Please consider this as sworn testimony and a continuation of your previous declaration which you gave under penalty of perjury. Type in you name at the end or attach an electronic signature to designate your signature. Sorry for this procedure, but it is late Monday evening and there is not time to produce a formal declaration. Regards, Rivers Black

Question 1: Mr. Moe states that Duncan Irvin (Danzas) was in a separate division or department of Danzas and that he had not dealt with FOML, or had no contact with FOML, prior to your employment by FOML. Is that true?
To your knowledge had Mr. Irvin had any contact with FOML prior to your employment?

Answer: FOML/FESCO has done business with Danzas for several years. Danzas is the globally appointed freight forwarder for Caterpillar Equipment. FOML/FESCO has since prior to 1998 carried a great deal of Caterpillar equipment to the Russian Far East. Consequently Mr. Irvin is acquainted with both Mike Evans and Aspi Rostami of Fesco in Seattle and has been since prior to my employment began in April, 2004. During my employment at TNI, Mr. Irvin would frequently mention this relationship to me in order to demonstrate that Danzas had several choices for their business to Russia and therefore demanded appropriate service.

Question 2: Mr. Moe implies that there is a certain customer of his (unnamed) in Turkey? I am not really clear. Anyway, do you do business with or have you contacted any Trans-Net customers in Turkey at any time

since your employment with FOML?

Answer: No, I have not. However it should also be noted that during my entire tenure at TNI we never had one shipment with any company in Turkey.

Question 3: Mr. Moe states that FOML has hired away 2 employees of Trans-Net in the last five months. I presume one is you. However, he specifically mentions a Slava Naganyuk. Who is that other person, where did he/she come from and what does that person do? A little background would be helpful.

Answer: Capt. Vyacheslav Naganyuk (Slava is a nickname) took a position with the largest shipping company in Russia. He is Russian. His father worked for FESCO, and Mr. Naganyuk worked for FESCO prior to TNI. In fact, FESCO has a vessel named after his father. He is now the director of the ice breaking vessel department, a very prestigious position, and one that has nothing whatsoever to do with TNI. FESCO's decision to hire Mr. Naganyuk and his decision to accept had nothing to do with TNI. It should also be noted that currently under employment of TNI are two former FESCO employees.

Question 4: In the context of his alleged "customers", Mr. Moe mentions the "project" companies in the Sakhalin energy development. He generally states that those companies put development plans on hold after the economic problems in Russia, and it has only been since 2002 that it was clear those companies would move forward. How long have these "project" companies been around and how long have you known about them? Did they exist back in the Sunmar days and, if so, did you have any knowledge or contact with them then?

Answer: The project business, which is my main focus for FOML, has indeed changed over the past few years. But the economic crisis of 1998, which happened during my employment with Sunmar, did little to determine the progress or lack thereof of these projects. Sakhalin Energy (Shell), a Sunmar customer, was in the middle of implementing a large off shore oil rig at the time and proceeded without delay. The logistics manager of that project is to this day still here on the island and still in the same position. Dinty Miller, a good friend of Sunmar is now the chief of operations for the British Petroleum project. Panalpina, the primary freight services provider to ExxonMobil, and their head of operations, Peter Manger, were customers of Sunmar, and more importantly were and still are significant customers of FESCO.

Tom, that is all I have for you. The end. Thank you.

Signed and Sworn to by me under penalty of perjury as a continuation of my prior declaration in this litigation.

_____/s/____ Thomas Madderom

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including attachments, is prohibited and may be unlawful. Receipt by
anyone
other

than the intended recipient(s) is not a waiver of any attorney/client or
other privilege.

P. S.

Please allow me this small opportunity to address the court once more.

Here is the bottom line, as far as I am concerned.

This is about my life, my family, and my career. It is not about FESCO and the FMC. It is not about pricing and customer lists and whatever else is in my head. I worked for 5 years for a company and was pushed out. I accept that. I signed an agreement and I have not, and will not violate it. There has not been brought to the attention of the court one shred of evidence to the contrary.

Mr. Moe is using this court as a soapbox for his continued unsuccessful struggle to inhibit the business of a competitor. My agreement, and my commitment to uphold this agreement has absolutely nothing to do with FESCO vs. TNI.

If I was now working for Maersk, a fierce competitor in this market, would Mr. Moe be on the same course. NO. I and my family are stuck in the middle. It is not fair and its not right.

I have done and will not do anything wrong.

Thank you.

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